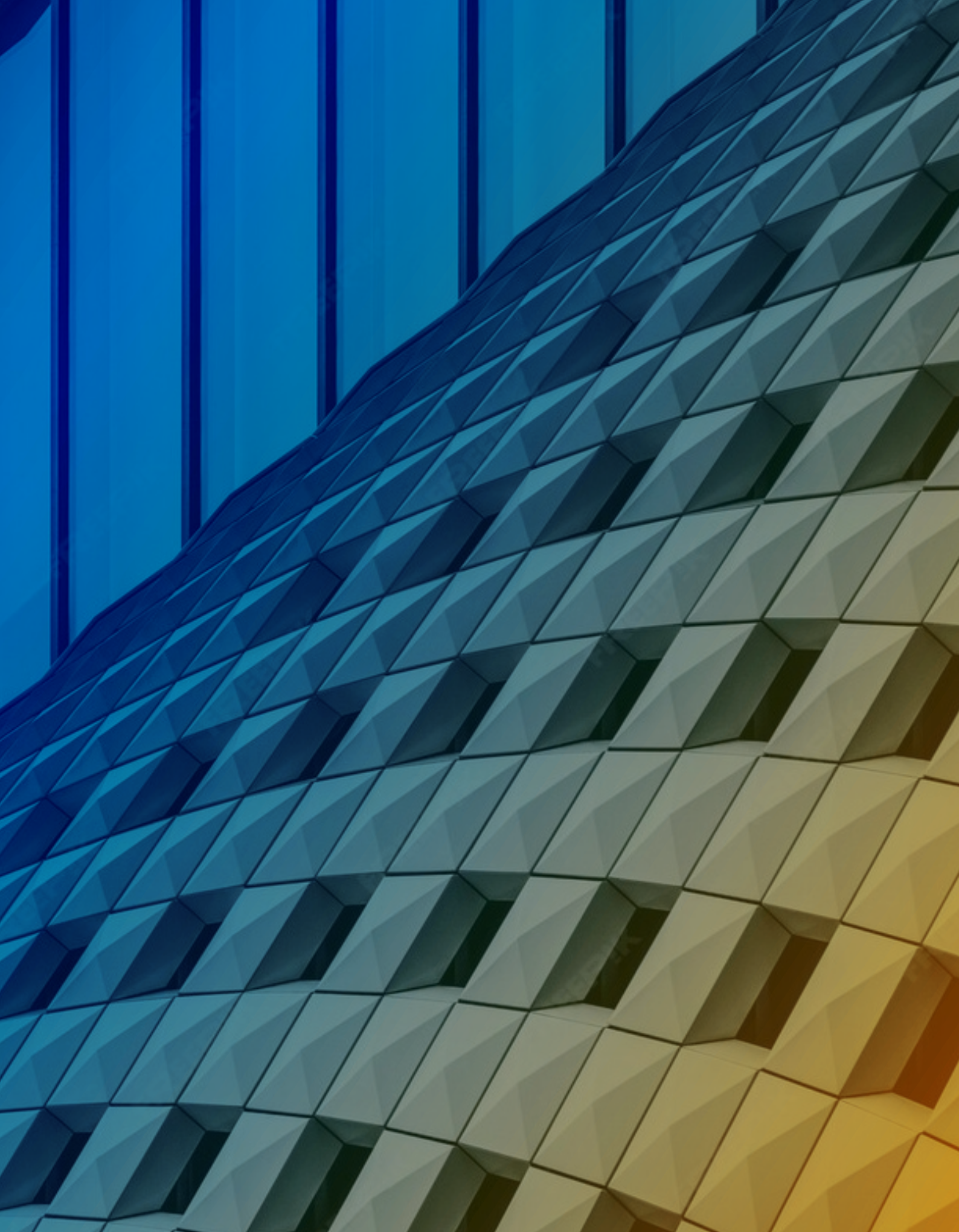
Uganda
Securities Exchange

Market in a Growth Dynamic Environment

Annual Report
2023



About This Report

The Uganda Securities Exchange Annual Report for 2023 offers a comprehensive overview of our performance, initiatives, and challenges during the year, as well as our future outlook. It underscores our commitment to corporate transparency, with a focus on our Environmental, Social, and Governance (ESG) initiatives, which are aimed at fostering sustainable development.

This report aims to provide stakeholders with an in depth understanding of how Uganda Securities Exchange (referred to here after as USE or The Exchange) generated value during the reporting period by utilising its diverse capital effectively. It presents a detailed account of key activities and milestones through out 2023, including financial performance, initiatives for market growth, operational advancements, and a steadfast commitment to corporate governance. Additionally, it outlines USE's strategy, identity, governance principles, operations, and performance metrics.

Purpose and Scope

This report is intended for our key stakeholders, providing insights to enable them to make an informed assessment of our capacity to create sustainable value over time. It contains information which the Board and Management deem relevant to stakeholders, including a comprehensive overview of The Exchange's performance for the financial year ended 31 December 2023.

We value your feedback on this report and encourage you to contact us at **legal@use.or.ug** with any questions or suggestions.

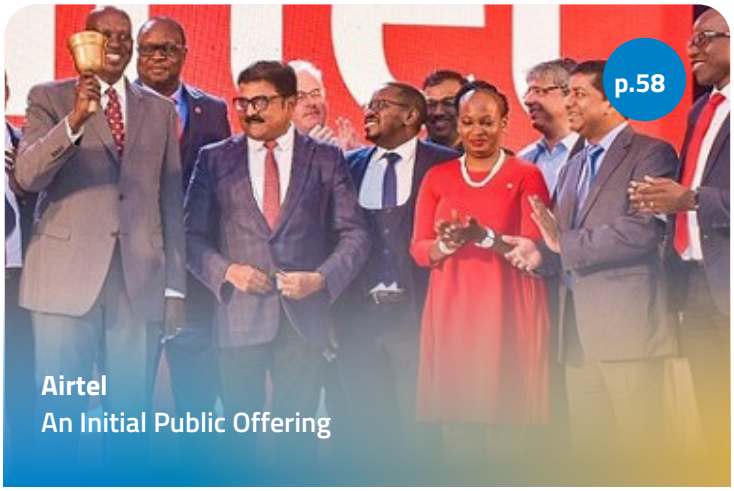
Furthermore, this report provides an overview of the trading and settlement operations of USE as the parent company, with specific insights into its subsidiaries, the USE Commodities Exchange (USE COMMEX). It also includes the activities of USE's operating subsidiary, USE Nominees Limited which operates as SCD Registrars and undertakes a registry function.

We outline how we create value for our key stakeholders, particularly financial capital providers. We are committed to integrated and balanced reporting on our strategic objectives, institutional mandate and our governance framework. The report also provides an overview of non-financial information and the sustainability of our business, as well as a comprehensive analysis of our financial performance.

The audited financial statements presented in this report adhere to International Financial Reporting Standards (IFRS) and have been independently audited by our external auditors, Ernst and Young.

Inspiring Growth of Uganda's Capital Markets

The primary function of the Exchange is to provide suitable premises and maintain facilities for conducting all the business of a securities exchange while regulating the market, and other activities related to dealing in securities in accordance with the rules and procedures of USE.



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Strategic Report

About Uganda Securities Exchange

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Uganda Securities Exchange at a Glance

Who we are

The Uganda Securities Exchange Limited was licensed to operate as an approved Securities Exchange in June 1997 by the Capital Markets Authority of Uganda under the Capital Markets (Licensing) Regulations 1996.

Following the enactment of the Capital Markets Authority (Amendment) Act 2016 on 20 May 2016, USE as a mutual organization was required to demutualize within 2 years from the date of enactment.

In accordance with the above requirement, Uganda Securities Exchange Limited was incorporated on 18 May 2017 as a public company limited by shares with authorized share capital of UGX 1 Billion divided into 100 Million shares of a nominal value of UGX10 shillings each.

Our Vision:

To be Uganda's preferred institution for investments and sourcing of capital.

Our Mission:

We are committed to empowering our customers through service excellence and innovation in order to promote safe, convenient and sustainable investments.

Our Core Values:

- **Efficiency:** We optimize processes and operations to maximize productivity and minimize waste.
- **Teamwork:** Our collaborative spirit drives seamless cooperation across functions and with stakeholders to achieve shared goals.
- **Innovation:** We pioneer new ideas and solutions that propel us to market leadership and sustainability.
- **Integrity:** Our commitment to ethical standards and transparency guides all our interactions and operations.
- **Customer Focus:** We prioritize the needs and satisfaction of our customers, placing them at the forefront of everything we do.

** Demutualization is the process by which a mutual company transitions into a company limited by shares*

How We Performed in 2023

Market Performance Highlights:

Total Market Capitalization (UGX)

Ugx. 19tn

Down from Ugx. 20.9 tn

a 9.09% decline from 2022

Domestic Market Capitalization (UGX)

Ugx. 11.2tn

Up from Ugx. 7.17 tn

a 56.21% growth from 2022

Growth in Trading Turnover

+302.8%

Up to Ugx. 155.8 bn

from Ugx. 38.66 bn in 2022

USE All Share Index

872.5pts

A drop from 1,212.6 pts

a 28.05% decline from 2022

Local Share Index (UGX)

271.9pts

A drop from 272.67 pts

a 0.30% decline from 2022

Financial Highlights:

Growth in Total Revenue (UGX)

+71.2%

Up to Ugx. 6.41bn

from Ugx. 3.75bn in 2022

Growth in Net Profit (UGX)

+243.5%

Up to Ugx. 1.83bn

from Ugx. 548.2m in 2022

Net Profit Margin (%)

28.6%

Up from 14.6%

a 95.35% growth from 2022

EBITDA Margin (%)

42.7%

Up from 29.86%

a 43.2% growth from 2022

Proposed Dividends (UGX)

Ugx. 662.8m

Up from Ugx. 210.4m

a 214.98% growth from 2022

Non-Financial Highlights:

19

Employees across the Company

Up from 16 in 2022

50%

Female Representation (Board level)

Up from 30% in 2022

20%

Female Representation (Senior Management)

Up from 18% in 2022

37%

Female Representation (Company wide)

Down from 56% in 2022

The Exchange's Structure

Uganda Securities Exchange

The Exchange provides a public marketplace for raising capital, investing, trading, clearing and settlement of equities, bonds and commodities.

Below is the group structure of the Exchange.

USE NOMINEES

SCD REGISTRARS

SCD Registrars provide a full range of registry services including;

- *Share Register Maintenance*
- *Processing of Entitlement files /Dividend Payments*
- *Administration of AGMs/EGM and Annual Report Dispatch*
- *Corporate Actions*
- *Regulatory Reporting*
- *Registration of Share Transfers and Transmission*
- *Direct Communication with Shareholders*
- *IPO Processing and Register Creation*

USE SPECIALIST MARKET

The subsidiary acts as a private placement market through its unquoted securities platform "USE Eddaala" and its related services. It supports companies that may not yet be eligible to list on the Exchange's public market segment, access capital for long term funding through private placements and restricted offers. Its main focus is Small and Medium Enterprises (SMEs).

USE
COMMODITIES EXCHANGE

This subsidiary's core mandate is to operate a commodities exchange, a neutral third-party service to the market of commodities that it provides in three ways;

- *Certification of quality commodities being sold and holding them in storage on behalf of the seller*
- *Operation of a clearing and settlement system for timely payments*
- *Operating a trading system that connects buyers and sellers while promptly sharing accurate market information after each trade.*

Market Segments

Main Investment Market Segment [MIMS]

The Main Investment Market Segment is for established and large companies seeking to raise funding.

The Main Investment Market Segment of the USE currently has 19 listed companies comprising of 11 local listed companies and 08 crosslisted companies.

Fixed Income Market Segment [FIMS]

The Fixed Income Market Segment provides a separate market for companies seeking to raise financing through issuance and listing of fixed income securities such as corporate bonds, preference shares and debenture stocks.

It also provides the market for investors to trade in the above securities. To date over 8 corporate bonds have been listed on FIMS. Government securities are also listed on this segment.

Growth Enterprise Market Segment [GEMS]

The Growth Enterprise Market Segment is a market platform that enables Small and Medium Enterprises to raise capital within a more flexible and enabling regulatory environment.

Memberships & Affiliations

The African Securities Exchanges Association (ASEA), established in 1993, is an association of 27 Securities Exchanges in Africa.

The Association works closely with member exchanges to unlock the potential of the African Capital Markets and the African economies they serve. It does so through training and capacity building, and by providing a reliable information portal on African public markets.

EASEA is a member- based association comprising of the Uganda Securities Exchange, Nairobi Securities Exchange, CDSC Kenya, Dar-es-Salam Securities Exchange, and the Rwanda Securities Exchange .

The core objective of the Association is to promote regional cooperation of the securities markets and growth.

The Association of National Numbering Agencies (ANNA)

is a global member association of National Numbering Agencies (NNAs) seeking to foster standardization within the financial industry through codification of financial instruments.

This is done through ongoing, collaborative work with market participants, regulators, and other standards bodies.

USE is the designated national numbering agent for the Ugandan jurisdiction

The Sustainable Stock Exchanges (SSE) initiative is a peer-to-peer learning platform for exploring how exchanges, in collaboration with investors, regulators, and companies, can enhance corporate transparency – and ultimately performance – on ESG (environmental, social and corporate governance) issues and encourage sustainable investment.

The SSE is organized by the UN Conference on Trade and Development (UNCTAD), the UN Global Compact, the UN Environment Program Finance Initiative (UNEP FI), and the Principles for Responsible Investment (PRI)

Listed Companies and Trading Participants

Issuers

An issuer is a Government or body incorporated in or established under the Laws of Uganda or other legal entity whose securities are either listed on the Uganda Securities Exchange or are subject of an application for listing.

Locally Listed

Cross Listed

Equities

Uganda Clays Ltd. — Beauty to Last
BAT Uganda
Bank of Baroda
Kenya Airways — The Pride of Africa
KCB — Making the Difference
NIC Holdings Ltd
UMEME — Powering Uganda
Vision Group — National Pride • Global Excellence
Centum — tangible wealth
Nation Media Group — Media of Africa for Africa
Stanbic Uganda
dfcu
Acil — Quality Chemical Industries Limited
Jubilee Holdings
Equity Bank
MTN
airtel
eabl — Celebrating Life

Debt Instruments

Government Of Uganda

Licensed Brokers

A Broker means a body licensed by the Capital Markets Authority and approved by the USE to carry on the buying and selling off securities as an agent for investors, in return for a commission, interchangeably refered to as a trading participant.

Dyer & Blair Uganda Limited
CRESTEDCAPITAL
Sbg Securities Uganda Limited — A member of Standard Bank Group
OLDMUTUAL INVESTMENT GROUP
Chipper

Custodian Banks

Custodian banks play a crucial role in the securities exchange ecosystem by providing safekeeping, settlement, and administrative services for securities on behalf of their clients, which can include institutional investors, mutual funds, and individual investors.

KCB — Making the Difference
Stanbic Bank — A member of Standard Bank Group
standard chartered
Housing Finance Bank
BANK OF AFRICA — BMCE GROUP

Our Year of Unprecedented Growth and Strategic Progress

Growth in
Profit After Tax (UGX)

+243.5%

↑ **Up to Ugx. 1.83bn**
from Ugx. 548.2m in 2022

Growth in
Total Assets (UGX)

+19.1%

↑ **Up to Ugx. 10.47bn**
from Ugx. 8.79bn in 2022

Growth in
Return on Capital(UGX)

+113.4%

↑ **Up to 27.15%**
from 12.72% in 2022

In 2023, Uganda Securities Exchange navigated a complex operating environment shaped by global and domestic factors.

Operating Environment

The global financial landscape exhibited cautious optimism amidst ongoing economic uncertainties. Central banks worldwide faced inflationary pressures, with the Federal Reserve's interest rates rising from 3.00% at the start of the year to 4.75% by December 2023. This shift influenced market dynamics and investor sentiment, with global economic growth estimated at 2.5% for 2023, down from 3.0% in 2022. Geopolitical tensions and persistent supply chain disruptions such as the Russia-Ukraine war and tensions in the Middle-East continued to affect market stability, thereby reflecting a complex environment for financial markets globally. Despite easing inflation and moderated commodity prices, investor sentiment remained cautious, influencing global financial markets.

Regional Environment

On the regional front, Uganda, as part of sub-Saharan Africa, is interconnected with the rest of East Africa, meaning that economic issues in one country can influence investor perceptions across the region. For instance, the Kenyan shilling's decline, which saw it lose approximately 19.54% of its value against the Ugandan shilling, had a significant impact on Uganda.

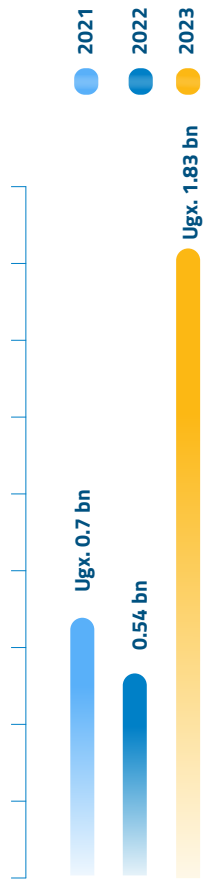
Additionally, concerns about Kenya's ability to repay its USD 2 billion Euro-Bond maturing in June 2024 created further investor anxiety. This regional turmoil led to a pause in equity flows into Uganda, as investors perceived the challenges within the East African region as interlinked.

Domestic Environment

The year displayed marked improvement in the overall macro-economic environment. Inflation saw a sharp decline during the period from 10.4% in January 2023 to 2.6% in December 2023. The Uganda Shilling gained by 19.54% against the Kenya Shilling and lost 2.20% against the US Dollar. The Bank of Uganda's Monetary Policy Committee maintained its benchmark rate at 9.5% at the end of the year during its December 2023 meeting. The first drop occurred in August 2023 after the Central Bank had steadily maintained the rate for 10 months at 10%.

Despite these challenges, Uganda's economy showed resilience, supported by infrastructure projects and government initiatives aimed at enhancing economic stability and growth.

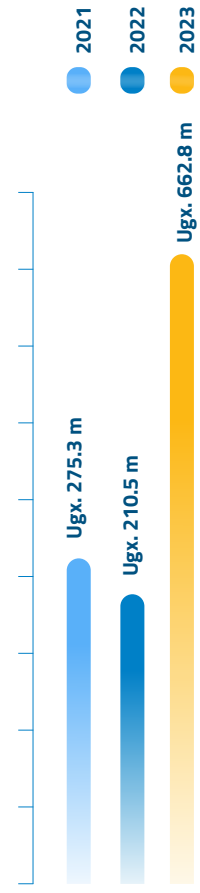
Profit After Tax (UGX)



Ugx. **1.83**bn

Up from Ugx. 548.2m

A 243.5% growth from 2022



Proposed Dividends

Ugx. 662.8 m

Up from Ugx. 210.5

A 214.98% growth from 2022

Business and Financial Performance

During the year, we achieved significant milestones in business and financial performance, with profit after tax rising to Ugx. 1.83 billion, up by 243.5% from Ugx. 548.2 million in 2022. Our revenue also surged by 71.2% to Ugx. 6.41 billion, compared to Ugx. 3.75 billion in 2022. In addition, our trading turnover soared from Ugx. 38.66 billion in 2022 to Ugx.155.75 billion in 2023.

This growth was driven by increased trading activity, higher fees and commissions, and a diversified revenue base, heightened by increased investor interest and improved market performance.

Strong Balance Sheet

Our financial position remains robust, with total assets amounting to Ugx. 10.47 billion by the end of 2023, up from Ugx. 8.79 billion in 2022. This strong balance sheet supports our strategic initiatives and provides a solid foundation for future growth and investment.

Dividend

In recognition of our strong financial performance, the Board of Directors recommended a dividend of Ugx. 662.87 million for 2023, a substantial increase from the Ugx. 210.45 million declared in 2022. This reflects our commitment to delivering value to shareholders while reinvesting in our strategic priorities.

Progress on Strategy

Listing of Airtel Uganda on the Main Investment Market Segment

Airtel Uganda was listed on the Main Investment Market of the Uganda Securities Exchange. The Initial Public Offering (IPO) aimed to raise Ugx. 211 billion by offering 8 billion shares to the public. The IPO received subscriptions for 4.36 billion shares, representing 54.45% of the offered shares. This level of participation was driven by 4,614 retail investors. While the IPO did not reach full subscription, it still garnered interest from both institutional and retail investors, contributing to increased market activity.

This IPO registered retail investor participation of 4,614 investors, demonstrating a strong market appetite for new listings.

Acquisition of Cipla QCIL by Africa Capital Works SSA 3

Another notable milestone on trading activity for the year was the acquisition of Cipla Quality Chemical Industries Limited (QCIL) by Africa Capital Works SSA 3. This landmark transaction, valued at approximately Ugx. 98 billion, was particularly significant as it accounted for 68.66% of the total shares traded during the period. The acquisition underscored strong investor confidence in the pharmaceutical sector and highlighted the attractiveness of the Ugandan capital markets.

Bank of Baroda Bonus Share Issuance

Additionally, Bank of Baroda Uganda's successful bonus issuance of 12.5 billion shares in June 2023, raised UGX 125 billion, further bolstering its capital base and enhancing market liquidity. This issuance was instrumental in boosting trading volumes and underscored the dynamic nature of the capital markets.

These activities collectively illustrated the vibrance and appeal of the Uganda capital markets, reaffirming our commitment to fostering a dynamic and engaging trading environment.

Defining the Path for Commodities Trading

In our pursuit of market diversification, we undertook actionable initiatives towards advancing the USE COMMEX, a subsidiary that was introduced in 2021. During the year, we conducted a successful premier pilot with Agroways (U) Limited from January to April 2023, which yielded valuable insights through a comprehensive assessment and gap analysis. This pilot highlighted areas for improvement and helped us refine our approach to building a robust commodity trading platform.

Governance Updates

This year, we appointed Ms. Jacintah Akino as the new Company Secretary, effective August 14, 2023, who replaced the former Company Secretary, Ms. Alison Kwikiriza-Serucaca. We are grateful for Alison's contributions and look forward to Jacintah's expertise in enhancing governance and stakeholder communication.

Growth Outlook

The Exchange is optimistic about our growth outlook driven by our strategic efforts to enhance operational efficiency. Our investment in advanced technology and streamlined processes has been designed to reduce transaction costs, improve market liquidity, and facilitate more efficient market operations.

Furthermore, we anticipate continued growth in both equities and bond markets. The positive performance of key listings, coupled with a supportive regulatory environment, reaffirms investor confidence and market activity. Additionally, our digital initiatives, such as enabling direct bond market participation through USE Easy Portal and licensed stock brokers, are designed to enhance market accessibility and resilience in varying market conditions.

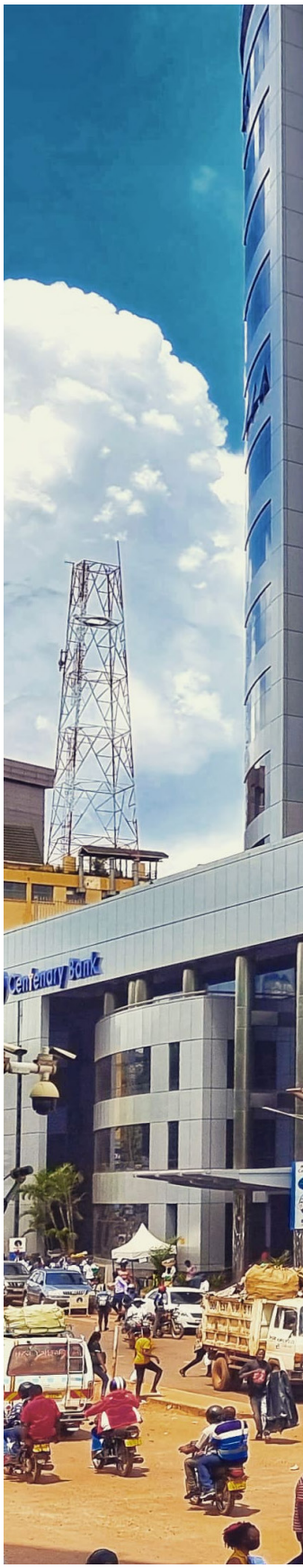
Appreciation

I extend my sincere appreciation to our Board of Directors, management team, employees, and all stakeholders for their unwavering support and dedication throughout 2023. Your contributions have been instrumental in achieving our milestones and driving the success of the Uganda Securities Exchange.

As we look forward to 2024, we remain committed to our strategic objectives and eager to build on the progress made. Together, we will continue to advance Uganda's capital markets and deliver lasting value to our stakeholders.

Chairman, Board of Directors

We anticipate continued growth in both equities and bond markets. The positive performance of key listings, coupled with a supportive regulatory environment, reaffirms investor confidence and market activity



GADITH
ASTORIA HOTEL
UHURU

Growth in
Revenue (UGX)

+71.2%

↑ **Up to Ugx. 6.41bn**
from Ugx. 3.75bn in 2022

Growth in
Operating Profit (UGX)

Ugx.2.62bn

↑ **Up from Ugx. 1.02 bn**
A 155.6% growth from 2022

Growth in
EBITDA Margin (%)

42.7%

↑ **Up from 29.86%**
A 43.2% growth from 2022

This surge was driven by intensified market activity, notably propelled by the acquisition of Cipla QCIL – Africa Capital Works SSA 3, Bank of Baroda's share issuance, and the Airtel IPO.

As we look back on 2023, I am pleased to reflect on the significant strides that the Uganda Securities Exchange has made. Our achievements this year are a testament to our commitment to innovation, market growth, and delivering value to our stakeholders.

Growth and Profitability

This year marked a period of remarkable growth and profitability for the USE. Our profit after tax surged to UGX 1.83 billion, a substantial increase from UGX 548.2 million in 2022, highlighting the success of our strategic initiatives and robust market activities. Revenue also experienced a significant boost, rising by 71.2% to UGX 6.41 billion from UGX 3.75 billion the previous year.

This growth was driven by increased trading volumes and a diversified revenue mix, including fees, commissions, and interest income, which has fortified our financial foundation and enhanced our resilience against market fluctuations. Additionally, our operating profits rose notably to UGX 2.62 billion from UGX 1.02 billion in 2022, and our EBITDA margin improved to 42.77% from 29.86%.

Our asset growth further underscores our financial stability, with total assets climbing to UGX 10.47 billion from UGX 8.79 billion.

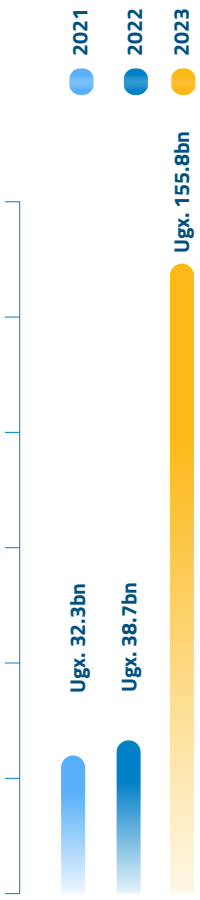
Business Performance

This year marked the fourth year of our five-year strategy, and we achieved significant milestones in both equity and fixed-income markets.

In the equity markets, trading turnover surged significantly from UGX 38.7 billion in 2022 to UGX 155.8 billion in 2023.

In the equity markets, trading turnover surged dramatically from UGX 38.66 billion in 2022 to UGX 155.75 billion in 2023. This increase reflects heightened investor interest and improved market performance.

Notable activities on the secondary market included Bank of Baroda Uganda's bonus issuance of 12.5 billion shares, raising UGX 125 billion, and the acquisition of Cipla Quality Chemical Industries Limited by Africa Capital Works SSA 3, which represented 68.66% of the shares traded. Our Local Share Index movement signaled a stable market environment and maintained investor confidence. Additionally, the Initial Public Offering of Airtel Uganda, which listed 40 billion shares and raised UGX 211 billion boosted the local market capitalization to Ugx. 11.2 trillion.



Trading Turnover (Equities)

Ugx. 155.8bn

Up from Ugx. 38.7bn

A 302.8% growth from 2022

In 2023, the performance of various market indices reflected diverse trends across the region. The Uganda Securities Exchange All Share Index (ALSI) closed the year at 872.50 points, marking a significant decrease of 28.05% from its January starting point of 1,212.58. Similarly, the USE Local Companies Index (LCI) experienced a negligible decline of 0.30%, ending at 271.85 from 272.67 at the beginning of the year.

In the Fixed-Income Market, the African Development Bank (ADB) medium term note matured and was delisted, while the Kakira Bond was fully redeemed and also delisted.

Regarding the Government securities market, we observed 106 securities (treasury bills and bonds) listed on The Exchange during the year. We also noted increased participation by investors in the bond market through The Exchange's Alternative Bond Access initiative that contributed UGX 7.3 Billion in Government Bond auctions by retail investors.

Furthermore, we undertook significant strides toward connecting the Bank of Uganda (BOU) CSD and the USE SCD systems to streamline bond market access, thereby contributing to overall market efficiency.

The USE Specialist Market - Eddaala made significant strides with the 16 applications we received upon launching in November 2022. From these, 8 were shortlisted and 2 were selected to be on boarded onto the specialist market. The remaining 6 companies were taken through an incubator program to nurture and support them in acquiring vital knowledge to prepare them for market based financing.

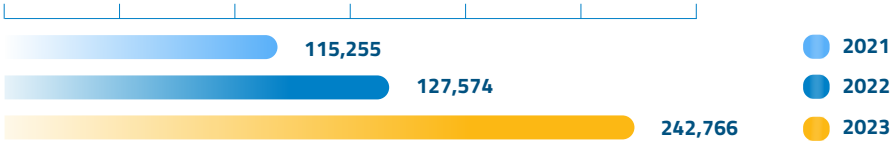
The USE Commodities Exchange saw notable advancement during the year, particularly with the USE Commodities Trading Platform being customized to fit the market needs. In addition, the Phase One Pilot conducted with Agroways (U) Ltd in February 2023 yielded important insights and revealed challenges, which paved the way for a more structured and practical implementation of the project.

Total Number of SCD Accounts

242,766

Up from 127,574

A 90.4% growth from 2022



The Securities Central Depository (SCD) also experienced substantial growth, with the number of accounts increasing by 90.40% to reach 242,766 by year-end.

We commenced a review of our data vending services with the objective of improving our access and pricing policy to broaden our data-client investor base and provide more customized information aligned to their specific needs.

The Securities Central Depository (SCD) experienced substantial growth, with the number of SCD accounts increasing from 127, 574 in 2022 to reach 242,766 by year-end 2023. This increase was driven by the USSD channels that provided a convenient way for investors to seamlessly open accounts. The Exchange in collaboration with MTN and Airtel Uganda drove this inclusion initiative. Notably, 75,000 accounts (representing 72% of all new accounts) were opened via USSD, reflecting a positive shift towards digital engagement and financial inclusion in the market.

Our registry services also experienced growth, and were updated to better support market participants, streamline operations, and ensure efficient management of share registers, dividend payments, corporate actions, and IPO processes.

In 2023, as an alternative source of revenue, we introduced a variety of targeted training initiatives like the ESG Disclosures and Sustainability Masterclass, designed to enhance the knowledge and skills of leadership across both listed and non-listed companies.

Operational Efficiency and Technology Integration

I am pleased to announce that The Exchange has made substantial progress in streamlining operations through technological advancements. Our commitment to enhancing the investor experience has led to the introduction of new features and services on the Easy Portal and USSD platforms. These include, but are not limited to, sale orders, last five transactions, and portfolio holdings. By leveraging technology, we aim to further elevate our value proposition and empower our investors.

The user-friendly interface of the Easy Portal makes it simple for investors to navigate and utilize these services. To experience the convenience of the Easy Portal firsthand, please visit [Link to Easy Portal].

Agile and Purposeful People Operations

As part of our commitment to improve our work place, we focused on digitizing our agile and purposeful people operations. This included transitioning internal communications to transition to a paperless environment. This initiative not only promotes environmental sustainability but also boosts operational efficiency.

Our approach to staff engagement has been proactive, encompassing comprehensive training and development programs as well as specialized courses tailored to specific departmental needs.

Sustainability initiatives

As a member of the Sustainable Stock Exchanges (SSE) initiative, The Exchange is committed to advancing best practices in sustainability.

We commemorated World Investor Week, and organized impactful events such as the Ring The Bell for Gender Equality and the Women's Investment Breakfast.

We also advocated for comprehensive ESG reporting, through the Annual FiRe Awards in collaboration with CMA , ICPAU, and New Vision to promote ESG practices

Outlook

2023 marked the fourth year of our five-year strategy at The Exchange. This year, our focus has been on completing outstanding initiatives and driving forward with key strategic priorities. We have also placed significant emphasis on advancing our digital transformation and expanding our product offerings to better serve the market.

A core component of our strategy has been to solidify our commitment to sustainability, ensuring that our operations align with best practices and contribute to responsible market growth. Looking ahead, we are on track to finalize all pending activities outlined in our strategy. These will include expanding market offerings, enhancing our technological infrastructure, and furthering our efforts to improve market liquidity and transparency. Key initiatives in the coming period will focus on advancing Securities Central Depository services, facilitating bond trading with the Central Bank, and expanding USE COMMEX and the Specialist Market ("USE Eddaala") to support high-growth SMEs.

In 2024, we will embark on adopting the new IFRS Standards S1 and S2, which set comprehensive disclosure requirements for sustainability-related risks and opportunities, as well as climate-related disclosures. As organizers of the Annual FiRe Awards in collaboration with CMA, ICPAU, and New Vision, we intend to lead by example and encourage both listed and non-listed companies to voluntarily adopt these standards.

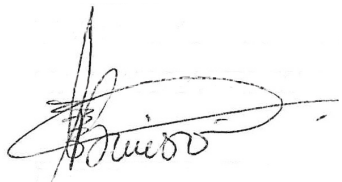
Additionally, we will continue to innovate in digital trading processes and strengthen regulatory oversight to ensure market integrity. We remain committed to exploring new opportunities for market expansion and enhancing our collaboration with regional and international partners, reinforcing our positioning in the capital markets.

Appreciation

I would like to extend my heartfelt appreciation to all our stakeholders for their unwavering support and dedication. Our achievements in 2023 would not have been possible without the commitment and efforts of the Board of Directors, Shareholders, Regulators, Brokers, Partners, and Investors. Your trust and collaboration have been instrumental in our continued success, and we are grateful for your contributions.

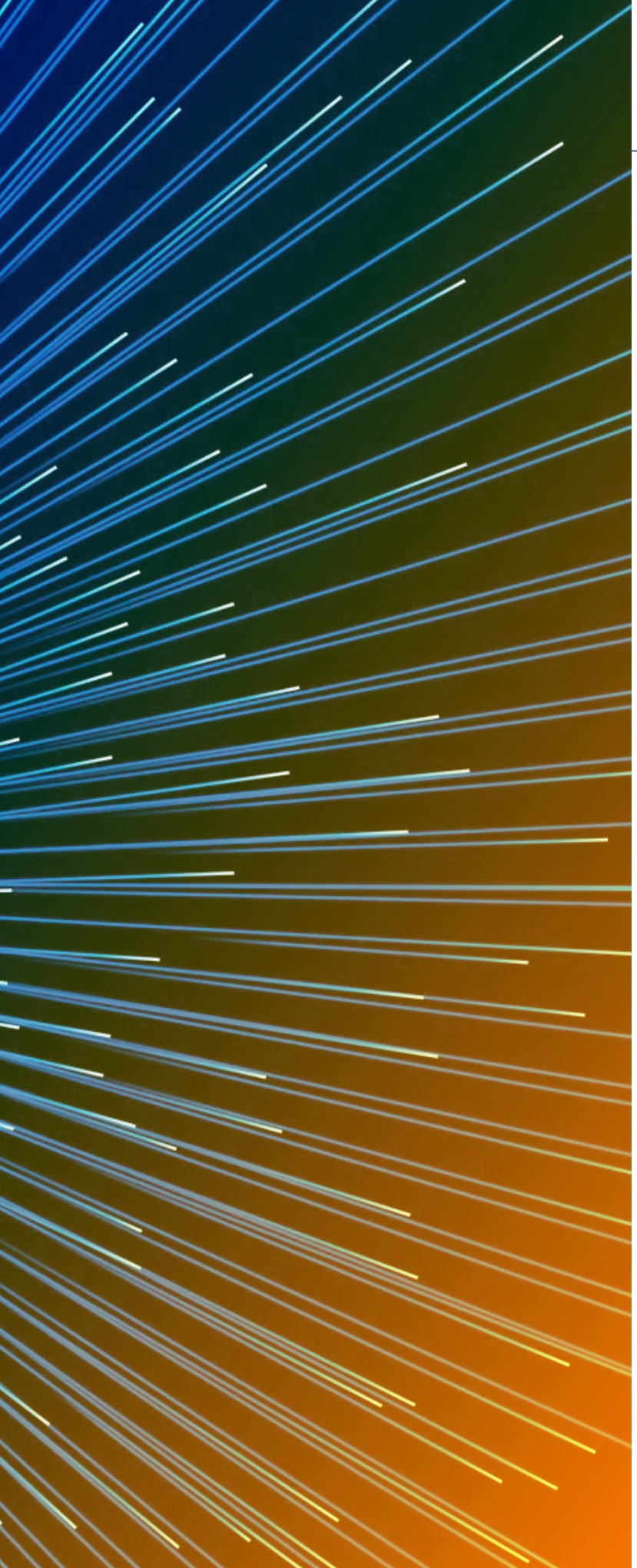
I also wish to acknowledge the tireless work of the USE team, whose expertise and dedication are pivotal in driving our strategic initiatives and operational excellence. As we move forward, we look towards building on our successes and working together to achieve new milestones in the years ahead.

Thank you for your continued support and partnership in inspiring growth.



Paul Bwiso
Chief Executive Officer

Fundamental Information
about The Exchange



Fundamentals of The Exchange

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36	Our Purpose and Strategy
39	How The Exchange Manages Risk
42	Managing Our Stakeholders' Evolving Needs

How The Exchange Creates Value

1. Does Uganda really need a Securities Exchange? Why?

A securities exchange plays a pivotal role in the financial markets and broader economy of a country by serving as a regulated marketplace where securities such as stocks, bonds, and other financial instruments are traded.

It facilitates capital formation by enabling companies to raise funds from a wide pool of investors, thus offering support for businesses to expand and innovate.

It also ensures liquidity, allowing investors to quickly buy and sell securities, which helps in price discovery and the efficient allocation of resources.

Additionally, it enforces transparency and regulatory standards, fostering investor confidence and contributing to financial stability. By supporting investment opportunities and wealth creation, a well-functioning securities exchange ultimately drives economic growth and development.

2. What is USE's mandate?

- Provide critical financial markets infrastructure that facilitates the listing of securities
- Operate an orderly trading, clearing and settlement system and regulate it accordingly
- Ensure sufficient market supervision and compliance with USE Rules
- Operate The Exchange as a sustainable and profitable business.

3. How does USE fulfil Its mandate?

The Exchange leverages its resources and relationships as follows

Financial Capital:
Our operations and growth are sustained through financial resources sourced from retained earnings.

Technological Capital
As a technology-driven company, our IT systems and infrastructure form a significant part of our operations. These assets enable secure transaction processing between market participants and provide access to analytical data across primary and secondary markets.

These developed technologies and systems enhance our ability to meet the evolving demands of the Ugandan market, ensuring alignment with stakeholder expectations.

Human Capital:
Comprising skilled professionals in capital markets, technology, governance, risk management, trading, business development, and stakeholder relations among others. Our internal team offers support in driving the organization's strategic objectives and success.

Social and Relationship Capital:
We continuously and actively engage with our diverse stakeholder groups to meet their evolving needs and ensure tailored value creation within the Ugandan market.

Natural Capital:
This encompasses all renewable and non-renewable environmental resources and processes that we utilize to support the past, current, and future prosperity of The Exchange. It includes electricity, water, paper and overall preservation of our ecosystem.

4. How do we run the core operations of The Exchange?

Securities Listing Infrastructure

Primary Market

- Financial Instruments Codification
- Due Diligence & Verification
- Listing/ Initial Public Offer

Automated Trading System

Secondary Market

CAPITAL MARKETS

Main Investments Market Segment [MIMS]

Where publicly listed equities are traded

P.C.S

Fixed Income Market Segment [FIMS]

Where debt instruments are traded

G.B C.B

Growth Enterprise Market Segment [GEMS]

Where high growth SME deals are financed

p.C.S

COMMODITIES MARKETS

USE Commodities Exchange [USE COMMEX]

Where commodities are traded

A.P

**P.C.S - Public Company Shares | G.B - Government Bonds | C.B - Corporate Bonds | p.C.S - Private Company Shares | A.P - Agricultural Products*

Securities Central Depository

- Managing and Maintainance of Accounts
- Clearing and Settlement of Trades
- Immobilisation of Share Certificates

Data Vending

Services

- Market data
- Reference data
- Corporate Actions
- Client Information
- Indices
- Valuations
- Business Intelligence
- Trading Statistics

Client Support

Services

5. What are USE's Key Outputs?

Primary Market

The primary market is the platform where new securities are created and sold to the public, such as during an initial public offer (IPO).

In an IPO, a public company issues shares to the public for the first time, allowing investors to buy shares directly through an underwriter. This process enables investors to contribute capital to the company, with the funds raised forming the company's equity capital.

Main Investments Market Segment [MIMS]

The Main Investment Market Segment is for established and large companies looking to raise funding.

The Main Investment Market Segment of the USE currently has 19 listed companies comprising of 11 Locally Listed companies and 08 Cross listed companies.

Post Trade Services

Offering timely clearing, settlement and reporting services

Issuer Services

We provide the following services for our listed companies:

Platform for Issuers to interact with their stakeholders for events like Investor Briefs, "Facts Behind The Figures" etc

Training Services and Market Awareness Sessions

Registry Services

Registry Services like Annual General Meeting (AGM) facilitation,which includes proxy solicitation, electronic voting and minute-taking services.

Fixed Income Market Segment [FIMS]

The Fixed Income Market Segment provides a separate market for companies to raise financing through issuance and listing of fixed income securities such as corporate bonds, preference shares and debenture stocks.

It also provides the market for investors to trade in the above securities. To date over 8 corporate bonds have been listed on FIMS. The segment also lists Government securities.

Growth Enterprise Market Segment [GEMS]

The Growth Enterprise Market Segment was established in recognition of the fundamental role of "Small and Medium Sized Enterprises" (SMEs) as a major driver of our Uganda's economy and ultimately the overall financial system of Uganda.

The GEMS platform enables SMEs to raise substantial initial and ongoing capital, while benefiting from an increased profile and liquidity within a regulatory environment designed specifically to meet their needs.

Commodities Exchange

This subsidiary's core mandate is to operate a commodities exchange which is a neutral third-party service to the market of commodities. TIt does this in three ways;

- Operates a trading system that links potential buyers and sellers and disseminates timely and credible market information as soon as trades are made.
- Verification and certification of the quality of commodities being sold as well as holding them in storage on behalf of the seller.
- Operation of a payment clearing and settlement system to ensure correct amounts are paid and on time

Data Vending Services

We offer a range of information services including market data, reference data, corporate actions, client information, indices, valuations, business intelligence, and statistics.

The data vending division manages the promotion, licensing, and distribution of all USE data vending services across various USE markets, with a primary focus on the Equity Market.

6. How do we create value for our stakeholders?

Our leading value proposition enables us to provide access to credible information for all our stakeholders.

Customer Support: We generate insights and propose solutions for our stakeholders on how to manage any underlying and/or developing risks.

We provide up to date market information to the investing public.

Innovation: USE monitors developments in our operating landscape across markets, asset classes and through partners, and pursues initiatives that enable our customers manage cost, improve efficiency and act on insight.

Enhanced Opportunities: USE possesses an extensive network of customers whose ongoing support, trust and input into our business is essential to the generation of long-term value for all our stakeholders

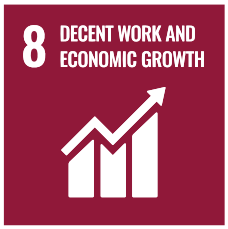
Regulatory Assistance: We have proven expertise in operating transparent, efficient and well-governed market infrastructure in regulated markets.

People and Culture: We are focused on providing an environment that is both diverse and inclusive. We believe that a commitment to diversity and equal opportunities are key to driving innovation and building a culture that facilitates the achievement of our strategic objectives.

7. How does USE contribute to sustainability

SDG 5: Gender Equality:

We promote gender equality through various initiatives aimed at enhancing gender diversity and empowerment. Within our operations, we actively support gender diversity in leadership and governance, fostering an inclusive environment.



SDG 8: Decent Work and Economic Growth

We contribute to SDG 8 by facilitating economic growth and job creation through our role as a platform for companies to raise capital. Through initiatives to enable access to financing, we support businesses in expanding their operations and creating employment opportunities, thereby contributing to sustainable economic development.

SDG 9: Industry, Innovation, and Infrastructure

We advance SDG 9 through continuous innovation in financial market infrastructure. Implementing electronic trading platforms and the Automated Trading System (ATS) enhances market efficiency, transparency, and accessibility. These technological advancements strengthen Uganda's financial infrastructure, supporting sustainable industrialization and fostering innovation within the market.

SDG 10: Reduced Inequalities

We address SDG 10 by promoting inclusive economic growth and reducing inequalities. We do this by providing a platform for both large corporations and smaller enterprises to access capital markets. This effort reduces economic disparities and promotes inclusive economic growth.

SDG 17: Partnerships for the Goals

We contribute to SDG 17 through strategic partnerships and collaborations with stakeholders including listed companies, regulatory bodies like the Capital Markets Authority, international partners, and local communities. These partnerships promote sustainable and transparent capital markets, enhancing resilience and inclusivity.

Navigating Our Operating Environment

The Exchange diligently monitors both macro and micro trends that impact the business to anticipate market shifts, adapt strategies, and enhance investor experiences.

Mega Trend	Description/ Implication
Regional Dynamics	Uganda is interconnected with the rest of East Africa, this means that economic issues in one country can influence investor perceptions across the region. For instance, the Kenyan shilling's decline in 2023, which saw it lose approximately 20.26% of its value against the Ugandan shilling, had a significant impact on Uganda. Additionally, concerns about Kenya's ability to repay its USD 2 Billion Euro-Bond maturing in June 2024 created further investor anxiety. This regional turmoil led to a pause in equity flows into Uganda, as investors perceived the challenges within the East African region as interlinked.
Domestic Dynamics	In 2023, Uganda achieved significant strides towards economic stability and growth, with the country's gross domestic product (GDP) increasing to 5.2%, up from 4.7% in 2022. The year also witnessed notable improvements in the macro-economic environment. Inflation rates saw a sharp decline from 10.4% in January 2023 to 2.6% by December 2023. The Ugandan Shilling appreciated by 19.83% against the Kenyan Shilling but depreciated by 2.20% against the US Dollar. The Monetary Policy Committee of the Bank of Uganda maintained its benchmark rate at 9.5% for a ten-month period until August 2023.
Technological/ Digital Acceleration	Advances in digital technologies are reshaping product and factor markets, altering business models, and transforming work. Securities Exchanges worldwide have provided customers with the ability to open and navigate their accounts in real time. Therefore, Uganda, through the influence of The Exchange has followed suit.
ESG and Sustainability Considerations	ESG trends have increasingly influenced investor preferences and decisions, as investors increasingly focus on companies' efforts to reduce carbon emissions, adopt renewable energy, and mitigate climate risks in their operations. At the USE, we consider sustainability, social impact, and ethical practices in addition to seeking transparent reporting on financials, executive compensation, and decision-making processes.

How We Are Positioned To Respond

The Exchange continues to encourage the diversification of investment portfolios. We actively promote a mix of local and foreign securities, to reduce reliance on any single market. Additionally, we have intensified investor education programs as it is our belief that educated investors make informed decisions and are less likely to panic during regional economic fluctuations.

Uganda's robust GDP growth signaled economic resilience and investor confidence.

The consistent benchmark rate maintained by the Bank of Uganda (9.5%) provided a stable and predictable monetary policy fostered investor confidence during the year, evidenced by the bourse's overall performance.

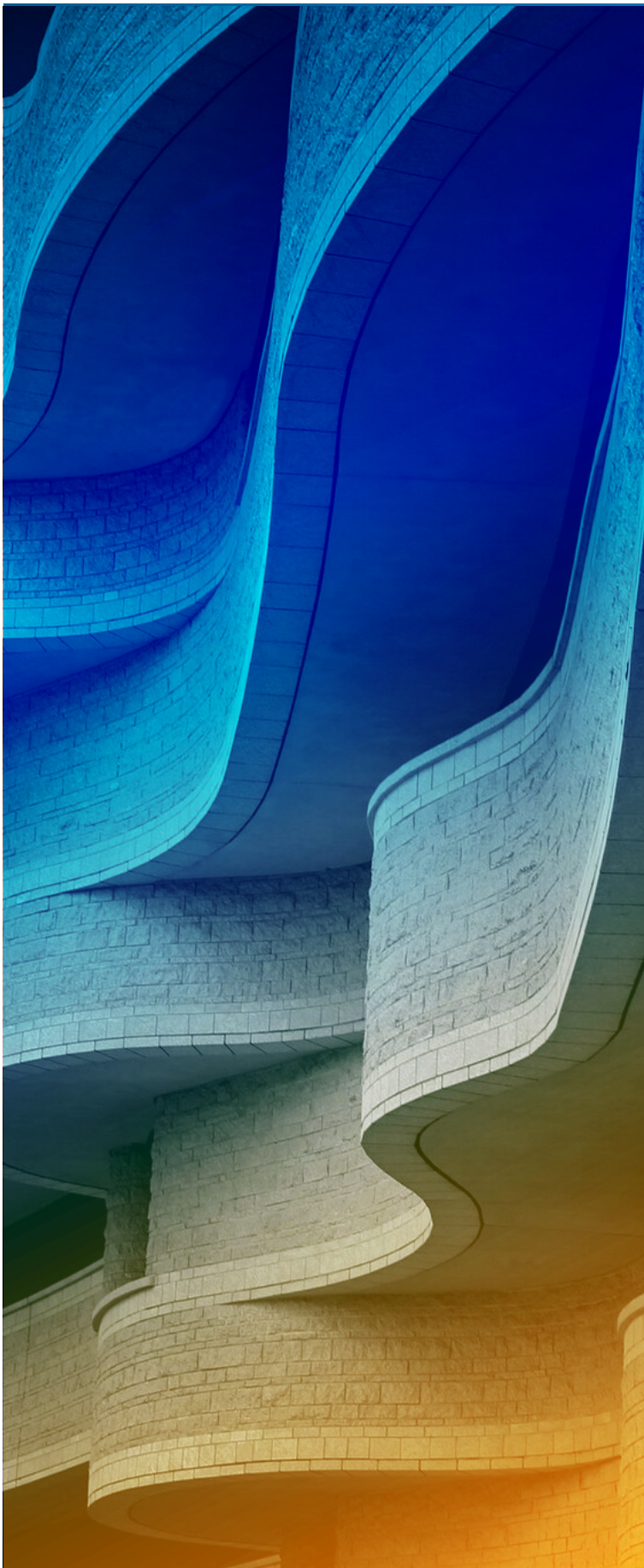
We are constantly innovating around digital enhancements to improve our operations and ease investor access to the market.

We developed a connectivity channel for Airtel Uganda Limited during the IPO, which provided a seamless accounts opening solution on Airtel Money. Having pioneered this approach in 2021, we set a trend for Africa as more Securities Exchanges started adopting the use of mobile money for IPO openings. In addition to this, we rolled out our mobile application to enable investors open accounts more conveniently.

In line with our commitment to environmental sustainability, The Exchange strives to minimize the usage of paper in its operations.

Similarly, in alignment with our commitment to transparent reporting, we actively support Integrated Reporting through the FiRe Awards, an advocacy tool that encourages companies to disclose essential information related to ESG factors.

We continue to offer educational programs and workshops like the USE ESG Disclosures and Sustainability Masterclass to enhance the knowledge and compliance of companies (both listed and non-listed) within the market.



Our Purpose and Strategy

Our Purpose

Uganda Securities Exchange Limited (USE) exists to provide a robust and transparent platform for securities trading in Uganda. We ensure the smooth operation of trading, settlement, and delivery processes, maintaining suitable premises and facilities in accordance with our rules and procedures.

Our Competitive Differentiators

Innovative Technology Solutions: Leveraging advanced financial technology (fintech) solutions such as electronic trading platforms, mobile applications, and real-time data analytics to enhance market efficiency and accessibility.

Customer-Centric Approach: Commitment to service excellence through personalized customer service, tailored investment solutions, and continuous improvement based on customer feedback and market trends.

Accessibility and Inclusivity: Promoting inclusive access to capital markets through initiatives that support small and medium enterprises (SMEs), women-led businesses, and other underserved segments of the market.

We are a trusted long-term partner: Collaborating with local and international stakeholders, including regulatory bodies, financial institutions, and technology providers, to strengthening market infrastructure, expand service offerings, and promoting sustainable economic growth.

2023 Initiatives

- Conducted a pilot of the commodities exchange business model to identify gaps
- Launched the SME incubator under our private market segment
- Received applications for the incubator and 2 companies were shortlisted
- Progressing in the connection of The Exchange's SCD and Bank of Uganda's CSD

2024 Focus Areas

- Connection to the Bank of Uganda Real Time Gross Payment System (RTGS) to enable fast settlement of transactions
- Commence Commodities Trading on the platform

Automate for Operational Efficiency

- Launched The Exchange's proprietary mobile application, an extension of the USE Easy Portal providing clients a seamless way to view their portfolios and access market information anywhere on their mobile devices.
- Enhanced trading accessibility on MTN's USSD platform allowing investors to trade securities conveniently from their mobile devices.
- Extended direct market access for investors through a partnership with the Airtel using their USSD platform during the IPO allowing for account opening which saw over 74,000 accounts opened as a result.
- Developed the Commodities Exchange (COMMEX) trading System that will be used by ecosystem participants
- Made progress in the development of the Broker Back Office System, an opt-in digital product, that would enable brokers efficiently manage their transactions with clients.
- Strengthened internal controls and procedures amidst evolving risks associated with technology, ensuring that our systems are reliable, high-performance, and most importantly, secure.

Agile and Efficient People Operations

- Digitized our internal communication enabling our workforce to be more productive and efficient by using current technologies, and collaboration tools.
- In line with our green efforts, we increased efforts to implement a paperless internal environment.
- Conducted staff performance appraisals to boost employee performance, engagement and provide support where needed.
- Continued to engage our staff through team building activities, off-site retreats, quarterly town halls, and deliberate recruitment to ensure gender equality and diversity.
- We encouraged a flexible remote working model allowing us to enable us refurbish our offices to make The Exchange an ideal workplace environment.
- Supported our staff in training and learning for both soft and technical skills through internal and sponsored external training to ensure staff career growth and development.

Facilitate Exponential Growth of Revenue

- One listing on the Main Market Segment (Airtel Uganda IPO)
- Bank of Baroda Uganda bonus share issue
- Acquisition of Cipla Quality Chemicals Industries Limited by Africa Capital Works SSA 3
- Increased trading of government bonds & bills
- Restructured our data vending model
- On-boarded 1 new client for the data vending business
- Conducted two capacity building masterclasses in partnership with trainers from the Nairobi Securities Exchange.
- Diversified our investments to unlock further business growth

- Continuous monitoring and evaluation of The Exchange's systems
- Foster a culture of continuous innovation that embraces robust security measures.
- Concluding the last leg of our IT system automation plan of the five-year strategy.

- Develop a staff appraisal tool linked to performance against strategy OKRs.
- Formulate a remote working policy.
- Continue staff capacity building as needed.

- Monetize the USE COMMEX and start generating revenue
- Achieve one listing on the USE Eddaala platform
- Increase turnover from trading activities
- Attract new registry business clients

How The Exchange Manages Risk

Uganda Securities Exchange operates in an environment characterized by both opportunities and inherent risks. In the dynamic landscape of 2023, the identification, assessment, and management of these risks have been central to our efforts to maintain market integrity, investor confidence, and sustainable growth.

At The Exchange we take pride in our robust risk management framework which is aligned to the business strategy and stems from international best practice in ISO 31000. This increases the chances of The Exchange attaining its strategic objectives and limits variability of expected outcomes.

Enterprise Risk Management Framework

By proactively identifying potential threats and implementing strategic mitigation measures, we have safeguarded market integrity and ensured resilience amidst global and regional uncertainties.

1 - Risk Management Process

USE continues to use its risk management framework to manage existing and emerging risks by following the process indicated above

2 - Risk Management Governance Structure

At Uganda Securities Exchange, the governance of risk management is anchored by the Board and the Audit and Risk Committee.

Three Lines of Defence Model

The Three Lines of Defence Model adopted by USE enhances our understanding of risk management by clarifying roles and responsibilities. Its underlying premise is that, under the oversight and direction of Senior Management and the Board of Directors, three separate groups (or Lines of Defence) within the organization are necessary for the effective management and control of risk.

4 - Risk Appetite

The company maintains a balanced risk appetite where it carefully assesses potential risks against expected benefits, aiming to support market growth while maintaining robust safeguards to protect stakeholders.

Our approach is to cautiously embrace opportunities that align with our strategic objectives, ensuring our operation do not expose market participants to undue risks. We strive for a proactive risk management culture, integrating risk considerations into all levels of decision-making.

Board of Directors

» The Board provides strategic oversight and direction, ensuring that the risk management framework aligns with the organization's objectives. It defines risk appetite and tolerance levels in accordance with best practice standards tailored for the Ugandan market.

Board Risk and Audit Committee

» This committee, composed of experienced professionals in the financial services sector, systematically reviews and assesses significant risks. It offers recommendations to enhance risk mitigation strategies and improve the overall risk culture of The Exchange. The committee plays a critical role in monitoring significant changes to the risk register and ensuring organizational compliance with risk-based approaches in service delivery.

CEO and Senior Management

» The CEO and Senior Management are responsible for implementing the risk management framework and ensuring that it is integrated into daily operations mainly through identifying, assessing, and mitigating risks. The later approach supports maintenance of operational resilience and market stability.

» Management provides regular reports and updates to the Board and the Risk and Audit Committee, facilitating informed decision-making and strategic oversight.

» The CEO and Senior Management also foster a risk-averse culture across the organization, ensuring that all employees understand and adhere to risk management policies.

Internal and External Audit

» Internal Audit conducts regular assessments of the risk management framework and internal controls, identifying potential weaknesses and recommending improvements. This continuous evaluation helps maintain the integrity and effectiveness of risk management practices.

» External Audit, on the other hand, provides an independent and objective review of the financial statements and compliance with regulatory requirements, ensuring transparency and accuracy.

» Both audit teams report their findings to the Risk and Audit Committee, offering valuable insights and assurance on risk-related matters.

First Line of Defence: Operational Management

Operational management is responsible for maintaining effective internal controls and executing risk and control procedures on a day-to-day basis. They identify and manage risks associated with their activities.

Second Line of Defence: Risk Management and Compliance Functions

The risk management and compliance functions provide oversight and facilitate the implementation of effective risk management practices by operational management. They monitor and ensure the consistency and alignment of risk management processes with the organization's objectives.

Third Line of Defence: Internal Audit

The internal audit function provides independent assurance on the effectiveness of risk management and internal controls. They report to Senior Management and the Board, ensuring an objective evaluation of risk management practices and control systems.

The Exchanges' Risk Profile

In our commitment to transparency and accountability to our stakeholders, We aim to provide a clear understanding of significant risk factors impacting our operations and ongoing efforts to manage and mitigate these risks hence supporting sustainable market growth and investor confidence.

Key Risks and Mitigation Strategies

Data Privacy and Protection

USE is registered with the Personal Data Protection Office as a data collector, processor, and controller under the Data Protection and Privacy Act 2019. Throughout 2023, USE engaged in consultative and collaborative efforts with the data protection office to enhance awareness and compliance on data privacy.

Market Risk	USE is exposed to market risk stemming from fluctuations in equity prices, interest rates, and foreign exchange rates, which can impact investment values and market stability.	**1. Diversification:** Encouraging a diversified portfolio of listed companies across different sectors to mitigate sector-specific shocks. **2. Surveillance:** Continuous monitoring and analysis of market trends to identify and address any activity that is in breach of our Rules and could negatively impact the market..
Regulatory Risk	USE operates within a dynamic regulatory environment, exposing it to risks associated with changes in laws, regulations, or policies affecting listing requirements, disclosure norms, trading rules, and investor protections.	**1. Engagement:** Maintaining active dialogue with regulatory bodies, policymakers, and industry stakeholders to anticipate and influence regulatory changes. **2. Training:** Providing regular training for staff and market participants on regulatory developments and compliance best practices.
Information Security Risk	Cybersecurity poses a significant risk to USE, with potential threats to the confidentiality, integrity, and availability of our information systems and data, exacerbated by collaborations with third parties to expand market access.	**1. Security Infrastructure:** Investing in state-of-the-art cybersecurity infrastructure to detect, prevent, and respond to cyber threats. **2. Education and Awareness:** Conducting ongoing cybersecurity awareness programs for staff and market participants. **3. Internal Controls:** Enhancing controls to improve the safety of customer data. **4. Audit:** Regular cybersecurity audits and reviews to ensure robust protection measures.

Uganda Securities Exchange

INVESTING
Made Easy, Fast and Convenient

NEW INVESTOR

Step 1: Visit the USE Easy Portal at **http://scd.use.or.ug** / and click "create an account"

Step 2: Enter your details and sign up.

Step 3: Check your email for the activation token and click on the link to activate your account.

Step 4: Log in using the email address and password you used to sign up

Step 5: Click "Link/Create SCD account"

Step 6: Click on "Open a new account"

Step 7: Fill in the details and then click on open account.

Step 8: Application Submitted to broker for approval.

For any inquiries, please do not hesitate to contact us at **depository@use.or.ug.**

EXISTING INVESTOR

Step 1: Visit the USE Easy Portal at **http://scd.use.or.ug** and click "create an account"

Step 2: Enter your details and sign up

Step 3: Check your email for the activation token and click on the link to activate your account

Step 4: Log in using the email address and password you used to sign up

Step 5: Click "Link/Create SCD Account"

Step 6: Click "I have an account"

Step 7: Enter your SCD account number and email address

Step 8: Click link

Step 9: If the details match, you will receive a pop up stating **"Successfully linked! Redirecting you to your portfolio now"**

UGANDA SECURITIES EXCHANGE
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INSPIRING GROWTH.

Managing Stakeholders' Evolving Needs

At USE, we understand that building transparent, collaborative, and strategic relationships with our stakeholders is essential for sustainable growth. The Board and Management continuously ensure that our stakeholders clearly understand key aspects of the operations of The Exchange including our financial performance.

We consider the interests of all stakeholders in our decisions. These include;

- Our Clients (i.e Issuers and Investors),
- Our Workforce,
- Our Market Partners (i.e Brokers, Analysts and Advisors),
- Our Regulators
- Our Community

Engaging with our stakeholders ensures that our reporting accurately reflects the organization's impact and performance. These relationships are crucial for our operations, helping us remain responsive to and supportive of sustainable market growth and investor confidence.

The following section details how Management with the support of the Board has interacted with and sought to understand the perspectives of our key stakeholders

Issuers

Issuers raise capital by issuing stocks, bonds, and other securities which improves market liquidity for easier trading, and driving economic growth through investments.

Their Priorities:

» *Staying updated on market trends for better decision-making.*

» *Adopting responsible environmental and social practices.*

How we engaged in 2023:

» Individual meetings with listed companies.

» Information sharing through various channels, continuously addressing queries from investors and potential shareholders.

» Offered regulatory guidance and support for compliance.

» Engaged in trainings and industry themed awareness sessions including Masterclasses.

» Joined over 77 Exchanges globally to "Ring the Bell" for gender equality on 10th March 2023, with MTN on board as the latest signatory to the Women Empowerment Principles (WEPs) .

Future Engagement Initiatives:

» Strengthen relations through personalized communications.

» Expand the shareholder base and enhance value creation opportunities.

» Enhance listing criteria to attract diverse sectors and promote market depth.

» Develop customized investor relations strategies for listed companies.

» Collaborate on corporate governance improvements and sustainable business practices.

Investors

Investors form the backbone of The Exchange, driving market activity and influencing the overall performance and growth of the bourse. Their investment decisions directly impact market liquidity, capitalization, and the broader economic landscape.

Their Priorities:

» *Accessibility to trading platforms.*

» *Protection of investments and regulatory compliance.*

» *Transparent communication of market performance and opportunities.*

» *Education on investment strategies and market dynamics.*

How we engaged in 2023:

» To enhance accessibility, USE launched a proprietary mobile app and partnered with telecom operators MTN and Airtel, enabling investors to open SCD accounts using USSD codes.

» The Exchange organized a series of events, including the Women's Investment Breakfast, and participated in World Investor Week activities to promote financial literacy and empower retail investors with knowledge on market participation and investment strategies.

» Improved its transparency through regular market updates and reports.

Future Engagement Initiatives:

» We plan to further upgrade our digital platforms, providing investors with real-time data and analytics to make informed decisions.

» Continuous focus on financial literacy, with plans to expand our educational initiatives to include more targeted programs for different investor segments.

» We aim to hold more interactive investor forums and town halls, providing a platform for investors to engage directly with USE leadership and market experts.

Workforce

Our staff are the backbone of USE, driving operations, innovation, and stakeholder relations. They bring diverse expertise and dedication to achieving our strategic goals.

Their Priorities:

» *Training and initiatives to enhance their individual capabilities, careers and well-being.*

» *Promoting high performance, professional growth, and diversity.*

How we engaged in 2023:

» Empowered staff through skill development and career growth opportunities.

» Facilitated engaging and informative training on effective communication for healthy relations and public speaking.

» Executed successful departmental training and development programs for legal, SCD, ICT, Finance, and Trading and Business.

» Enhanced workplace diversity and inclusive initiatives.

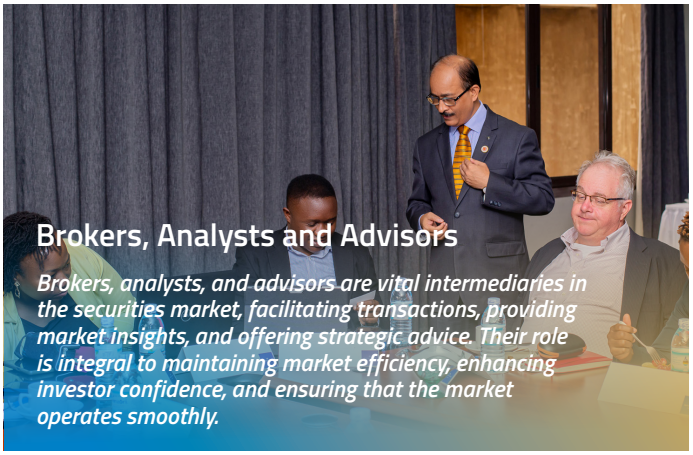
» Recognized achievements and contributions through performance incentives.

Future Engagement Initiatives:

» Strengthen talent retention strategies and leadership development programs.

» Foster a culture of innovation and continuous learning.

» Promote employee well-being and work-life balance initiatives to ensure high morale and productivity.



Brokers, Analysts and Advisors

Brokers, analysts, and advisors are vital intermediaries in the securities market, facilitating transactions, providing market insights, and offering strategic advice. Their role is integral to maintaining market efficiency, enhancing investor confidence, and ensuring that the market operates smoothly.

Their Priorities:

» *Efficient trading infrastructure and systems.*

» *Access to comprehensive market data and analytics.*

» *Collaboration with USE on market innovations and product development.*

» *Continuous professional development and training.*

How we engaged in 2023:

» Provided brokers with guidelines and support to ensure compliance with regulatory standards.

» Improved trading infrastructure and technological enhancements.

» Conducted training programs and workshops for market participants.

» Supported market-making activities to enhance liquidity.

Future Engagement Initiatives:

» Introduce advanced trading tools and platforms to enhance market efficiency.

» Foster collaboration on market structure improvements and regulatory compliance.

» Provide continuous education on market trends, regulations, and best practices.

Regulators

Regulators are essential to the integrity and stability of The Exchange. They enforce rules and standards, to ensure that the market operates fairly, transparently, and in accordance with international best practices.

Their Priorities:

» *Ensuring market integrity and investor protection.*

» *Compliance with local and international regulations.*

» *Supporting market development and innovation while mitigating systemic risks.*

» *Resilience and financial stability, including cloud and operational resilience.*

How we engaged in 2023:

» Maintained transparent and compliant operations.

» Collaborated on regulatory updates and compliance frameworks.

» Provided data and insights to support policy development.

Future Engagement Initiatives:

» Proactively engage in regulatory discussions and reforms to support market growth.

» Implement best practices in risk management and governance.

» Foster a collaborative relationship to uphold market integrity and investor protection.

Community

Community includes the broader community affected by USE's operations, such as consumers, and the general public.

Their Priorities:

» *Operate in a transparent, accountable and efficient capital market environment.*

How we engaged in 2023:

» Supported financial literacy programs and educational initiatives.

» Launched a mobile app to streamline trading and enhance the investor experience.

» Introduced securities trading on the MTN app as well as MTN's USSD platform for financial inclusion.

» Developed systems for IPO purchases and account openings via Airtel's USSD platform.

» Launched an initiative to mobilize non-market players to sign the WEPs and implement them.

» Commemorated World Investor Week from 6 to 10 November, organized by the International Organization of Securities Commissions (IOSCO), promoting financial literacy and investor protection in Uganda.

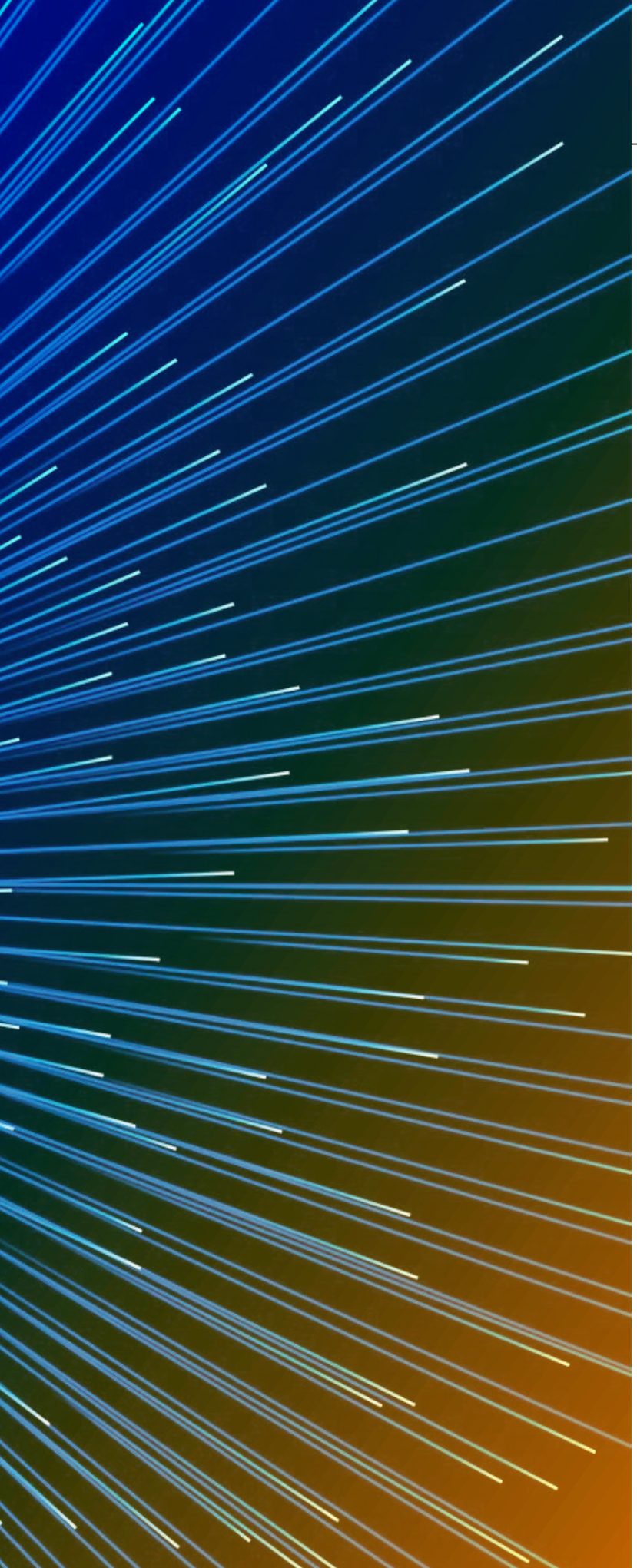
Future Engagement Initiatives:

» Expand CSR initiatives focusing on sustainability and community development.

» Promote inclusive financial access and education initiatives.

» Strengthen partnerships with NGOs and local communities to address social needs and promote economic empowerment.

Delivering **against**
Our Mandate



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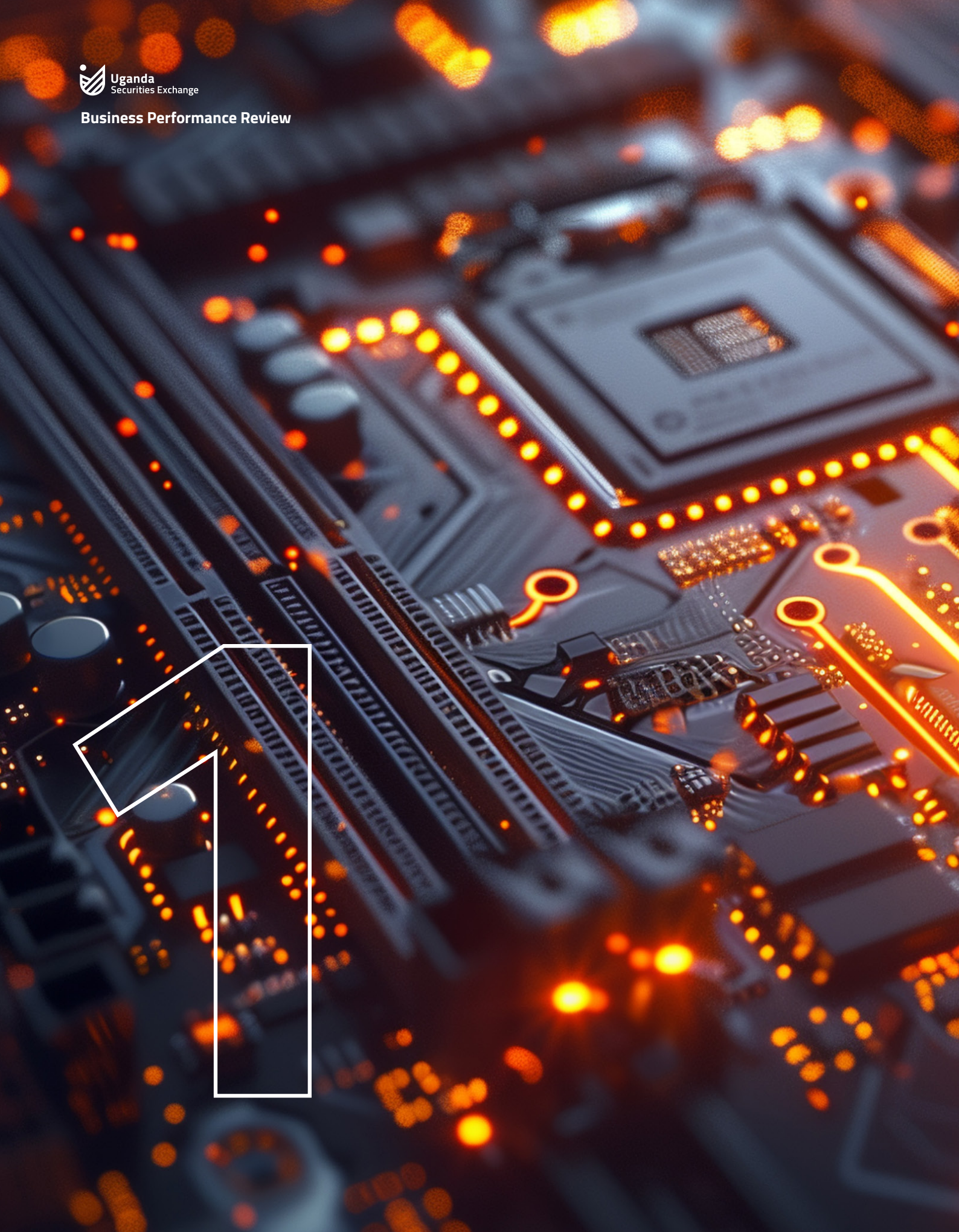
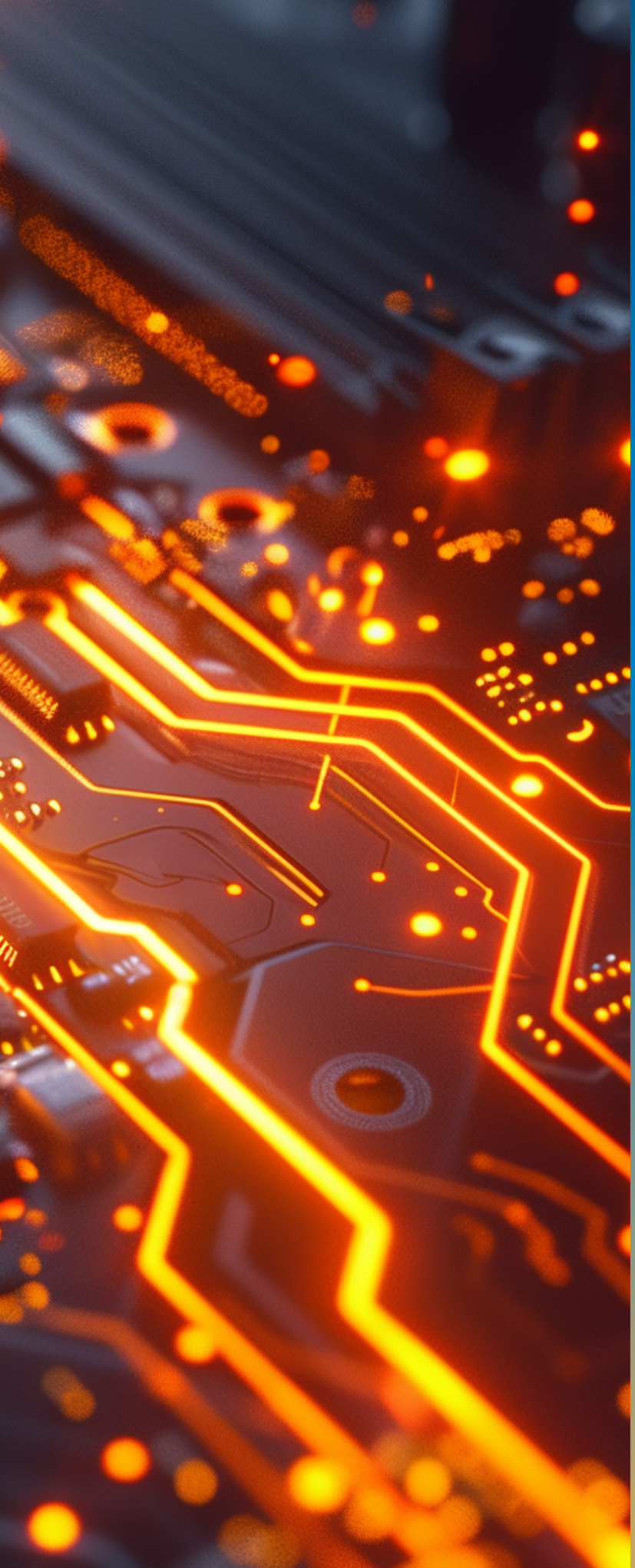




Mandate 1: Provide critical financial markets infrastructure that facilitates the listing of financial securities to connect capital to opportunities

What We Do

At USE, we provide a robust platform for trading securities, including stocks, and are actively expanding our trading into bonds and commodities trading

This strategic focus enhances market access for investors and drives digitalization and technology integration within Uganda's capital markets.

How We Delivered

1. Listing and Trading Securities

One of the key areas where strategic investments can greatly benefit market services is in the Information Technology sector. By using innovative technology solutions, organizations can streamline operations, improve efficiency, and enhance customer experiences.With the rapid pace of technological advancements, staying ahead of the curve is essential for businesses looking to remain competitive in today's market landscape.

To that end, we have consistently invested in innovative Information Technology projects and strategic alliances to ensure seamless and efficient market services. Our commitment to technology underpins our mission to provide a customer-focused technical environment that aligns with the industry's business goals.

Driving Excellence with Advanced Technology Services

The information systems' core goal is to foster a great technical environment that addresses our stakeholders' diverse needs. It serves as the central hub for all information-related requests, ensuring swift coordination and resolution.

Through sustained investments in cutting-edge technology, we are effectively addressing present needs while laying the groundwork for innovative breakthroughs that align with our strategic objectives. This proactive approach also extends to fostering a culture of continuous learning among our staff, thereby amplifying overall productivity and delivering increased value to our stakeholders.

Roadmap to an Investor Experience

In our pursuit to optimal investor experience, we have laid out a comprehensive roadmap that incorporates strategic technologies at every step. Our belief in technology as a key driver of corporate growth and sustainability is reflected in our comprehensive research and development initiatives. Guided by USE annual strategic objectives, we continually push the boundaries of innovation, fostering a culture of continuous improvement and progress.

Last year we saw the onboarding of several new products at The Exchange. These included:

Launch of The Exchange's Proprietary App

In a significant technological milestone last year, The Exchange launched its own mobile application, providing clients with a seamless way to view their portfolios and access market information anywhere on their mobile devices. This app has been designed with user-friendly features to enhance the investor experience, offering real-time updates and personalized insights to help clients make informed decisions. Additionally, the app also includes a feature that allows clients to take part during IPOs (Initial Public Offerings), ensuring they never miss important market movements.

Building on our legacy of innovation, The Exchange continues to be committed to using technology in improving the overall trading experience for its clients and will continue to introduce new products and services that cater to their ever-changing demands, ensuring a seamless and efficient journey.

Partnership with MTN for Enhanced Trading Accessibility

Building on our commitment to use technology for financial inclusion, we partnered with MTN to introduce securities trading on both our app and MTN's USSD platform. This collaboration has expanded market access, allowing clients to trade securities conveniently from their mobile devices. By integrating our trading capabilities with MTN's extensive networking technologies and reach, we have made it easier for a broader audience to take part in the securities market, thereby fostering greater market liquidity and engagement.

Collaboration with Airtel Uganda for IPO Purchases and Account Opening

To broaden market participation, we partnered with Airtel Uganda to develop systems that facilitated their Initial Public Offering (IPO) purchases and account openings on their network via the USSD platform.

This initiative simplified the process for potential investors, enabling them to buy IPO shares and open trading accounts directly from their mobile phones. The ease and accessibility provided by this collaboration are crucial in attracting new investors and supporting the growth of the market.

Impact on Market Accessibility and Financial Inclusion

These innovative initiatives and strategic partnerships reflect our commitment to enhancing market accessibility and promoting financial inclusion.

By using the extensive reach of leading telecom operators like MTN Uganda and Airtel Uganda, we have successfully lowered the barriers to entry for many potential investors. These initiatives are not only enhancing the user experience but also driving our mission to provide access to financial markets.

We plan to continuously integrate innovative technologies to make our trading tools even more reliable and easy to use. Our ongoing work to build strategic partnerships and come up with proactive solutions meant to give our clients the best tools possible to handle the financial markets intuitively.

These changes are particularly important to our long-term plan of making the market more open, efficient, and active.

We remain committed to driving digital transformation and fostering strategic partnerships to achieve our business objectives and deliver exceptional value to our stakeholders. Empowering investors is at the heart of our digital technology strategy, reinforcing our dedication to enhancing financial inclusion and market accessibility. Through the development of user-centric tools and solutions, we aim to create a more inclusive and dynamic financial ecosystem.

Through strategic partnerships with various businesses, we are developing cutting edge tools that enable users to trade on exchanges and gain direct market access by integrating digital platforms, our goal is to enhance market liquidity and improve accessibility for consumers, creating a more seamless and efficient trading experience.

Outlook

Our ongoing investments in Information Technology are crucial to our vision of enhancing market services and delivering exceptional value to our stakeholders. By fostering a culture of continuous innovation and embracing robust security measures, we are well-positioned to navigate the dynamic landscape of financial markets and ensure sustainable growth is positive as we continue to adapt and evolve in response to the ever-changing market demands.

With our continued emphasis on innovation and Information Technology investments, we are sure that we can improve market services and give value to our stakeholders. We remain upbeat about our potential for expansion and success as we negotiate the ever-changing financial markets.

How We Delivered

Defining a Path for Commodities Trading

In 2023, we embarked on a groundbreaking journey to establish the USE Commodities Exchange (USE COMMEX), a strategic initiative aimed at transforming Uganda's commodities market. As we navigated the complexities of this endeavor, our commitment to creating a robust, transparent, and efficient trading platform remained steadfast.

Addressing a Market Need

Uganda's fertile soils have the potential to feed over 200 million people. However, the increase in regional maize exports is currently driving the market, with the predominant trading of quality and standardized grain on the export market. The Uganda Bureau of Statistics (UBOS) reported that 209,852,179 metric tons of maize grain were traded in 2023. Despite this, there remains a significant gap between the quantity of grain produced and that which is traded, highlighting the need for an efficient market platform to connect farmers with buyers.

The USE COMMEX has identified this gap and aims to address it through its market platform, which ensures price discovery, market information availability, and the quality and quantity of products with a guaranteed settlement and delivery process. While there have not been any volumes of agricultural products traded yet on the commodities market platform, the first pilot carried out with Agroways Ltd. in 2023 provided valuable insights and highlighted challenges that need to be addressed.

Developing a Set of Guidelines:

During the process of securing a license to operate a commodities exchange from the Capital Markets Authority , we were required to develop a comprehensive Rules Framework to govern the USE COMMEX's activities.

To ensure our framework was both robust and aligned with global best practices, we benchmarked against established commodities exchanges, including the Chicago Mercantile Exchange, Ethiopian Commodities Exchange, Ghana Commodity Exchange, South African Futures Exchange, and Nairobi Coffee Exchange.

The rules framework that was developed comprises the following:

Market Admission and Conduct Rules: These rules outline the eligibility criteria for market participants, admission procedures for warehouses and commodity brokers, participant obligations, and a code of conduct for all market players.

Trading Rules: These rules govern the trading processes of approved commodities on our platform, utilizing the Automated Trading System (ATS).

Clearing, Settlement, and Delivery Rules: These rules cover the delivery of commodities to warehouses, criteria for Securities Central Depository Agents (SCDAs), account management, and trade clearing and settlement procedures.

Fees, Charges, and Penalties Rules: These rules detail the fees payable by stakeholders, charges for services provided by the USE COMMEX, and penalties for rule violations.

Dispute Resolution Measures: These measures ensure swift dispute resolution through negotiation, mediation, and arbitration, which are critical for commodities with short shelf lives.

As we continue to pilot and refine our operations, we remain committed to evolving these rules to meet the unique needs of Uganda's economy and regulatory environment.

While there have not been any volumes of agricultural products traded yet on the commodities market platform, the first pilot carried out with Agroways in 2023 provided valuable insights and highlighted challenges that need to be addressed.

The USE COMMEX Training Initiatives: Since 2020, we have conducted tailored training sessions for our staff and stakeholders to ensure a deep understanding of the commodities exchange ecosystem and its benefits. Key training initiatives include:

Internal Staff Training: These have included comprehensive sessions on exchange operations, regulatory compliance, and system usage, ensuring our team is well-prepared to manage daily activities.

Stakeholder Engagements: These included collaborative trainings with partners like the Uganda National Bureau of Standards (UNBS) on food safety and proper post-harvest grain handling, essential for maintaining high commodity quality standards.

Partnership Training: Following our partnership with Agroways, we conducted specialized training for key personnel on system deployment, account management, and trading processes. These sessions, held both physically and virtually, ensured operational readiness during our pilot phases.

External Collaboration: In July 2023, our collaboration with AFEX Commodities Limited included virtual training sessions for our staff. This training covered operational challenges, partnership strategies, supply chain issues, and risk management, enhancing our operational insights. These training efforts culminated in a Memorandum of Understanding signed with AFEX Commodities Ltd during the 2023 ASEA Annual Conference, underscoring our commitment to industry knowledge and collaboration.

Commitment to Excellence: At the USE COMMEX, we are dedicated to pioneering advancements in Uganda's commodities market. Our efforts in rules development, comprehensive training, and strategic partnerships are all geared towards creating a dynamic, efficient, and reliable trading platform. As we continue to innovate and adapt, we are confident in our ability to contribute significantly to the nation's economic growth and development.

Strategic Partnerships and Stakeholder Engagement: One of the key collaborators in this initiative is Crested Capital, which has embarked on a transformative journey with the USE COMMEX. This partnership is dedicated to reshaping Uganda's commodities market with innovation and integrity at its core.

Pilot Activity for USE COMMEX

In 2023, we conducted a comprehensive pilot project with Agroways, which provided valuable operational insights and identified areas for improvement, including warehouse infrastructure and quality control measures. Through ongoing collaborations with stakeholders like the Uganda National Bureau of Standards (UNBS), we continue to refine our operational practices to ensure market readiness.

From the outset, we prioritized assembling a skilled team versed in commodity trading, logistics, finance, and regulatory compliance. This expertise has been instrumental in navigating the complexities of daily operations. Strategic partnerships have been established with warehouses, suppliers, and logistics providers to ensure a secure and reliable supply chain of commodities. Additionally, engagements with regulators like the Capital Markets Authority (CMA), have been critical to ensuring operational efficiency and compliance with governing laws.

Infrastructure and Operations: Key investments have been made in essential operational infrastructure such as storage facilities, transportation networks, and trading platforms. These initiatives aim to streamline inventory management, uphold rigorous quality control standards, and execute trades seamlessly.

Market Outreach and Risk Management: Efforts to raise public awareness about the USE COMMEX are ongoing. These are aimed at attracting a diverse array of buyers and sellers. Concurrently, robust risk management strategies have been implemented to mitigate potential losses stemming from price volatility and supply chain disruptions.

Services and Expectations: Participants have benefited from comprehensive training sessions. Access to crucial historical market data has empowered stakeholders to make informed commodities decisions.

Emphasis on standardized specifications, grading, and certification of commodities ensures consistency and transparency in trading practices. Detailed information on origin, quality attributes, and certifications further bolsters market confidence and participant trust.

Future Prospects for the USE COMMEX

In the second pilot scheduled for August 2024, the goal will be to achieve a total trading volume of 8,000 metric tons with a total turnover value of 10 billion Ugandan Shillings expected from this initial trade.

Five agricultural products are set to be listed on the commodities trading platform: maize, beans, paddy rice, sorghum, and sesame. There will be significant potential for maize grain exports to countries like Kenya, Congo, and Zambia. However, Uganda's grain quality standards will need to be improved to meet international requirements.

How We Delivered

Inspiring Growth in Uganda's SMEs

The Exchange incorporated a Limited Liability Partnership (LLP) within the USE Specialist Market, reinforcing the private placement market's structure and functionality. This LLP, also referred to as "USE Edaala," acts as a dedicated private placement market, facilitating the growth and development of high-potential companies in Uganda.

The USE Specialist Market was introduced to cater to high-growth companies that do not meet the minimum listing requirements on The Exchange's public market segments. This market segment is designed to enable these companies to access long-term funding through private placements while undergoing an investor readiness incubation process. The USE Edaala aims to foster a nurturing environment for emerging businesses, preparing them for future public listings.

Incubator Program

The incubator program under the USE Edaala provides comprehensive support to high-growth companies, helping them enhance their operational efficiencies, governance structures, and overall market readiness. This program is instrumental in bridging the gap between private and public market segments, ensuring a steady pipeline of companies ready for public listing. Through this program, companies can ably receive access to experienced mentors and industry experts who offered guidance on business strategy, financial planning, and investor relations.

Initiatives for Private Placement (Edaala)

In 2023, USE launched several key initiatives to enhance the private placement mechanism within the USE Edaala framework. These initiatives were designed to provide companies with the necessary tools and support to raise capital efficiently through private investors, fostering a more flexible and less regulatory-intensive environment compared to public listings. The following initiatives were particularly noteworthy:

Unlocking Growth of the SME Top 100

The Top 100 Survey aims to identify and celebrate Uganda's fastest-growing medium-sized companies, showcasing business excellence and highlighting some of the country's most successful entrepreneurship stories. In 2023, we partnered with KPMG, Monitor Publications, DFCU Bank, Uganda Investment Authority, the Ministry of Tourism, Wildlife, and Antiquities, among other organizations, to champion this prestigious survey.

The survey culminated in a Gala dinner on Friday, December 1st, where the Minister of State for Trade, Industry, and Cooperatives, Honorable David Bahati, served as the Guest of Honor. He congratulated the Top 100 SMEs for their remarkable achievements and acknowledged their critical role in driving the Ugandan economy. Notably, SMEs contribute to the direct creation of 70% of the jobs in the country, underscoring their significance in economic development.

Our participation in the sector forum on the role of capital markets in the growth of SMEs provided a valuable platform to introduce the USE Eddaala.

The USE Eddaala is an unquoted securities market designed to enable high-growth companies, which do not meet the minimum listing requirements of The Exchange's public market segments, to access long-term funding through private placements. This initiative supports companies by providing an investor readiness incubation process, preparing them for successful capital raising.

i. Investor Readiness Program: The Exchange introduced a comprehensive Investor Readiness Program aimed at preparing high-growth companies for private placements. This program provided tailored support, including financial advisory services, governance training, and market readiness assessments. The goal was to ensure that companies are well-prepared to attract and engage with private investors effectively.

ii. Strategic Investor Matchmaking: To facilitate the connection between high-growth companies and potential investors, USE launched a Strategic Investor Matchmaking initiative.

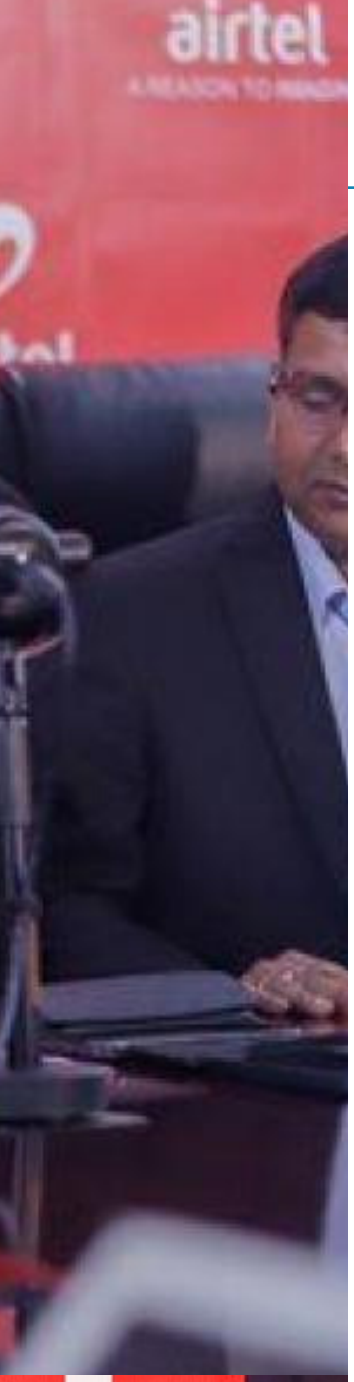
This program leveraged USE's extensive network to identify and connect companies with strategic investors who can offer not only capital but also valuable expertise and industry connections. This matchmaking process was designed to create mutually beneficial partnerships that drive business growth.

iii. Private Placement Platform: USE developed and implemented a dedicated Private Placement Platform within the Edaala market segment. This digital platform streamlined the private placement process, providing companies and investors with a secure and efficient means to conduct transactions. The platform included features such as secure document sharing, virtual deal rooms, and digital signing capabilities to enhance the overall user experience.

iv. Incubation and Mentorship Programs: The Exchange expanded its Incubation and Mentorship Programs to include specific support for companies pursuing private placements. The aim was to equip companies with the skills and knowledge needed to successfully navigate the private placement process.

v. Enhanced Due Diligence Processes: To build investor confidence and ensure the integrity of the private placement market, The Exchange introduced Enhanced Due Diligence Processes. This initiative involved thorough vetting of companies seeking to raise capital through private placements, including financial audits, background checks, and risk assessments. By maintaining high standards of due diligence, USE aimed to protect investors and uphold market credibility

Market **Spotlight:** Airtel Uganda IPO



Market **Spotlight:**

USE Welcomes Airtel Uganda to The Bourse

On 7th November 2023, Airtel Uganda was listed on the USE. Airtel (U) became the second telecommunications company listed on the main bourse of Uganda, after MTN (U) which was listed in 2021.

Airtel (U) has offered mobile telecommunications services since 1995 and is currently the second largest mobile operator in Uganda by number of active subscribers.

Airtel (U) listed 4.36 billion shares on the USE after attracting 4,614 investors in its IPO, which saw the takeover of 54.45 percent of the offered eight billion shares.

The company is a subsidiary of Airtel Africa, with Airtel Africa's ultimate parent company being Bharti Airtel. Airtel Africa operates across 14 countries in Africa and is the second largest telecommunications operator on the continent. Bharti Airtel operates across 17 countries across Africa and Asia and is the second largest telecommunications operator globally.

Airtel Uganda joins 10 other local listed companies on the bourse.

Shares Listed

4.46bn

Which represented 54.45% of the 8 billion shares offered

Capital Raised

Ugx.211bn

Opening at a share price of Ugx.100

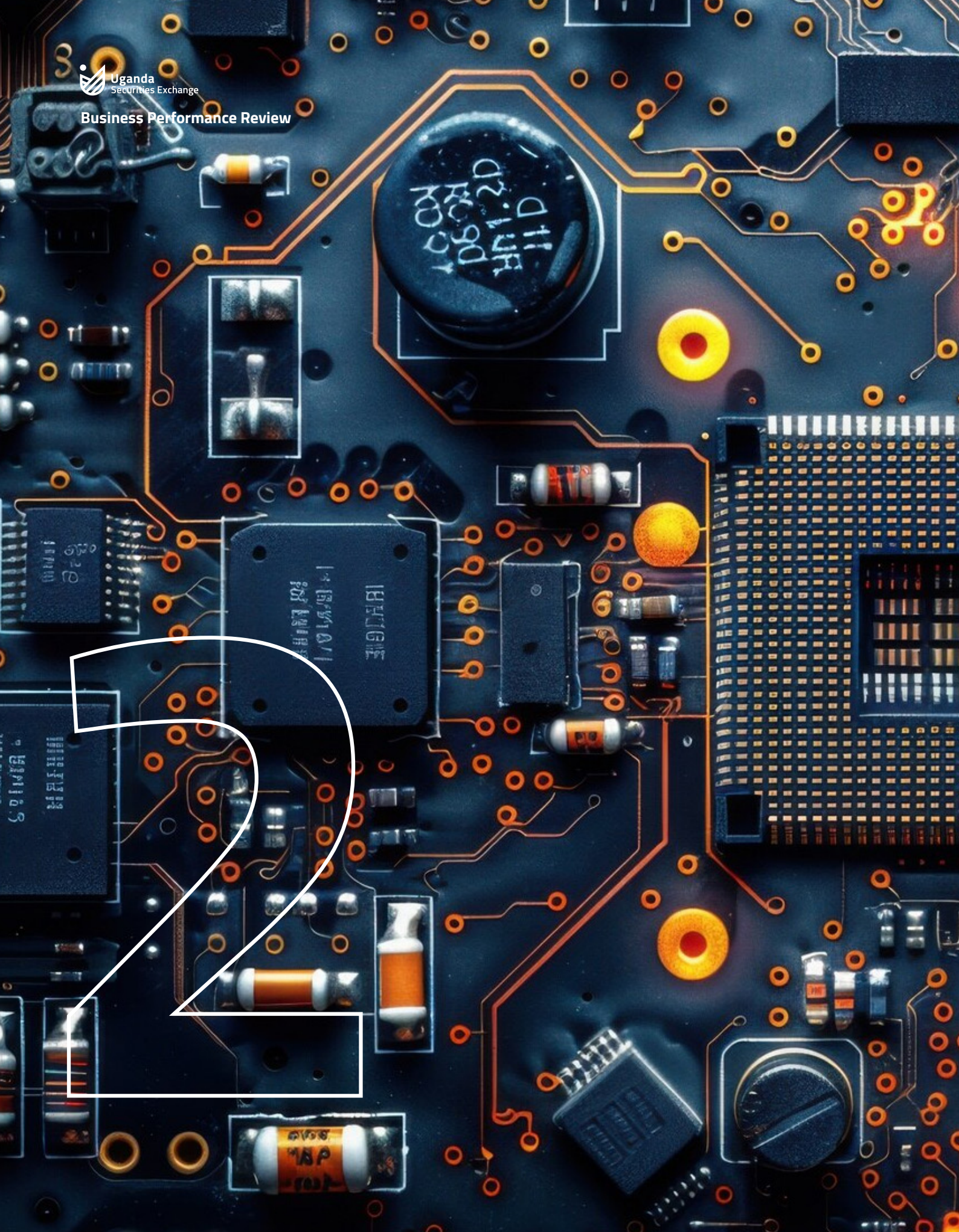
Retail Investor Participation

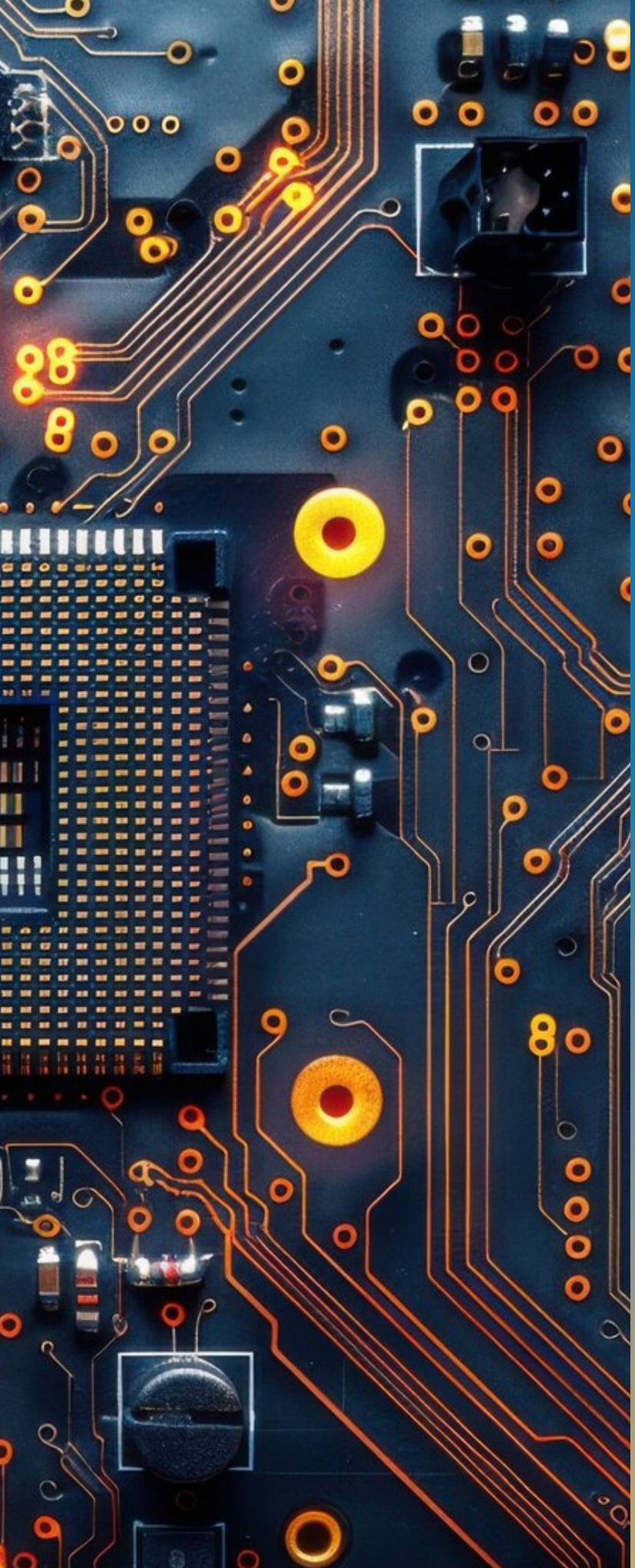
75,000 SCD Accounts

Opened via the Airtel USSD Platform during the Airtel IPO event

Uganda Securities Exchange

Business Performance Review





Mandate 2: Operate an orderly trading, clearing and settlement system that enables financial market players trade with efficiency

What We Do

USE focuses on leveraging innovative technology solutions to streamline operations, enhance efficiency, and improve customer experiences across The Exchange.

Our investments in technologies like our proprietary mobile app and partnerships with leading telecom operators such as MTN and Airtel exemplify this commitment. These initiatives aim not only to facilitate easier access to trading but also to enhance market liquidity and engagement, ensuring a seamless and user-friendly experience for all stakeholders.

How We Delivered

Market Performance

Number of Deals

6,287 deals

Down from 6,380

a 1.46% decline from 2022

Volumes Traded

2.72bn shares

Down from 2.84bn shares

a 4.11% decline from 2022

Turnover

Ugx. 155.8bn

Up from Ugx. 38.7bn

A 302.8% growth from 2022

The bourse traded a total turnover of UGX 155.747 billion, marking a significant 302.83% improvement compared to UGX 38.66 billion in 2022.This substantial increase was driven by heightened activity on the bourse, due to the Cipla QCIL - Africa Capital Works 3 acquisition transaction.

Additionally, improved company performance was a major contributor to this surge in trading activity. The fourth quarter accounted for the largest portion of the turnover because of the QCIL acquisition transaction by Africa Capital Works 3 SSA. Additionally, a significant number of shares were traded on the UMEM, BOBU, SBU and MTNU counters as the companies recorded significant performances and dividend payments for their shareholders.

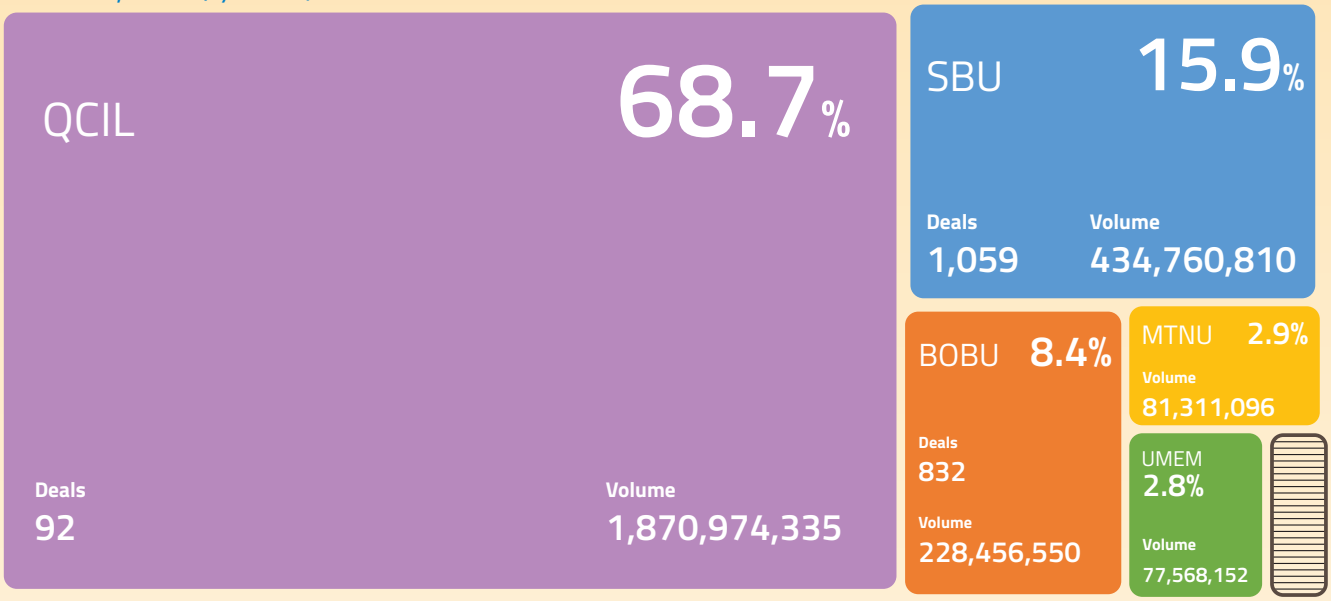
Quality Chemical Industries Uganda Limited (QCIL) had the largest volume of shares traded accounting for 68.66% of the shares traded in 2023.

Stanbic Uganda Holdings (SBU) came in second position with 15.95% of the shares traded and Bank of Baroda Uganda Limited (BOBU) accounted for 8.38% of the shares traded coming in third.

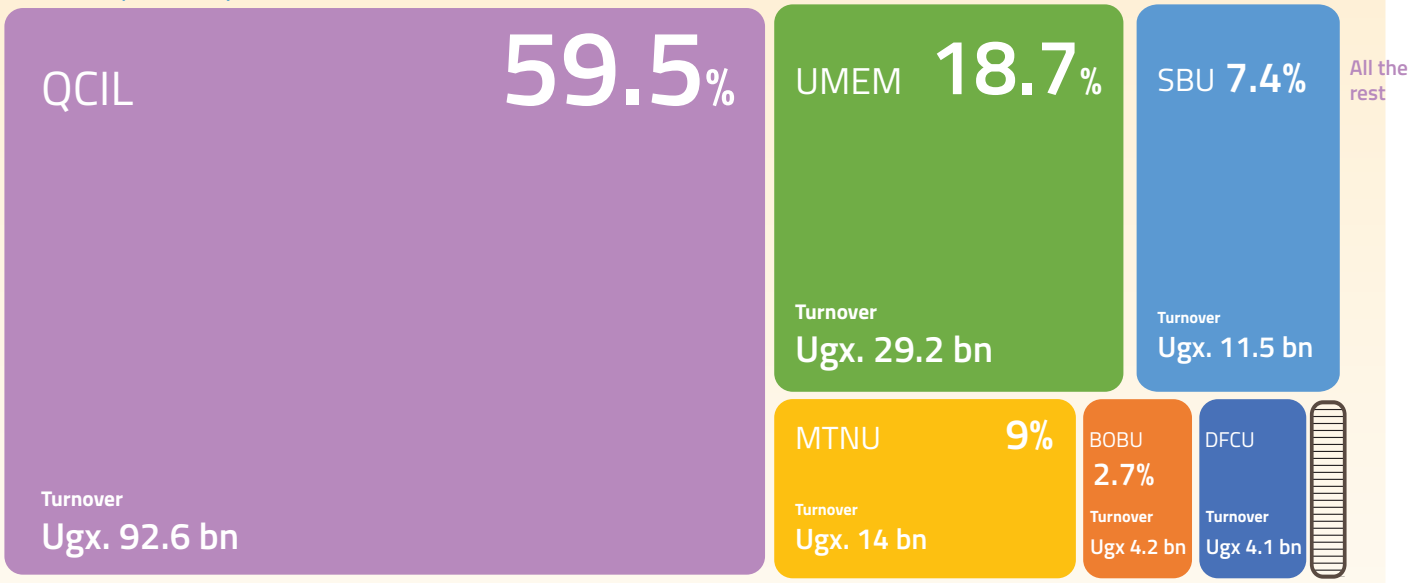
Airtel Uganda Limited, British American Tobacco Uganda Limited, Centum Investment Company, DFCU Limited, National Insurance Corporation, New Vision Printing and Publishing Limited, Uganda Clays Limited and UMEME Limited accounted for the remaining 7% of the total 2,724,934,261 shares traded.

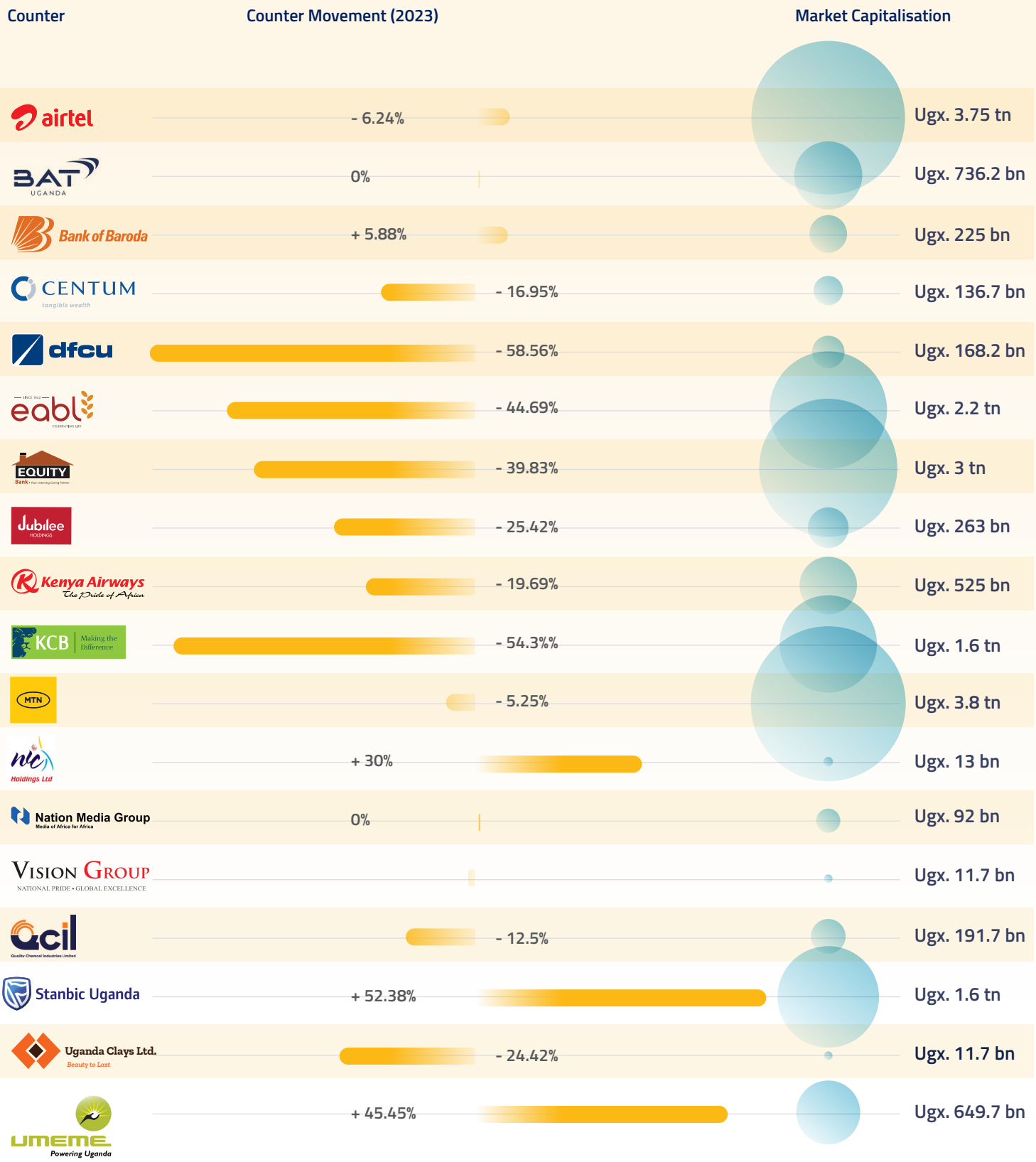
SBU recorded the largest gain at 52.38%, with UMEM recording the second largest to 45.45% and the third being NIC at 30.00%. The gains were largely a result of significant dividend payments by the companies. DFCU Limited and the cross listed stocks had significant drops and had a massive impact on the performance of the indices.

Counter Performance (By Volumes)



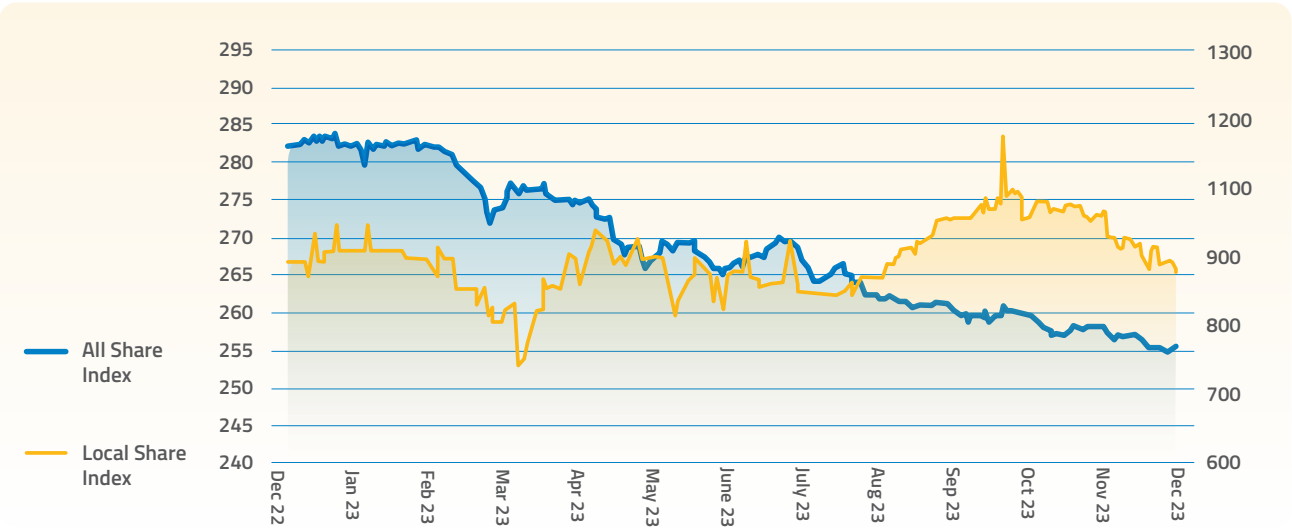
Counter Performance (By Turnover)




Counter
Counter Movement (2023)
Market Capitalisation
airtel
- 6.24%
Ugx. 3.75 tn
BAT UGANDA
0%
Ugx. 736.2 bn
Bank of Baroda
+ 5.88%
Ugx. 225 bn
CENTUM
tangible wealth
- 16.95%
Ugx. 136.7 bn
dfcu
- 58.56%
Ugx. 168.2 bn
eabl
- 44.69%
Ugx. 2.2 tn
EQUITY
Bank
- 39.83%
Ugx. 3 tn
Jubilee
HOLDINGS
- 25.42%
Ugx. 263 bn
Kenya Airways
The Pride of Africa
- 19.69%
Ugx. 525 bn
KCB
Making the Difference
- 54.3%%
Ugx. 1.6 tn
MTN
- 5.25%
Ugx. 3.8 tn
nic
Holdings Ltd
+ 30%
Ugx. 13 bn
Nation Media Group
Media of Africa for Africa
0%
Ugx. 92 bn
VISION GROUP
NATIONAL PRIDE • GLOBAL EXCELLENCE
Ugx. 11.7 bn
Qcil
Quality Chemical Industries Limited
- 12.5%
Ugx. 191.7 bn
Stanbic Uganda
+ 52.38%
Ugx. 1.6 tn
Uganda Clays Ltd.
Beauty to Last
- 24.42%
Ugx. 11.7 bn
UMEME
Powering Uganda
+ 45.45%
Ugx. 649.7 bn

USE Indices Performance

The USE All Share Index opened at 1,212.58 and closed at 872.5 points representing a 28.05% loss, the USE LCI opened at 272.67 and closed at 271.85 representing a slight 0.30% drop. The significant drop on the ALSI was largely driven by the performance of cross-listed stocks with the negative macro-economic environment in Kenya.



Regional Comparisons

In 2023, the performance of various market indices reflected diverse trends across the region. The USE All Share Index (ALSI) closed the year at 872.50 points, marking a significant decrease of 28.05% from its January starting point of 1,212.58. Similarly, the USE Local Companies Index (LCI) experienced a slight decline of 0.30%, ending at 271.85 from 272.67 at the beginning of the year.

Across the border, the Nairobi Securities Exchange (NSE) All Share Index (ALSI) dropped by 27.59%, with a closing figure of 92.11 compared to 127.20 in January.

In contrast, the Dar es Salaam Stock Exchange (DSE) All Share Index (ALSI) saw a more modest decrease of 7.27%, closing at 1,750.63 points from 1,887.90 at the start of the year.

The Rwanda Stock Exchange (RSE) All Share Index (ALSI) bucked the regional trend slightly, showing a modest increase of 0.74%, closing the year at 143.70 points, up from 142.64 in January. These movements underscored the varied economic conditions and market performances experienced across East Africa in 2023.

NSE All Share Index Performance

27.6%

Down to 92.11 pts

from 127.20 pts in 2022

DSE All Share Index Performance

7.27%

Down to 1,750.63 pts

from 1,887.9 pts in 2022

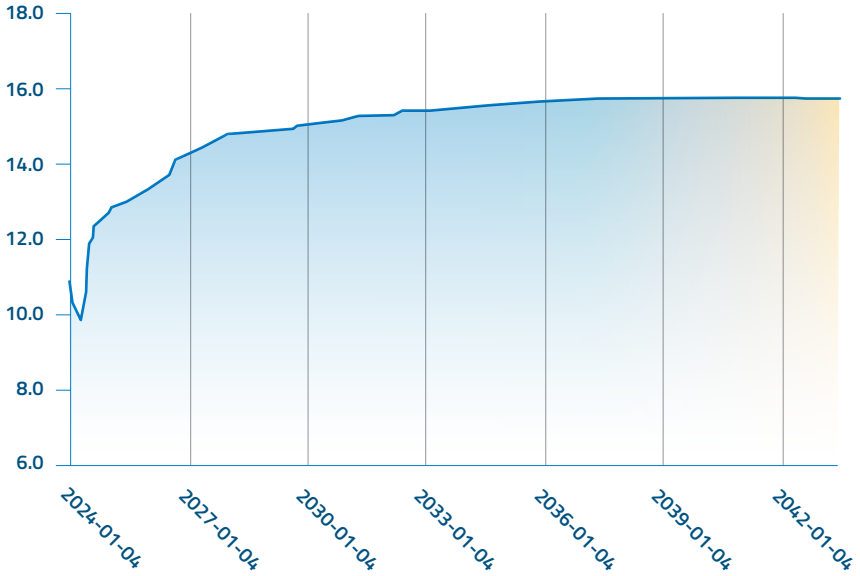
RSE All Share Index Performance

0.74%

Up to 143.70 pts

from 142.64 pts in 2022

Government Securities Yield Curve as at 29 Dec 2023



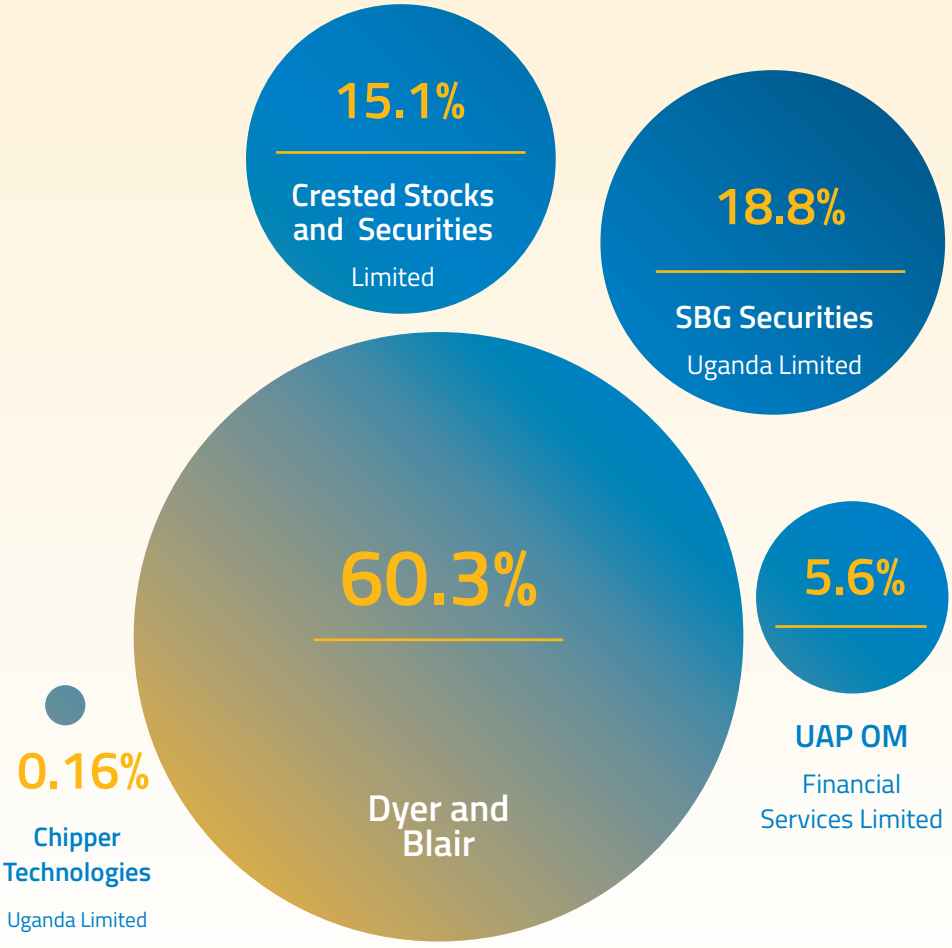
Fixed Income Market Trading

Yields across government securities tenors showed slight reductions during the year as the macro-economic environment displayed significant improvements on the back of Central Bank policy adjustments. The Exchange continues to run its alternative bond trading platform and investors can access auctions and secondary sales through their brokers.

Dyer and Blair Uganda Limited accounted for the bulk of the turnover with 60.33% leading the rest and SBG Securities came in second with 18.81% of the total turnover.

Broker Ranking by Trading Activity (Equities)

Dyer and Blair led the total turnover with 60.33%, followed by SBG Securities Ltd at 18.81%, and Crested Stocks and Securities Ltd at 15.09%. The remaining brokers accounted for the balance of the total turnover for the year.



Uganda Securities Exchange

INVESTING
Made Easy, Fast and Convenient

NEW INVESTOR

Step 1: Visit the USE Easy Portal at **http://scd.use.or.ug** / and click "create an account"

Step 2: Enter your details and sign up.

Step 3: Check your email for the activation token and click on the link to activate your account.

Step 4: Log in using the email address and password you used to sign up

Step 5: Click "Link/Create SCD account"

Step 6: Click on "Open a new account"

Step 7: Fill in the details and then click on open account.

Step 8: Application Submitted to broker for approval.

For any inquiries, please do not hesitate to contact us at **depository@use.or.ug.**

EXISTING INVESTOR

Step 1: Visit the USE Easy Portal at **http://scd.use.or.ug** and click "create an account"

Step 2: Enter your details and sign up

Step 3: Check your email for the activation token and click on the link to activate your account

Step 4: Log in using the email address and password you used to sign up

Step 5: Click "Link/Create SCD Account"

Step 6: Click "I have an account"

Step 7: Enter your SCD account number and email address

Step 8: Click link

Step 9: If the details match, you will receive a pop up stating **"Successfully linked! Redirecting you to your portfolio now"**

UGANDA SECURITIES EXCHANGE
UAP Nakawa Business Park, Block A, 4th Floor
Plot 3 - 5 New Port Bell Road. P. O. Box 23552 Kampala, Uganda.
T: +256 (3123708) 15/17/18. **E:** info@use.or.ug. **W:** www.use.or.ug

INSPIRING GROWTH.

How We Delivered

Investor Participation

Throughout the year, we achieved remarkable success in expanding our Depository, witnessing an impressive 90.40% growth in the number of SCD accounts.

This was a significant leap compared to the previous periods, which saw an average growth of 10.63%. Our innovative USSD account opening initiative, developed in partnership with MTN and Airtel Uganda, played a crucial role in this achievement. By the end of the year, the depository boasted a total of 242,766 accounts, with 115,263 accounts opened in 2023 alone, 72% of which were facilitated through the USSD platform. This growth highlights our commitment to making market access more accessible and user-friendly.

Volumes Traded

2.72bn shares

Down from 2.84bn shares

a 4.11% decline from 2022

Turnover

Ugx. 155.8bn

Up from Ugx. 38.7bn

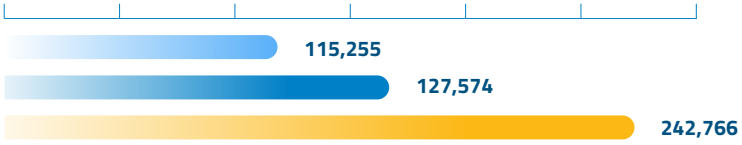
A 302.8% growth from 2022

Total Number of SCD Accounts

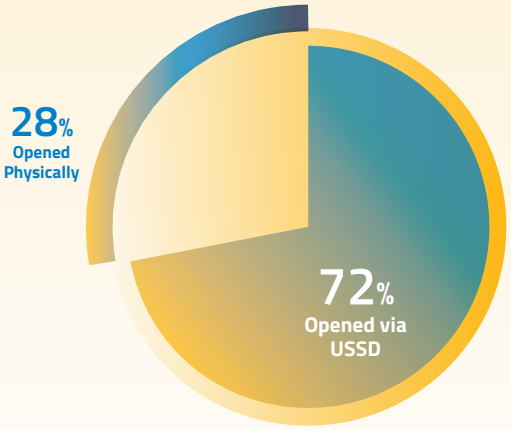
242,766

Up from 127,574

A 90.4% growth from 2022



Account Opening by Channel



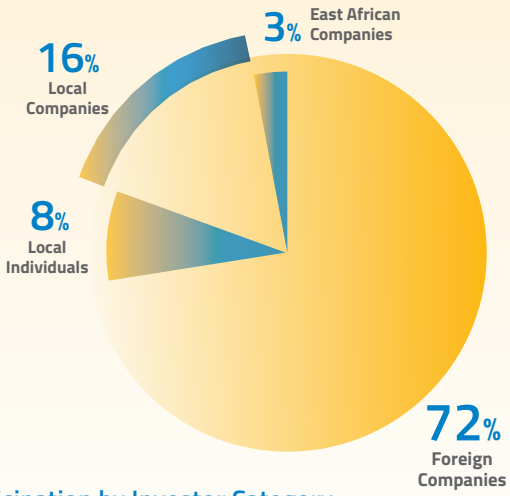
Account Opening by channel:

During the year, most accounts were opened using USSD which accounted for 72% of the total openings, followed by the physical openings at 28% as illustrated above.

Distribution of Accounts in the Depository

Accounts in the depository are categorized into Individual, Company, and Minor, which are further classified under East African, Local, and Foreign investor categories. Throughout the year, we observed consistent growth across these investor segments, maintaining a stable distribution compared to 2022. In 2023, 92% of investors were local, representing Ugandan investors, while East African investors accounted for 5%, and Foreign investors comprised 3% of the total.

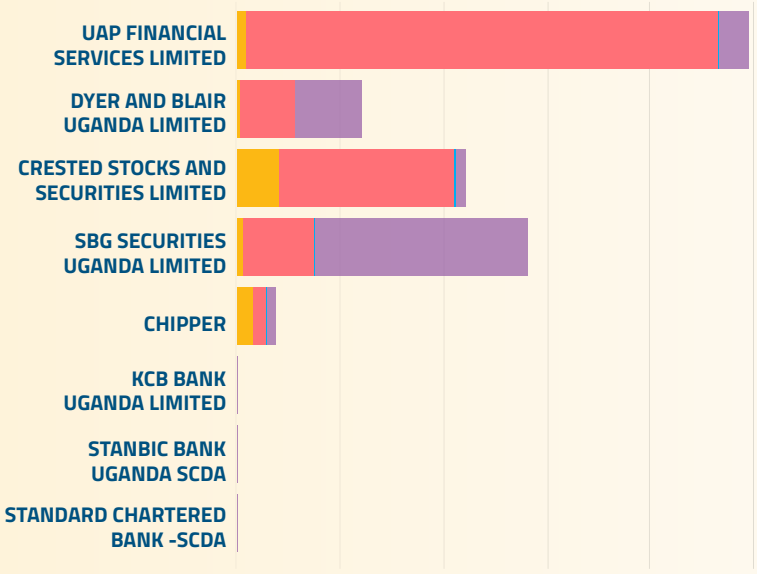
Turnover by Investor Category



Trading Participation by Investor Category:

Institutions accounted for 91 % of the total turnover traded during the year. Their combined participation Increased by 15% to 91 % in 2023 compared to 76% in 2022. Participation from local individuals and companies declined to 8% and 16% in 2023 compared to 17% and 35% in 2022, respectively. This change is mainly attributed to the performance of the listed companies in 2022 and an acquisition of one of the listed companies in 2023.

Accounts opened per SCDA:



In 2023, UAP Old Mutual FS led in SCD accounts opened, accounting for 42.87% of the total, followed by SBG Securities Ltd with 24.30%, Crested Stocks with 19.12%, and Dyer and Blair contributing 10.45%. The remaining accounts were distributed among other brokers and custodians as detailed in the table below.

Share Immobilization

As USE continues to take important strides towards achieving full immobilization status for all listed securities in the market, we reaffirm our commitment to modernizing and streamlining the trading infrastructure. A total of 195 certificates, representing 3,440,978 shares, were successfully immobilized, marking a slight decrease from the 194 certificates and 4,879,863 shares immobilized in the previous year.

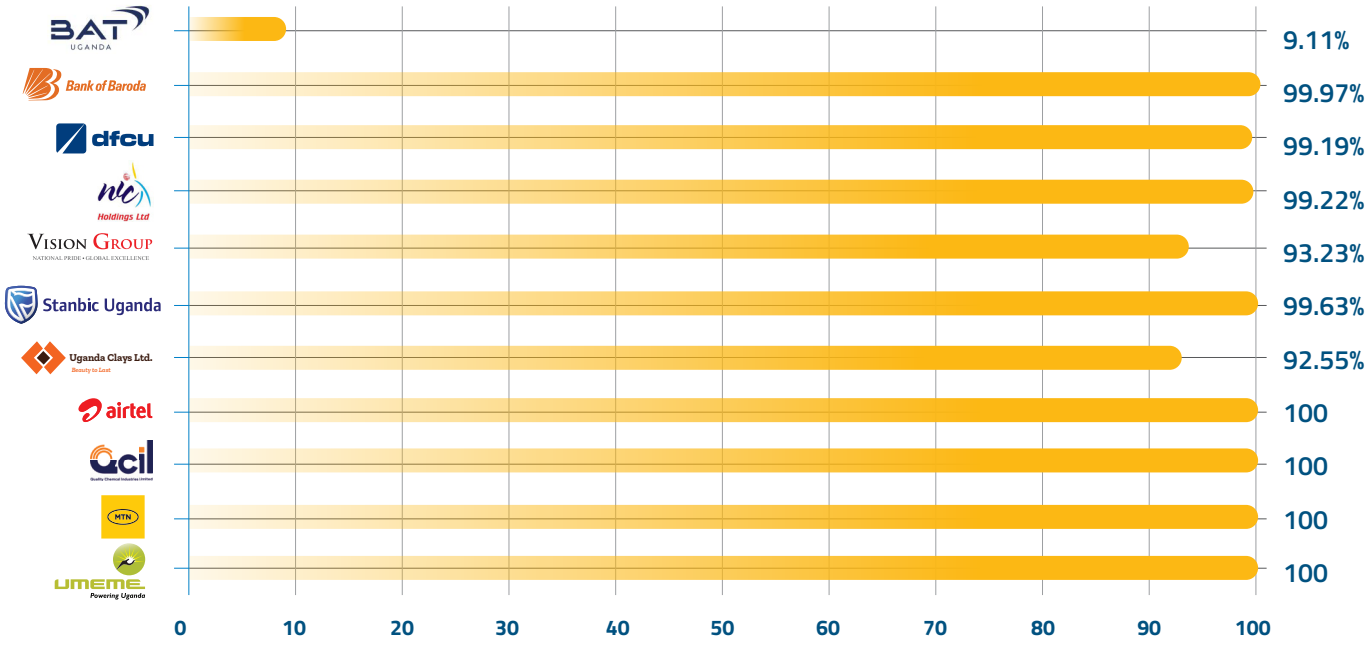
As of December 31, 2023, the ongoing dematerialization process achieved an overall market rate of 90.27%. This figure is expected to see significant enhancement in the coming year as more institutional investors prepare to dematerialize their certificates.

The graph below shows the percentage of shares deposited in the Securities Central Depository (SCD) per issuer.

Counter	Issued Share Capital	Shares held in the SCD	% in SCD	% in Certificate
BATU	49,080,000	4,470,007	9.11	90.89
BOBU	15,000,000,000	14,995,146,340	99.97	0.03
DFCU	748,143,893	742,104,372	99.19	0.81
NIC	2,123,669,577	2,107,036,554	99.22	0.78
NVL	76,500,000	71,324,748	93.23	6.77
SBU	51,188,669,700	50,997,900,979	99.63	0.37
UCL	900,000,000	832,985,177	92.55	7.45
AIRTELU	40,000,000,000	40,000,000,000	100	0
CIPLA	3,651,909,200	3,651,909,200	100	0
MTNU	22,389,044,239	22,389,044,239	100	0
UMEME	1,624,278,005	1,624,278,005	100	0
Total	**137,751,294,614**	**137,416,199,621**	**90.27**	**9.73**

Source: SCD

Percentage of Shares Deposited in the SCD per Issuer



Debt Instruments

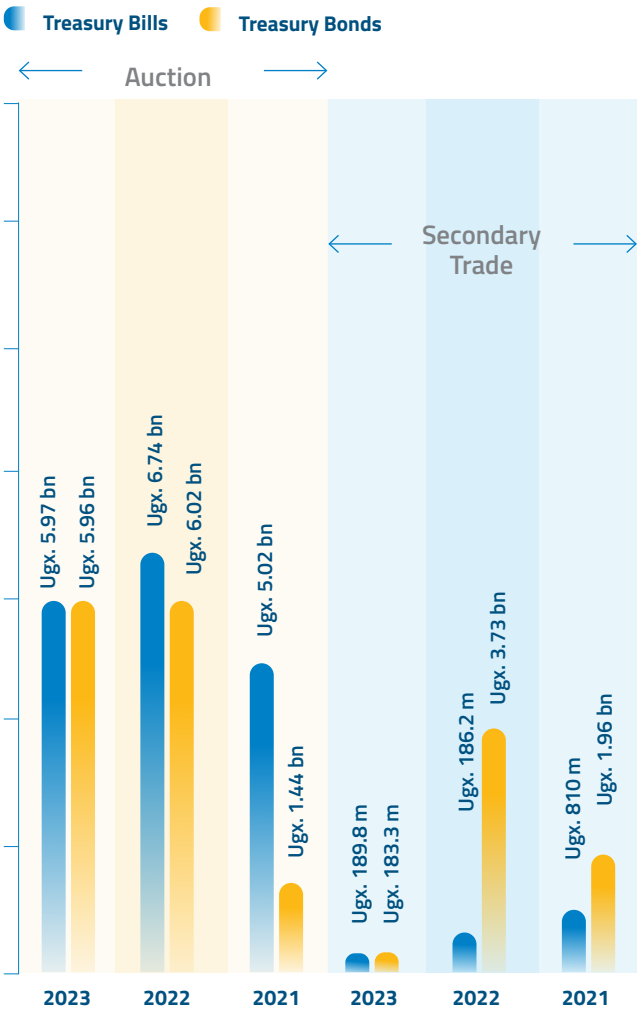
1. Treasury Bills and Treasury Bonds

A total of 106 Government Securities were issued in the year broken down as follows; 28 Treasury bonds amounting to 7,330 Billion and 78 Treasury Bills worth 5,970 Billion shillings.

The alternative Government Securities trading platform implemented at The Exchange posted transactions worth UGX 12.309 billion in 2023 against UGX 16.694 billion in 2022 indicating a decline of 26.27% year on year. The bulk of this was through auctions held during the period.

The breakdown is highlighted below.

Participation in Government Securities



2. Inter – Depository Transfers:

USE and the SCD under an MOU signed with the NSE and CDSC hold an Inter Depository Transfer (IDT) arrangement which facilitates and governs procedures through which cross-listed securities may be moved across the two depositories. During the year, 02 transfers worth 80,569 Centum shares to the CDSC / NSE were effected reducing the total shares available at the USE to 4,175,263.

3. Issuance of International Securities Identification Numbering System (ISINS):

USE SCD is the designated numbering agent for securities and financial instruments in the Ugandan jurisdiction. This not-for-profit activity is aimed at ensuring that all financial instruments are issued with codes in accordance with international standards. The SCD acts as an intermediary between the national entities and the other National Numbering Agencies and is also a resource centre for all information pertaining to all financial instruments registered and issued through the Association of National Numbering Agents (ANNA). During the year 82 instruments were registered compared to 76 the previous year.

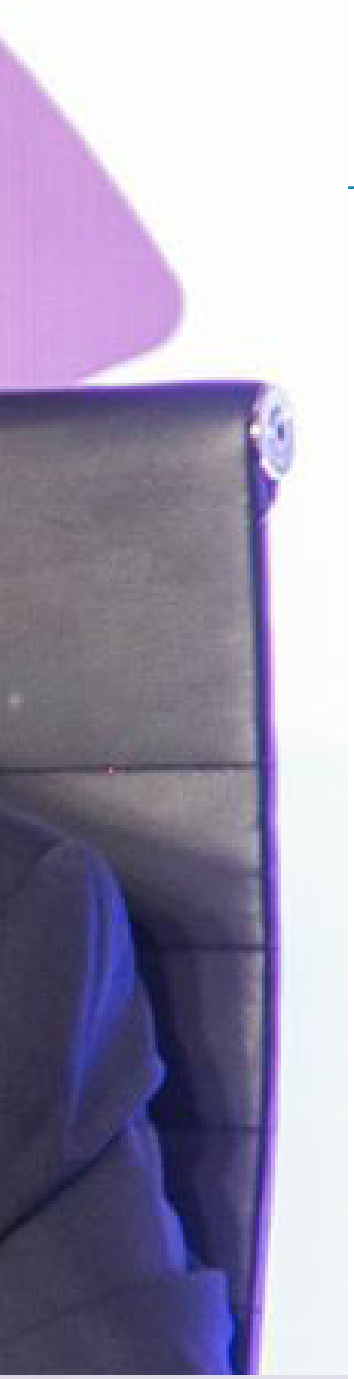
4. Outlook

Looking ahead, we will continue to forge ahead, establishing strategic partnerships aimed at facilitating seamless access to the depository and broader market. These collaborations will be underpinned by advanced technology and automation, enhancing accessibility and operational efficiency.

Our commitment to expanding membership within the depository remains steadfast. We aim to bolster market participation by attracting more investors and Securities Central Depository Agents (SCDAs). Additionally, efforts will be concentrated on promoting the adoption and expansion of E-channels among investors. We seek to heighten awareness and utilization of USSD functionalities and the Easy Portal, ensuring these channels serve as accessible and integral tools for our stakeholders.

Market **Spotlight:**

Cipla QCIL Acquisition by Africa Capital Works 3



Market**Spotlight:**

Cipla QCIL Acquisition by Africa Capital Works SSA 3

One of the most notable trading activities of the year was the acquisition of Cipla Quality Chemical Industries Limited (QCIL) by Africa Capital Works SSA 3.

Africa Capital Works SSA 3 acquired 51.18% of QCIL's shares from Cipla India Ltd., while SCB Mauritius a/c Capital Works SSA 1, a sister company to the former, acquired an additional 11.15% of shares. This acquisition, which took effect on November 14, 2023, resulted in the company's official name reverting to Quality Chemicals Ltd. following the change in ownership.

This transaction, valued at UGX 150 billion, was particularly significant as it accounted for 68.66% of the total shares traded during the period.

Stake Acquired

51.18%

Plus an additional 11.15% purchased by sister company SCB Mauritius a/c Capital Works SSA 1

Transaction Value

Ugx. 150bn

↑ **Up from Ugx. 38.7bn**

A 302.8% growth from 2022

Shares Traded

1.86bn shares

Representing 68.66% of the total 2.82bn shares traded in 2023

Uganda Securities Exchange

Business Performance Review

Mandate 3: Market surveillance and enforcement of listing rules and regulations

WHAT WE DO

The Uganda Securities Exchange is a regulator of all trading participants through the Market Conduct and compliance departments.

- It owns the Listings Requirements and their interpretation, application and enforcement.
- It oversees surveillance on trading in the markets to identify potential market abuse, including insider trading and market manipulation.

How We Delivered

Compliance and Market Conduct

In 2023, a series of incidents had a profound impact on international financial markets, influencing trends and investor sentiment on a global scale. These incidents, spanning geopolitical tensions, economic shifts, and unforeseen events, sent ripples through the interconnected web of global finance.

The ongoing conflicts, notably the situation in Ukraine and geopolitical unrest in regions like the Middle East and Asia, introduced volatility and uncertainty into financial markets, prompting fluctuations in asset prices and raising risk perceptions among investors.

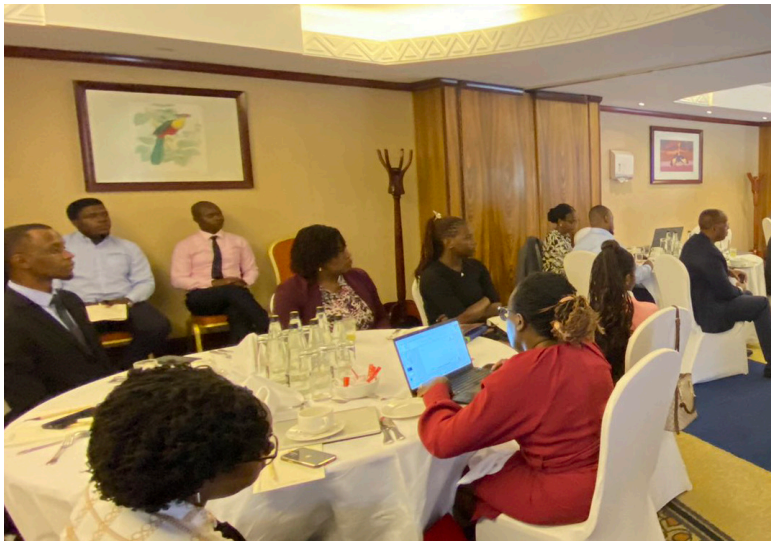
Economic factors also contributed to the market landscape. Changes in central bank policies, shifts in global trade dynamics, and fluctuations in commodity prices all influenced market sentiment and asset valuations, shaping the trajectory of international financial markets.

In addition, unexpected occurrences, including natural disasters, cyberattacks, and health crises, further underscored the vulnerability of global financial systems to external shocks.

Our compliance management approach

The compliance function prioritizes the proactive identification and mitigation of risks that could negatively impact our operating environment and disrupt investor confidence. In collaboration with market participants and regulators, we seek to implement resilience mechanisms.

As a first-line regulator, we are committed to establishing tolerance levels for these risks. Ultimately, the goal of the compliance function is to minimize investor harm in all circumstances.



Trading Participant Compliance:

Net Capital Position Performance:

During the financial year 2023, trading participants experienced mixed trends in their net capital positions. However, towards the end of the year, there was a general positive trend, primarily due to increased profitability recorded by participants. This surge in profitability was attributed to revenues from market transactions, including Airtel Uganda's IPO and Cipla Quality Chemicals Industries Uganda Limited's acquisition among others. It is worth noting that all brokers consistently maintained net capital positions well above the statutory limit throughout the year.

Aggregate Indebtedness:

The aggregate indebtedness levels among trading participants showed a slight increase during the year, with month-to-month trends displaying minor fluctuations that had negligible effects on individual trading participants' indebtedness positions.

Notably, all brokers remained significantly below the statutory limit of 600% throughout the reporting period.

Submission Compliance:

In terms of submission compliance, Trading participants generally demonstrated generally positive performance, consistently posting compliant trends. Month-to-month analysis revealed an improvement in compliance as the year progressed. This positive trend can be attributed to the concerted efforts of both The Exchange and brokers, who actively worked towards fostering a culture of compliance within the market.

Issuer Compliance:

During the period, we observed 3 incidences of failure to disclose material information specifically with the publication of profit warnings. This resulted in 2 of the issuers receiving penalties and the other a warning. This also highlighted the need for heightened vigilance in this area, as numerous glitches were recorded in the course of the year

There was also 1 incident of breach of the USE Listing Rules regarding the timely publication of annual accounts which resulted in a financial penalty. A penalty was also issued to an issuer who failed to meet its minimum float requirements under the USE Listing Rules.

Annual General Meetings - A New Trend:

We have continued to observe a shift in the mode of holding Annual General Meetings. 2023 saw more issuers hold hybrid and fully virtual AGMs. Although these modes of holding AGMs started as a response to the Covid 19 pandemic, Issuers have fully embrace them due to their time and cost effeciency. However, there have also been several requests from shareholders urging issuers to resume physical meetings or at the very least, increase the number of shareholders invited to hybrid meetings.

We are committed to maintaining a robust surveillance framework to safeguard the interests of all market participants and uphold the reputation of The Exchange.

Market Surveillance:

During the past year, our market surveillance activities continued to ensure the integrity and transparency of our market. Our team diligently monitored trading activities to detect and prevent any potential misconduct.

We recorded one case of market abuse, where proactive measures were swiftly taken to mitigate the effects of the abuse. Our immediate response included identifying and addressing the perpetrators to underscore our firm stance against market manipulation. This decisive action demonstrates our zero-tolerance policy towards any attempts to compromise the fairness and integrity of our market.

Aside from this isolated incident, the market remained clean for the rest of the year. We are committed to maintaining a robust surveillance framework to safeguard the interests of all market participants and uphold the reputation of our Exchange. Our continuous efforts in market surveillance are integral to fostering a transparent and trustworthy trading environment.

2024 Outlook:

We are enthusiastic about 2024 as we seek to strengthen the compliance function through a rules amendment to align the current rules with the current market conditions. we will also continue to automate our internal compliance processes.

OUR SERVICES:

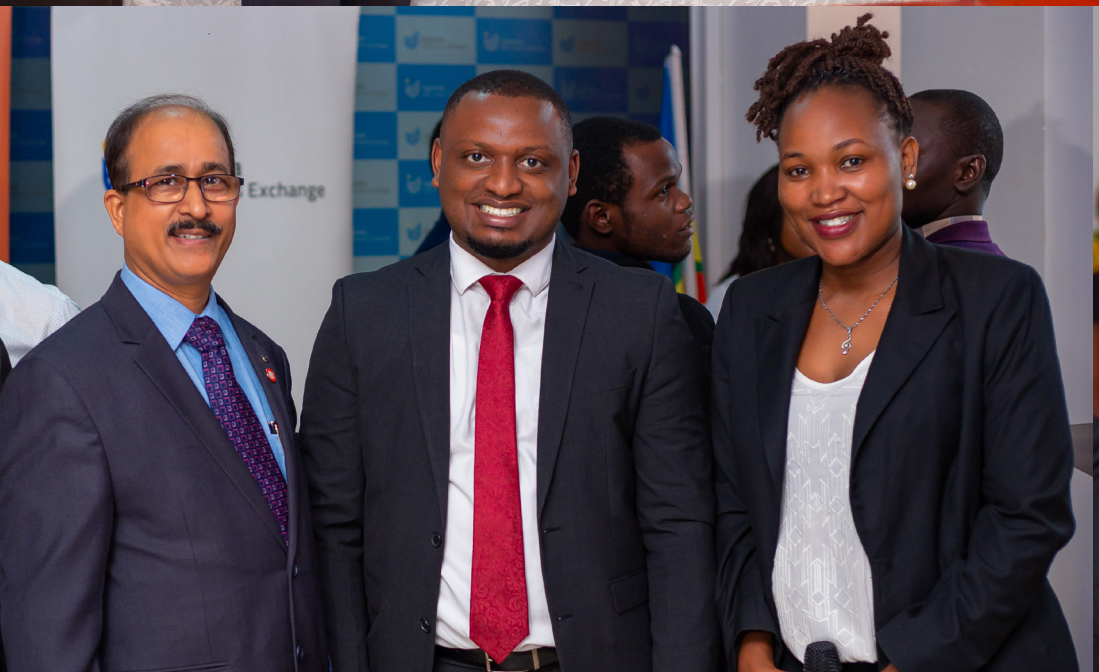
- Shareholder services(Call Centre & Customer service)
- Corporate Actions
- Virtual AGM Services
- Administration of AGMs/EGM & Annual Report Dispatch
- IPO Processing & Register Creation
- Register Maintenance
- Processing of dividends & other entitlements
- Unclaimed Dividends Management
- Registration of Share Transfers and Transmission
- Regulatory Reporting

For more information on SCD Registrars, contact us at **registry@use.or.ug**

@USEUganda

Market **Spotlight:**

Bank of Baroda Bonus Share Issue



Market **Spotlight:**

Bank of Baroda (U) Bonus Share Issuance

On 5th June 2023, Bank of Baroda Uganda Limited announced the issue of bonus shares to its investors following the approval of the listing of additional 12. 5 billion ordinary shares of par value of Shs 10 on the Official List by the Uganda Securities Exchange.

Bonus issue of shares refers to a company allocating additional shares from earnings or existing reserves to stockholders. A bonus issue increases a company's outstanding shares but not it's market capitalization, as the stock price adjusts proportionally to the additional shares issued.

This means is that there is an extra 12.5 billion shares on the market and that has created liquidity. Investors on the market are able to sell those shares if they need to cash in because a bonus issuance is capitalization of retain earnings so indirectly the company has paid shareholders a return on investment.

Bank of Baroda (U) Ltd is a subsidiary of Bank of Baroda, India, one of the leading Banks in Asia with over 2,750 branches in seventeen countries. It has been operating in Uganda since 1953. On 14 November 2002, Bank of Baroda (Uganda) Ltd shares were officially listed on the USE making Bank of Baroda the first financial institution to list shares on The Exchange.

Bonus Shares Issued

12.5bn

Uganda
Securities Exchange

Business Performance Review

Mandate 4: Operate a sustainably profitable business

WHAT WE DO

In 2023, we prioritized enhancing workforce productivity and efficiency through the use of modern technologies, including collaboration tools that improve teamwork and communication. Our commitment to sustainability is demonstrated by significant strides in reducing paper use within our internal processes.

We have also made notable progress in achieving cybersecurity maturity. Our refined cybersecurity plan ensures robust protection of our systems and data, allowing us to navigate the evolving cyber landscape with confidence.

Our efforts to reduce waste and implement environmentally friendly practices not only increase our operational efficiency but also reflect our commitment to environmental stewardship.

How We Delivered

Strengthening Internal Controls and Ensuring Security

As we adopt innovative technologies, we remain focused on reinforcing our internal control mechanisms and procedures. Our vigilance regarding evolving technology risks ensures that our systems are reliable, high-performing, and secure. Continuous enhancement of our internal controls and security measures allows us to navigate technological advancements confidently.

Our commitment to maintaining reliable and secure systems protects our clients' assets and ensures the success of our business.

Operational Efficiency

Enhancing operational efficiency is a key focus of our market surveillance and enforcement activities. We are committed to leveraging strategic technology investments to streamline operations and improve efficiency.

We continuously strive to integrate innovative technologies to make our trading tools more reliable and user-friendly. Our proactive approach in building strategic partnerships and developing solutions addresses market challenges and enhances accessibility. This commitment is central to our long-term goal of making the market inclusive, efficient, and active. Our ongoing digital transformation efforts, combined with strategic relationships, are designed to help us meet our business objectives and deliver substantial value to our stakeholders.

A case in point is the launch of our proprietary mobile app , which has provided clients with a seamless way to access market information and manage their portfolios on the go. This app features real-time updates, personalized insights, and an IPO participation feature, improving the overall investor experience. Additionally, our partnership with MTN has expanded market access by integrating our trading capabilities with MTN's USSD platform, making it easier for clients to trade securities and enhancing market liquidity.

Our commitment to technology extends beyond immediate needs, focusing on long-term innovation and continuous improvement. We are dedicated to fostering a culture of learning and advancement, ensuring that our systems and processes remain at the forefront of industry standards. Our partnerships and digital platform integrations aim to make the market more liquid and accessible, aligning with our vision of increasing market participation and efficiency.

Registry

Our registry functions are central to maintaining accurate and up-to-date records of market activities at the Uganda Securities Exchange. We meticulously manage our registry operations to provide a reliable source of information for market surveillance and enforcement. Our comprehensive registry system supports the tracking of trades, compliance monitoring, and the identification of potential issues, ensuring that market activities are accurately documented.

Our SCD Registrars offer a range of essential services, including the maintenance of share registers, processing entitlements and dividend payments, managing Annual General Meetings (AGMs) and Extraordinary General Meetings (EGMs), overseeing corporate actions, regulatory reporting, and handling share transfers and transmissions.

By providing high-quality market data, we support transparency and facilitate informed decision-making within the market.

Our client-centric approach ensures personalized and efficient service delivery, bolstered by advanced technology and a skilled team. Whether managing initial public offerings (IPOs) or creating and maintaining registers, our services emphasize accuracy, efficiency, and client satisfaction.

Data Vending

We prioritize the effective management and dissemination of market data through our data vending operations. Our data vending services provide market participants with timely and accurate information, essential for making informed trading decisions. We ensure that our data vending systems are reliable and secure, offering a range of data products that meet the needs of our stakeholders. By providing high-quality market data, we support transparency and facilitate informed decision-making within the market.

Trade Reporting and Clearing

Our Automated Trading System (ATS), integrated with the Securities Central Depository (SCD), automates trade execution and reporting.

Trades are seamlessly processed in real-time, updating relevant securities accounts instantly. Transaction reports and settlement obligations are generated and shared with Securities Central Depository Agents (SCDAs) on the trade date (T+0), ensuring efficient and accurate clearing processes.

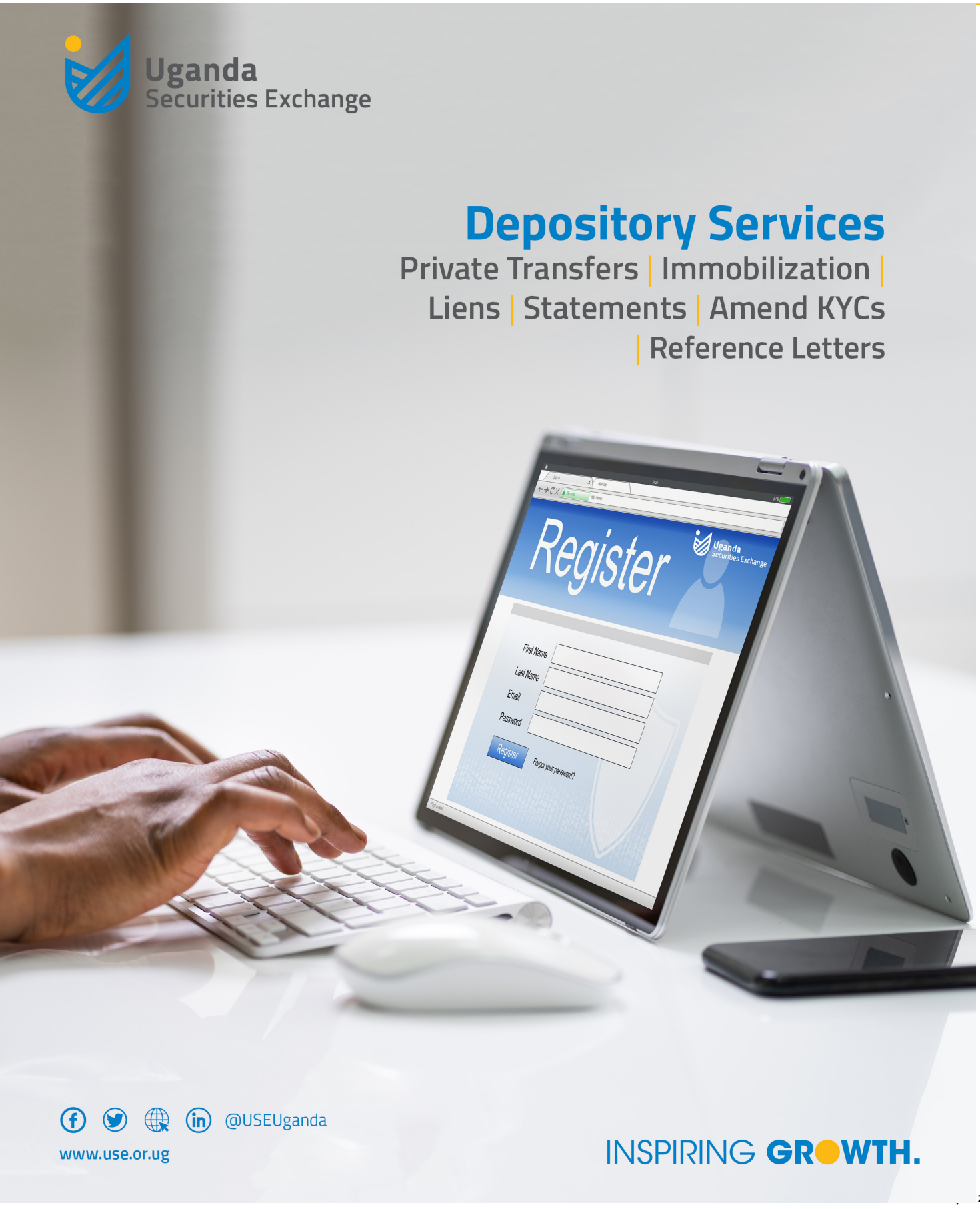
Settlement

SCD settles transactions through a designated settlement bank, where all SCDAs maintain settlement accounts. On settlement dates, funds are exchanged among participants on a net basis through the settlement bank. Concurrently, securities are debited from the seller's account and credited to the buyer's account within our T+3 settlement cycle. This ensures swift and secure transaction settlements with a Delivery versus Payments (DvP) mechanism, offering robust customer protection and settlement irrevocability.

Our client-centric approach ensures personalized and efficient service delivery, bolstered by advanced technology and a skilled team.

Guarantee Fund

Upholding financial integrity in the securities market, SCD manages a guarantee fund that ensures settlement between SCDAs. This fund assures that sellers deliver securities and buyers effect payments as per their trade agreements, reinforcing market trust and reliability.


Uganda
Securities Exchange
Depository Services
Private Transfers | Immobilization |
Liens | Statements | Amend KYCs
| Reference Letters
Register
First Name
Last Name
Email
Password
Register
Forgot your password?
@USEUganda
www.use.or.ug
INSPIRING GROWTH.

Financial Performance

USE experienced a dynamic fiscal year in 2023 underscored by strategic initiatives, regulatory advancements, and significant market activities.

Our achievements in 2023 are a reflection of our concerted efforts to enhance market infrastructure, optimize operational efficiencies, and expand our market reach, setting the stage for sustained growth and innovation for Uganda's Exchange Markets.

Total Revenue

Ugx. 6.41 bn

Up from Ugx. 3.75 bn

a 71.2% growth from 2022

Net Profit

Ugx. 1.83 bn

Up from Ugx. 548.2 m

a 243.5% growth from 2022

Operating Cashflows

Ugx. 2.81 bn

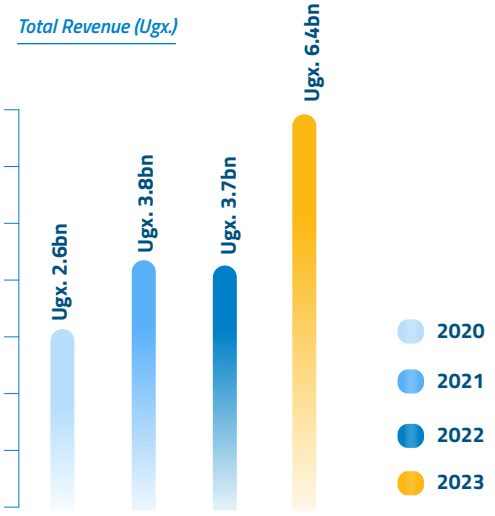
Up from Ugx. 1.28 bn

a 119.5% growth from 2022

Revenue and Profitability

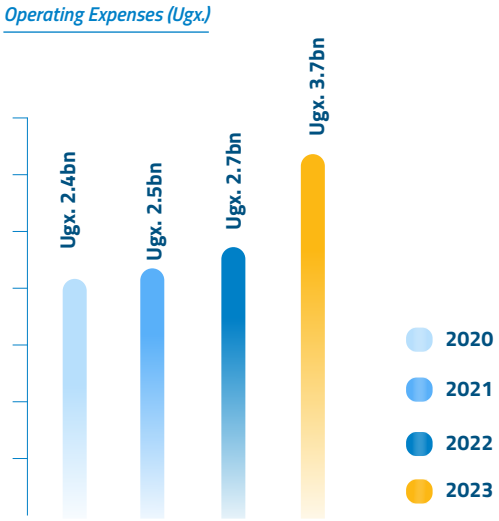
In 2023, our total revenue surged to UGX 6.41 billion, representing a remarkable 71.2% increase from UGX 3.75 billion recorded in 2022. This substantial growth was primarily driven by a surge in transaction fee revenue and increased trading volumes due to the acquisition of Cipla QCL by Africa Capital Works 3, Bank of Baroda Uganda Limited (BOBU)'s issuance of 12.5 billion ordinary shares, and listings such as the Airtel Uganda IPO.

Our USSD trading platform also increased trading participation among retail investors, in addition to higher listing and regulatory filing fees, and substantial contributions from the Specialist Market ("USE Edaala"), which facilitated private placements. Our strategic focus on expanding market services and enhancing trading infrastructure played a pivotal role in driving this revenue growth.

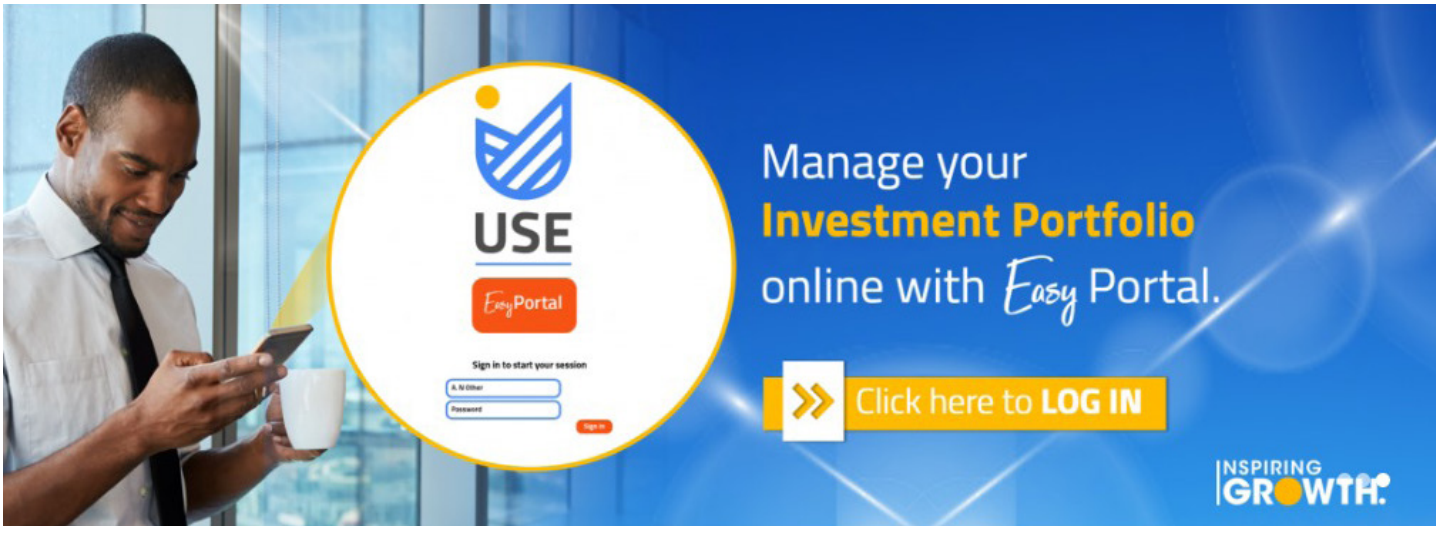


Operating Expenses

Operating expenses in 2023 rose to UGX 3.71 billion, a 34.4% increase from UGX 2.76 billion in 2022. Although expenses increased, the rate of growth was significantly lower than the revenue growth rate, indicating improved operational efficiency. Our focus on cost control measures, process optimization, and leveraging technology to streamline operations contributed to this efficiency.

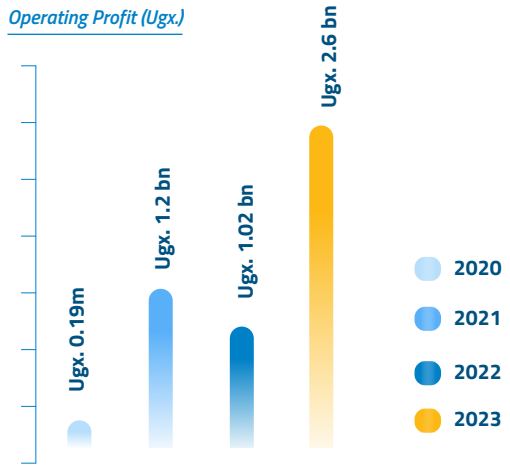


Despite the rise in operating expenses, effective management of costs ensured that the overall financial impact was minimized, reflecting our commitment to maintaining a lean operational structure.



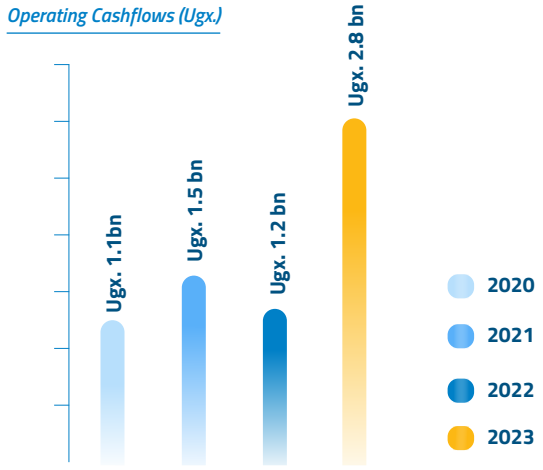
Operating Profit

Our operating profit experienced an impressive increase, more than doubling from UGX 1.03 billion in 2022 to UGX 2.63 billion in 2023, reflecting a 155.3% growth. This remarkable improvement highlights the effectiveness of our cost control measures and our ability to capitalise on revenue growth opportunities. The significant rise in operating profit underscores our successful execution of strategic initiatives aimed at enhancing profitability and operational efficiency.



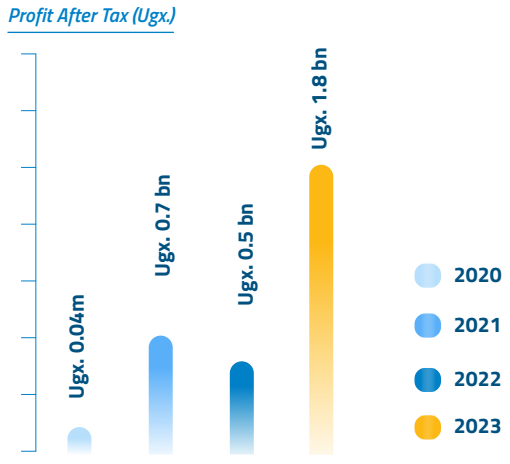
Operating Cashflows

Operating cash flows saw a significant increase, rising to UGX 2.81 billion in 2023 from UGX 1.28 billion in 2022, marking a 119.5% growth. This substantial increase indicates stronger cash generation from operating activities, ensuring better liquidity and financial stability. The improved cashflow can be attributed to higher operating profits and efficient working capital management. Our enhanced cash-generating capacity provides a solid foundation for future investments and potential shareholder returns.



Profit After Tax (PAT)

Profit After Tax (PAT) in 2023 grew to UGX 1.89 billion, a 214.2% increase from UGX 548.2 million in 2022. The substantial improvement in PAT reflects the overall enhancement in our profitability. This increase can be attributed to higher revenue, effective cost management, and tax optimization strategies. The impressive growth in PAT signifies our robust financial health and our ability to generate substantial returns for shareholders.



Dividends

In 2023, we have proposed dividends totaling UGX 662.87 million, a substantial increase from the UGX 210.45 million declared in 2022. This notable rise in proposed dividends is a reflection of our robust revenue growth, improved profitability, and effective cost management throughout the year. It also highlights USE's confidence in the sustained strength of our financial position and our dedication to providing attractive returns while pursuing further growth and strategic initiatives.

Profitability Position Overview

Our profitability metrics indicate a substantial improvement in our efficiency and financial health. This year, we demonstrated significant gains across various profitability measures, reflecting enhanced operational efficiencies and strategic revenue growth.

Net Profit Margin

The net profit margin grew from 14.64% in 2022 to 28.60% in 2023. This improvement indicates that we have become significantly more efficient at converting revenue into actual profit. The primary drivers of this increase include enhanced revenue streams, stringent cost control measures, and strategic investments that have yielded high returns. This substantial improvement underscores the effectiveness of our strategies in boosting profitability and financial stability.

EBITDA Margin

The Earnings Before Interest, Taxes, Depreciation and Amortization (EBITDA) margin rose from 29.86% in 2022 to 42.77% in 2023. This highlights improved operational efficiency before accounting for interest, taxes, depreciation, and amortization. This increase reflects our ability to manage operational costs effectively while driving revenue growth. Key factors contributing to this improvement include the successful implementation of cost-saving initiatives, increased trading volumes, and higher revenue from diversified services.

Return On Capital Employed (ROCE)

The ROCE metric indicates a significant increase from 12.72% in 2022 to 27.15% in 2023. This substantial improvement suggests better utilization of our capital resources to generate profits. The increase in ROCE is attributed to strategic investments in technology and market infrastructure, leading to higher revenue and improved operational efficiency. This metric underscores our effective capital management and our ability to generate higher returns on capital employed.

Jaws Ratio

The Jaws Ratio, which measures the difference between revenue growth rate and expense growth rate, showed a dramatic improvement from -36.09% in 2022 to 28.01% in 2023. This shift from a negative to a positive ratio indicates that our revenue growth has significantly outpaced expense growth, reflecting better financial management and operational efficiency.

Taxation

Our effective tax rate remained at 30%, with total tax expenses for 2023 amounting to UGX 2.4 billion. We maintained full compliance with regulatory tax requirements and employed strategic planning to optimize tax liabilities and leverage available incentives. Our proactive approach to tax planning ensured that we maximized the benefits of tax regulations while maintaining ethical standards.

Capital Investments

Capital investments in 2023 focused on enhancing technology, market infrastructure, and capacity building. Investments in digital trading platforms, cybersecurity, and our proprietary mobile app were crucial in upgrading our technological capabilities. Additionally, the expansion of the USE COMMEX and the onboarding of new warehouses improved market infrastructure. Strategic partnerships with Nairobi Securities Exchange (NSE) for training workshops and masterclasses were instrumental in capacity building, ensuring that The Exchange is well-positioned to meet future market demands.

Market Expansion

Our market expansion efforts included preparation for the second pilot of the USE COMMEX in August 2024, aiming for a trading volume of 8,000 metric tons and a turnover value of UGX 10 billion. The Specialist Market ("USE Edaala") facilitated private placements for high-growth SMEs, further expanding our market reach. These initiatives are part of our strategic plan to diversify market offerings and enhance market accessibility.

Reflection and Going Forward:

Our financial performance in 2023 reflects strong revenue growth, improved profitability, and strategic investments in technology and market infrastructure. Effective cost management and tax planning further enhanced financial outcomes.

The financial outlook for USE in 2024 is strong. As of mid-year, the company has surpassed its budget projections and is on track to meet or exceed its 2023 performance. This robust performance suggests a favourable dividend payout for shareholders and potential bonuses for staff.

The future prospects for USE are promising, with continued market expansion, technological advancements, and capacity-building initiatives set to drive sustained growth and financial stability. Our strategic focus on innovation, efficiency, and market expansion positions us well for continued success in the years to come.

Uganda
Securities Exchange

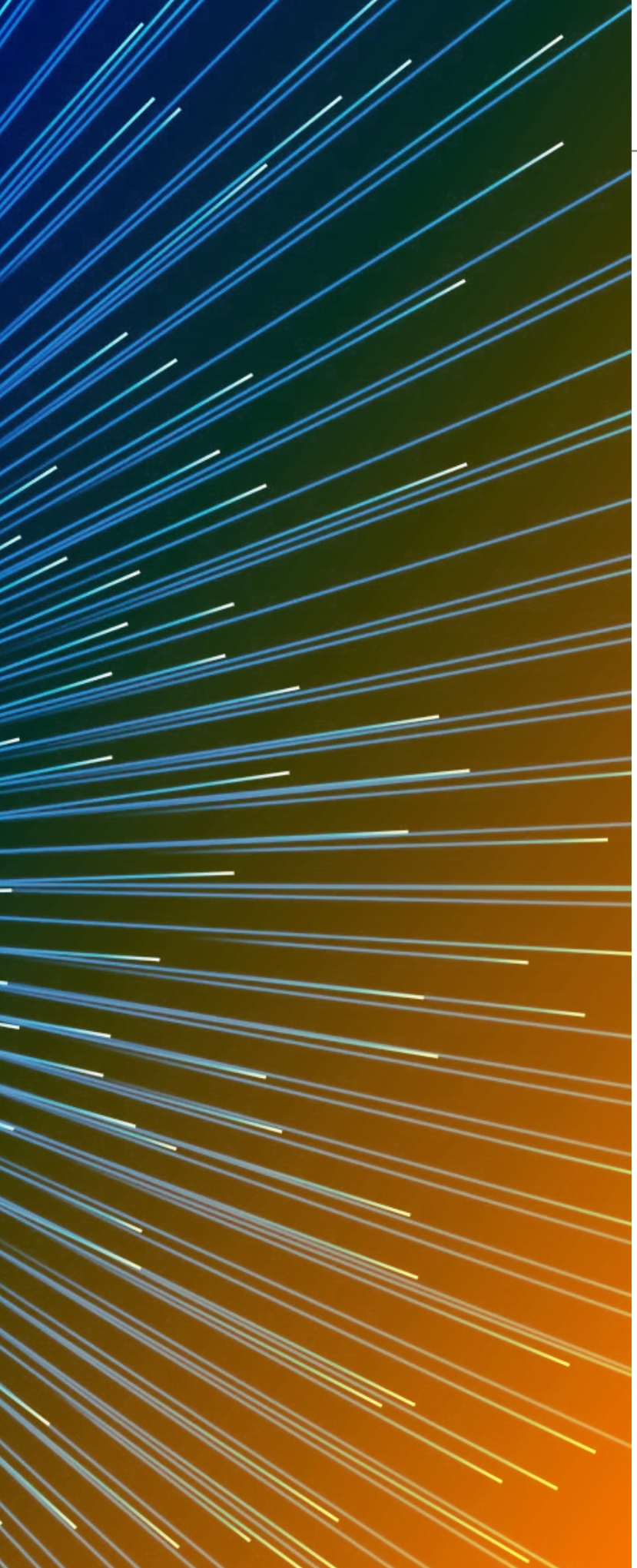
INTRODUCING
USE Specialist Market
"USE Edaala"

Accelerating Business
Growth Together

@USEUganda www.use.or.ug

INSPIRING GROWTH.

Sustainability Report



Sustaining The Exchange

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Our Sustainability Approach

At USE, we firmly believe that sustainability is not only crucial for long-term value creation but also integral to responsible corporate citizenship. We are dedicated to operating in an environmentally conscientious and socially progressive manner, underpinned by robust governance frameworks.

This commitment is reflected in our alignment with the United Nations Sustainable Development Goals (UN SDGs)

Our sustainability approach is guided by our values and insights from stakeholders. We recognize that our success is intertwined with the well-being of the world.

2023 Sustainability Highlights

75,000
Individual SCD Accounts Opened

82
Financial instruments registered

19
Total number of employees

4,614
Retail investors participated in the Airtel IPO

Ugx. 779.5m
in tax contributions

36.8%
Percentage of women in our workforce

To address social and environmental challenges, we actively engage with a diverse group of stakeholders to prioritize key aspects in our sustainability agenda. As such we subscribe to:

- Vision 2040
- The National Development Plan
- Companies Act 2012 (as amended)
- International Financial Reporting Standards (IFRS)
- UN Global Compact (UNGC)
- UN SDGs
- UN Principles for Responsible Investment
- Sustainable Stock Exchanges Initiative

As a leading regulator of listed companies, we take proactive steps to support our partners in aligning and reporting their Environmental, Social, and Governance (ESG) performance. We advocate for the development of compreh`ensive reporting structures that empower companies to transparently communicate their impacts on the economy, environment, and society, including human rights considerations.

This year, among other activities, USE facilitated an ESG Disclosures and Sustainability Masterclass that targeted various leadership levels of listed companies and non-listed companies. This high-value workshop provided an overview of the international ESG framework in the dynamic world. The knowledge acquired in this training provided guidance to entities on how to position themselves as an ideal investable company and showcased how this coverage impacts a company and its stakeholders.

We continue to encourage Ugandan companies, both listed and non-listed, to embrace sustainability reporting as a cornerstone of their corporate governance. Through the disclosure of their environmental, social, and governance impacts, businesses not only enhance their reputation and stakeholder trust but also contribute to a more sustainable future for Uganda. Embracing sustainability reporting will enable companies to demonstrate leadership in responsible business practices, attract responsible investors, and align with global best practices in corporate sustainability.

Sustainable Growth in Our Operations

This year, The Exchange undertook significant steps to ensure that our business practices are not only economically viable, but also socially responsible and environmentally conscious.

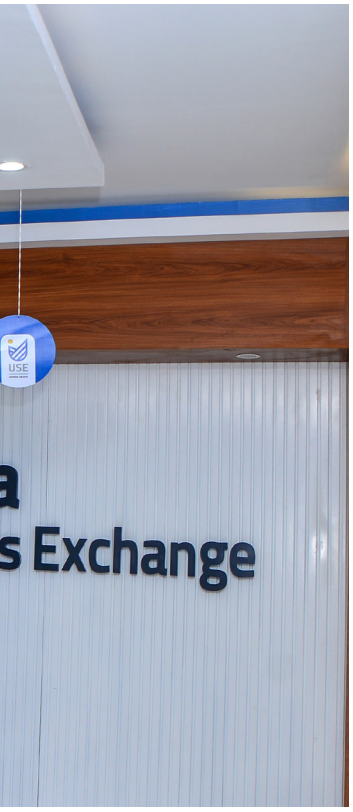
These continuous efforts are driven by a holistic approach that encompasses financial performance, technological innovation, and a steadfast commitment to our stakeholders.

People and Culture

At USE, our people are our greatest asset. We are committed to creating an inclusive, dynamic, and supportive workplace that fosters professional growth and personal well-being. In 2023, we undertook several initiatives to enhance our organizational culture and ensure that our employees are engaged, motivated, and aligned with our strategic objectives.

Our investment in staff development is evident through various training initiatives. In 2023, key training sessions included "Effective Communication for Healthy Relationships" in June and "Public Speaking" in September, aimed at improving interpersonal skills and stakeholder engagement.

We also invested in specialized training to meet the unique needs of The Exchange's various departments within our workforce including cyber security, CFA Courses as well as CISI certification.



Our training programs were a key focus, aimed at developing essential skills and promoting a healthy work-life balance. Notable sessions included "Effective Communication for Healthy Relationships" and "Public Speaking," which equipped employees with valuable interpersonal and presentation skills. Additionally, the staff retreat at Kyangabi Crater Resort provided an opportunity for team building and strategic discussions, reinforcing our commitment to cohesive and collaborative teamwork.

We also held regular end-of-quarter staff meetings to review performance and align on future goals. These meetings, along with our end-of-year staff party, celebrated our collective achievements and fostered a sense of community and appreciation.

These comprehensive efforts demonstrate our dedication to fostering a motivated, skilled, and aligned workforce, crucial for achieving our organizational objectives.

Carbon Footprint

In line with our commitment to environmental sustainability, USE has made concerted efforts to reduce our carbon footprint and promote energy efficiency. A significant achievement in 2023 was the successful reduction of our electrical consumption through the implementation of energy-saving strategies and resource optimization. This reduction reduces operating costs but also aligns with our goal of ensuring access to reliable, sustainable, and modern energy.

Our initiatives extend beyond energy consumption to include broader environmental considerations. The adoption of a paperless initiative has significantly reduced our reliance on paper, contributing to a decrease in overall waste and promoting sustainable business practices.

We believe that through the integration of digital solutions and minimizing paper usage, we are not only enhancing operational efficiency but also supporting global efforts to mitigate environmental impact.

Our commitment to clean energy is reflected in our support for integrating clean energy solutions and advocating for energy efficiency within our sector. These efforts contribute to the broader objective of transitioning towards cleaner and more sustainable energy practices, reinforcing our dedication to environmental stewardship.

Digital Transformation

At USE, our commitment to digital transformation is integral to our strategy for enhancing efficiency, reducing environmental impact, and maintaining the highest standards of operational excellence.

Enhancing Internal Efficiency

To improve internal efficiency, we implemented various digital tools and platforms that simplify and automate routine processes. One such initiative is the adoption of Office 365, which has revolutionized how our employees manage administrative tasks. For instance, applying for leave days is now a seamless process conducted through the Office 365 platform. This not only saves time but also ensures that all records are accurately maintained and easily accessible, contributing to better resource management and operational transparency.

Collaboration and Communication

The use of collaboration tools such as Microsoft Teams has transformed the way our teams communicate and work together. These tools facilitate real-time communication, file sharing, and project management, enabling our employees to collaborate more effectively regardless of their physical location. This digital-first approach has not only enhanced productivity but also fostered a more agile and responsive organizational culture.

> *At USE, our people are our greatest asset. We are committed to creating an inclusive, dynamic, and supportive workplace that fosters professional growth and personal well-being.*

Robust Cybersecurity Measures

The security and integrity of our systems and data are paramount to maintaining investor confidence and market stability. To this end, we have implemented robust cybersecurity measures designed to protect our digital infrastructure from potential threats.

Our Information Technology Section continuously monitors and updates our security protocols to guard against cyberattacks, data breaches, and other vulnerabilities. These measures include advanced encryption, multi-factor authentication, regular security audits, and comprehensive training for our employees on cybersecurity best practices.

Streamlined Workflow and Decision Making

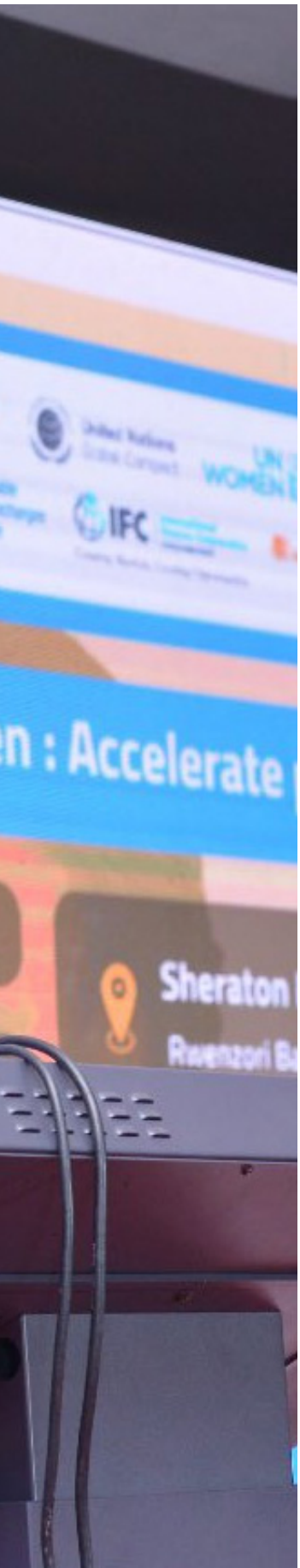
Digitizing our internal processes has streamlined workflow and improved decision-making capabilities. Automated systems for reporting, data analysis, and performance tracking provide our management team with real-time insights into operational metrics. This enables us to make informed decisions quickly and effectively, driving continuous improvement and innovation within the organization.

Sustainable Growth in Our Markets and Environment

Uganda Securities Exchange is committed to fostering a dynamic, transparent, and efficient market environment that supports sustainable economic development. In 2023, we undertook several key initiatives to enhance market accessibility, improve operational efficiency, and broaden participation.

A cornerstone of our efforts has been the launch of the USE mobile app, which, in partnership with telecom operators MTN and Airtel, has significantly lowered barriers to market entry. This technological innovation has facilitated easier access to trading, increased market liquidity, and ensured that our capital markets are inclusive and accessible to a wider audience. Additionally, the establishment of the USE COMMEX is transforming Uganda's commodities market, providing a transparent and efficient trading platform that bridges the gap between agricultural producers and buyers. This initiative ensures price discovery, market information availability, and quality assurance, thereby supporting sustainable economic growth and strengthening Uganda's position in the regional market.

Educational initiatives such as the Women's Investment Breakfast and the CEO, CFO and CS Forum during World Investor Week have played a crucial role in promoting financial literacy and broadening investment horizons. These events empower stakeholders with the knowledge and tools needed to navigate market complexities and construct resilient investment portfolios, further contributing to the vibrancy and inclusivity of our market.



Gender Equality

At USE, we are deeply committed to promoting gender equality and empowering women in the financial sector. Our initiatives aim to create an inclusive environment where female investors and professionals can thrive and actively participate in the capital markets.

Empowerment and Inclusion Initiatives

Programs such as the USE ESG Disclosures and Sustainability Masterclass have been pivotal in promoting gender equality awareness among the leadership of both listed and non-listed companies. These programs aim to instill the principles of gender inclusivity at the highest levels of corporate governance. Additionally, we are committed to facilitating capital access for women-led businesses, thereby supporting economic empowerment and financial inclusion for women entrepreneurs.

Global and Local Engagement

This year, we participated in the global "Ring the Bell" for Gender Equality event, joining over 77 exchanges worldwide. The theme, "Digital: Innovation and Technology for Gender Equality," underscored the crucial role of technology and digital education in advancing gender equality and bridging gender gaps. The event featured women-led innovators who showcased their products and shared their impactful stories, highlighting the importance of female participation in technological advancement.

Promoting Women's Financial Literacy

USE also hosted a Women's Investment Breakfast, recognizing and celebrating the growing influence of women in the Ugandan capital market. This event featured esteemed female financial experts who provided invaluable insights on constructing resilient investment portfolios and navigating market challenges. The Exchange aims to empower more women to take charge of their financial futures, through the fostering of financial literacy and encouraging active participation.

Supporting Women-Led Businesses

Our initiatives extend to providing support and resources for women-led businesses. These largely include facilitating easier access to capital markets and offering platforms for women entrepreneurs to connect with potential investors. The Exchange is helping to break down barriers and create opportunities for women to succeed in business.

Commitment to Continuous Improvement

Our commitment to gender equality is an ongoing journey. We continuously seek to improve our policies and practices to ensure that we are creating an environment where all employees, regardless of gender, can thrive and contribute to our collective success. We believe that a diverse and inclusive workforce not only enhances our organizational performance but also reflects our commitment to broader societal progress.

Digital Inclusion

Promoting financial inclusion is a cornerstone of our mission at USE. We are committed to democratizing access to financial markets, ensuring that individuals and businesses of all sizes and backgrounds can participate in and benefit from capital market activities.

Strategic Partnerships

Our strategic partnerships with telecommunications giants MTN and Airtel have been instrumental in advancing financial inclusion. Through integrating trading capabilities into mobile platforms, we have accelerated the process for a broader range of investors to access the market. This initiative supports wider market participation and aligns with our goal of fostering inclusive economic growth.

Unlocking Growth of SMEs through the SME Top 100

The SME Top 100 Survey is instrumental in showcasing Uganda's fastest-growing medium-sized companies. This initiative highlights business excellence and successful entrepreneurship stories, contributing to the visibility and growth of SMEs. In collaboration with KPMG, Monitor Publications, DFCU Bank, Uganda Investment Authority, the Ministry of Tourism, Wildlife, and Antiquities, and other partners, we championed the 2023 Top 100 SMEs survey, culminating in a Gala Dinner on December 1st.

During the Gala Dinner, the Minister of State for Trade, Industry, and Cooperatives, Honorable David Bahati, recognized the critical role of SMEs in Uganda's economy, including their contribution to job creation. Our involvement in sector forums has provided a platform to introduce the USE Specialist Market to participant companies. This unquoted securities market enables high-growth companies, which do not meet the minimum listing requirements on The Exchange's public market segments, to access long-term funding through private placements while undergoing investor readiness incubation.

Improving Financial Reporting through FiRe Awards

The FiRe Awards, executed in collaboration with ICPAU, CMA, and New Vision, is a notable initiative aimed at enhancing financial reporting standards and corporate governance. This year, the FiRe Awards focused on "ESG: Reporting as Brand Storytelling," recognizing the growing importance of Environmental, Social, and Governance (ESG) issues in organizational transparency and performance.

The 2023 awards received 100 entries, with Stanbic Uganda Holdings Limited winning the Gold Accolade for the Integrated Report of the Year. National Social Security Fund won Silver, and PostBank secured Bronze. The awards were graced by the Deputy Speaker of Parliament, Rt Hon. Thomas Tayebwa, who emphasised the importance of improving reporting standards and their positive impact on Uganda's economic growth.

Promotion of Financial Literacy and Inclusion during World Investor Week (WIW)

In collaboration with UN Women, Stanbic Holdings Limited, MTN Uganda, New Vision Printing and Publishing Company, DFCU Bank, UMEME Ltd, and Quality Chemicals Industries, USE commemorated World Investor Week (WIW) 2023 from 6 to 10 November under the theme, "Investor Resilience." WIW is a global campaign organized by the International Organization of Securities Commissions (IOSCO) to raise awareness about investor education and protection.

During the week, The Exchange carried out various activities to empower Ugandan investors with the knowledge and tools to make informed investment decisions. USE CEO, Paul Bwiso, emphasized the importance of equipping investors with the knowledge and skills to navigate market volatility and make sound investment decisions regardless of economic conditions.

Key Activities Included:

i. **Women's Investment Breakfast:** Recognizing the growing participation of women in the Ugandan capital market, USE hosted a Women's Investment Breakfast. This event featured talks from female financial experts who shared insights on building resilient investment portfolios and navigating market challenges.

ii. **CEO, CFO and CS Forum:** Targeting executives of listed companies and potential market participants, USE organized a CEO, CFO, and CS Forum. Industry leaders discussed current market trends, risk management strategies, and best practices for fostering long-term investment resilience. The engagement was graced by Mr. Keith Kalyegira, the CEO of the Capital Markets Authority, who delivered a keynote address on embracing investor resilience.

Business Conduct

USE upholds the highest standards of business conduct to ensure the integrity, transparency, and fairness of our market operations. Our commitment to ethical practices and regulatory compliance is fundamental to maintaining investor confidence and market stability. These principles are vital for fostering trust among investors, stakeholders and the public, as well as ensuring long term stability and credibility of Uganda's financial markets. Our business conduct framework is designed to ensure all employees and market participants uphold ethical business practices.

Ethical Code of Conduct

Our ethical code of conduct is a foundational document that guides all employees and stakeholders in their professional conduct. It reflects the core values of the organization, including integrity, transparency, and accountability. USE expects every individual associated with The Exchange to act with honesty and fairness in all dealings, both within the organization and with external stakeholders. Employees are required to disclose any potential conflicts of interest, ensuring that personal interests do not interfere with their professional duties. Confidentiality is also emphasized, particularly in the handling of sensitive information related to our operations and clients. We have implemented rigorous enforcement mechanisms such as regular training sessions which are conducted to keep all staff updated on the latest ethical guidelines and to reinforce the importance of these principles.

Whistleblowing

Our whistle-blowing policy is designed to encourage employees and other stakeholders to report any unethical, illegal or questionable practices within the organization. The policy provides confidential channels through which individuals can report their concerns to ensure that the whistleblower can share information without fear of retaliation or breach of confidentiality. The policy also outlines a structured process for handling reports to ensure that all claims are taken seriously and investigated promptly and impartially.

Workplace Conduct and Culture

At USE, we are committed to creating a work environment where all employees feel safe, respected and valued. A significant part of this commitment involves the establishment of robust policies aimed at preventing harassment, discrimination, and any form of unethical behavior. Recently, USE has taken proactive steps to address the issue of sexual harassment. The new policy includes clear procedures for reporting harassment, protections for whistleblowers, and a zero-tolerance approach to any form of retaliation against those who come forward.

Beyond preventing misconduct, USE actively promotes a culture of inclusivity and respect. We are dedicated to diversity, recognizing that a variety of perspectives and experiences enrich the workplace.

Transparency and Disclosure

At USE, we ensure that all market participants, including investors, issuers, and the public, have access to accurate and timely information. This transparency is crucial for maintaining the integrity of the market and for building trust among stakeholders. USE regularly publishes detailed reports on its financial performance, governance practices, and decision-making processes, aligning itself with international best practices.

Guidelines for Stakeholders

USE has put in place comprehensive rules and operating procedures to govern our activities and those of our market participants. These guidelines ensure that all transactions are conducted in a transparent and orderly manner, protecting the interests of investors and maintaining the integrity of the market.

Digitalization of Business Operations

Our Securities Central Depository (SCD) plays a pivotal role in streamlining investor transactions and ensuring the security of holdings. The digitization of trading processes through the SCD enhances market efficiency, reduces transaction costs, and improves overall market liquidity. During significant events like the Airtel Uganda IPO, the SCD facilitated the opening of over 7,000 new accounts, demonstrating its role in expanding market participation and fostering a broader investor base.

Furthermore, our commitment to good governance and the rule of law is reflected in our continuous efforts to enhance operational efficiencies and integrate advanced technology. Robust cybersecurity measures ensure the security and integrity of our systems and data. This is critical for maintaining investor confidence and market stability.

Impact on the UN Sustainable Development Goals

At The Exchange, we understand that global challenges require immense collaboration amongst all stakeholders to expedite their achievement. Therefore, we focus on key areas where we can make substantial impact.

Every year, we focussed on the five SDGs that are most relevant to our business: SDG 5, SDG 8, SDG 9, SDG 10 and SDG 17

As a member of the SSE's UN-led initiative overseeing SDG application, we rigorously analyze our activities to assess our contributions to sustainable development goals as shown below.

SDG5 - Gender Equality,

SDG8 - Decent Work and Economic Growth,

SDG9 - Industry, Innovation and Infrastructure,

SDG10 - Reduced Inequalities,

SDG17 - Partnerships for the Goals.

SDG 5: Gender Equality:

Our commitment to gender equality is reflected in a range of initiatives designed to enhance gender diversity and empowerment. Our workforce now comprises 36.8% women, a notable increase from 26.3% last year. In 2023, we further advanced our inclusivity efforts by recruiting three additional women to our team.

Programs such as the USE ESG Disclosures and Sustainability Masterclass play a crucial role in fostering gender equality awareness among the leadership of both listed and non-listed companies. Additionally, we work to facilitate capital access for women-led businesses, thereby supporting economic empowerment and financial inclusion.

This year, we joined over 77 global exchanges to "Ring the Bell" for gender equality, focusing on the theme: "Digital: Innovation and Technology for Gender Equality." This initiative highlighted the role of technology and digital education in advancing gender equality and closing gender gaps. During the event, women-led innovators showcased their products and shared their impactful stories. Furthermore, we hosted a Women's Investment Breakfast, acknowledging the increasing role of women in the Ugandan capital market. The event featured female financial experts who provided valuable insights on building resilient investment portfolios and overcoming market challenges.

SDG 8: Decent Work and Economic Growth

We contribute to SDG 8 by fostering economic growth and job creation through our vital role as a platform for raising capital. Through initiatives to enable access to financing, we support businesses in expanding their operations and creating employment opportunities, thereby contributing to sustainable economic development. This, in turn, generates employment opportunities and stimulates sustainable economic development. Our initiatives promote market accessibility and financial inclusion, empowering a diverse range of enterprises to access the capital necessary for growth. By facilitating investment flow into businesses, we drive economic progress, foster job creation, and contribute to long-term stability. Our commitment to these goals reinforces our role in promoting decent work and sustained economic growth.

SDG 9: Industry, Innovation, and Infrastructure

We advance SDG 9 through continuous innovation in the financial markets infrastructure. Implementing electronic trading platforms and the Automated Trading System (ATS) enhances market efficiency, transparency, and accessibility. These technological advancements strengthen Uganda's financial infrastructure, supporting sustainable industrialization and fostering innovation within the financial sector.

SDG 10: Reduced Inequalities

USE addresses SDG 10 by promoting inclusive economic growth and reducing inequalities. We do this by providing a platform for both large corporations and smaller enterprises to access capital markets. Initiatives like the USE COMMEX pilot with Agroways aim to include smallholder farmers and smaller enterprises in the commodities trading ecosystem. These efforts reduce economic disparities and promote inclusive economic growth.

SDG 17: Partnerships for the Goals

We contribute to SDG 17 through strategic partnerships and collaborations with stakeholders including listed companies, regulatory bodies like the Capital Markets Authority, international partners, and local communities. These partnerships promote sustainable and transparent capital markets, enhancing resilience and inclusivity. Leveraging collective expertise and resources, we foster economic growth, innovation, and sustainable practices across Uganda, ensuring a prosperous future for all stakeholders involved.

Corporate Governance Report

The Uganda Securities Exchange Board of Directors is committed to fostering good corporate governance practices in line with international standards, driven by the strategic oversight and leadership of our Board of Directors.

In 2023, the Board played a pivotal role in leveraging our competitive differentiators, including market leadership, innovative technology solutions, a customer-centric approach, comprehensive education and training programs, and strategic partnerships. The Board's unwavering commitment to sustainability, market transparency, and inclusivity has been instrumental in fostering a resilient and inclusive financial ecosystem. Under the Board's guidance, the USE achieved significant milestones aligned with our key strategic priorities, such as exponential growth in business activity, expansion of our market presence, and increased trading volume.

This report provides an overview of our governance practices, with a particular focus on the Board's insights and initiatives in navigating market complexities, enhancing shareholder engagement, and driving sustainable growth. It underscores the Board's commitment to maintaining the highest standards of corporate governance, ensuring market integrity, and fostering investor confidence in Uganda's capital markets.

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Chairman's Overview on Governance

It is with great pride that I present the Governance Report of the Uganda Securities Exchange for the year 2023. This year has been a period of robust governance, strategic oversight, and a steadfast commitment to integrity and transparency in our operations. Our focus has been on strengthening our internal frameworks, enhancing our market's resilience, and ensuring that the Uganda Securities Exchange remains a trusted institution in the financial sector.

Board Effectiveness

Our Board of Directors continues to benefit from a diverse range of expertise across finance, investment, and academia. This diversity enhances our ability to provide effective oversight and strategic direction. The Board's composition is designed to ensure that decisions are made with a broad perspective, reinforcing our commitment to sound governance practices.

Strengthening Governance and Risk Management

The Board is governed by the Corporate Governance Code in the Companies Act 2012 Throughout 2023, we have placed significant emphasis on fortifying our governance and risk management structures. Recognizing the critical importance of a well-governed exchange, we undertook comprehensive reviews of our internal controls, financial reporting, and risk management systems. This has been particularly important in addressing areas such as IT security, procurement processes, and the overall financial health of The Exchange.

We identified and mitigated several key risks that could impact our operations, particularly in the space of IT. By addressing gaps in our IT infrastructure—such as improving user account management and implementing regular vulnerability assessments—we have strengthened the security and reliability of our systems. Moreover, our focus on refining procurement processes and ensuring compliance with best practices has reinforced our operational integrity.

Enhancing Financial Performance and Sustainability

Effective risk management remains a cornerstone of our governance framework. Despite a challenging economic environment, we have demonstrated resilience and financial prudence. In 2023, we navigated a reduction in certain revenue streams, notably listing fees, with strategic adjustments that bolstered our financial performance. Our efforts to optimise operational efficiency have resulted in improved profitability and enhanced financial sustainability.

Key initiatives included the successful listing of Airtel Uganda, which significantly boosted market capitalization and liquidity, and advancements in our commodities trading platform, USE COMMEX.

We also prioritised transparency in our financial practices, addressing potential conflicts of interest with clarity and fairness. This has ensured that our financial decisions are made in the best interests of all stakeholders, further reinforcing confidence in our governance.

Commitment to Market Integrity and Fairness

Market integrity and fairness have been central to our governance philosophy. This year, we took decisive action to uphold these principles, ensuring that all market participants adhere to the highest ethical standards. Our response to incidents of misconduct underscores our zero-tolerance policy for actions that undermine market confidence.

We have also focused on fostering a culture of compliance and ethical conduct among our members. By promoting continuous education and awareness, we aim to ensure that all market participants understand and adhere to the standards that make the Uganda Securities Exchange a reliable and fair marketplace.

Strategic Growth and Innovation

USE continues to be a leader in the region, not only through our adherence to strong governance practices but also by driving strategic growth and innovation. The successful approval and listing of Airtel Uganda on our exchange is a testament to our ability to attract significant investments and provide a platform for high-profile listings. This achievement highlights our commitment to expanding the market and providing investors with diverse opportunities.

Looking forward, we are committed to enhancing the attractiveness of the Uganda Securities Exchange as a destination for both local and international investors. By streamlining our listing processes and ensuring compliance with the highest standards, we are positioning The Exchange for sustained growth and success.

Company Secretary Appointment

In August 2023, we welcomed Ms. Jacintah Akino as our new Company Secretary. Ms. Akino's appointment reflects our commitment to strengthening governance and improving stakeholder communication. We extend our gratitude to Mrs. Alison Kwikiriza Serucaca for her invaluable service and contributions.

By promoting continuous education and awareness, we aim to ensure that all market participants understand and adhere to the standards that make the Uganda Securities Exchange a reliable and fair marketplace.

Conclusion

As we reflect on 2023, I am proud of the strides we have made in governance, risk management, and market integrity. Our continued success is a result of the unwavering dedication of our Board, management team, and all those who contribute to the Uganda Securities Exchange.

In the coming year, we will build on the strong foundation we have established, with a focus on sustaining our financial performance, fostering innovation, and maintaining the highest standards of governance. Together, we will ensure that the Uganda Securities Exchange continues to thrive as a cornerstone of our nation's financial markets

Richard Patrick Byarugaba
Chairman, Board of Directors, Uganda Securities Exchange

2023 Governance Highlights

Major Board Decisions

Constituted the Listing Committee on 31st July 2023 to consider the application for listing of an issuer on the Main Investment Market Segment.

Considered and passed the bonus payment and dividend proposals for FY 2023.

What the Directors Bring to the Board

Finance and Accounting

Economics, Commerce and Entrepreneurship

Investment Banking, Investment Advisory and Fund Management

Business Development/ Information systems and innovation

Governance Improvements

Implemented the amendments to USE SCD Rules and Operational Procedures

Board Changes

Mr. Samuel Mwogeza and Ms. Jennifer Mwijukye Kabanyana, offered themselves for retirement by rotation and were duly re-elected to the Board at the Annual General Meeting held on 12th October 2023

Board Composition

25%

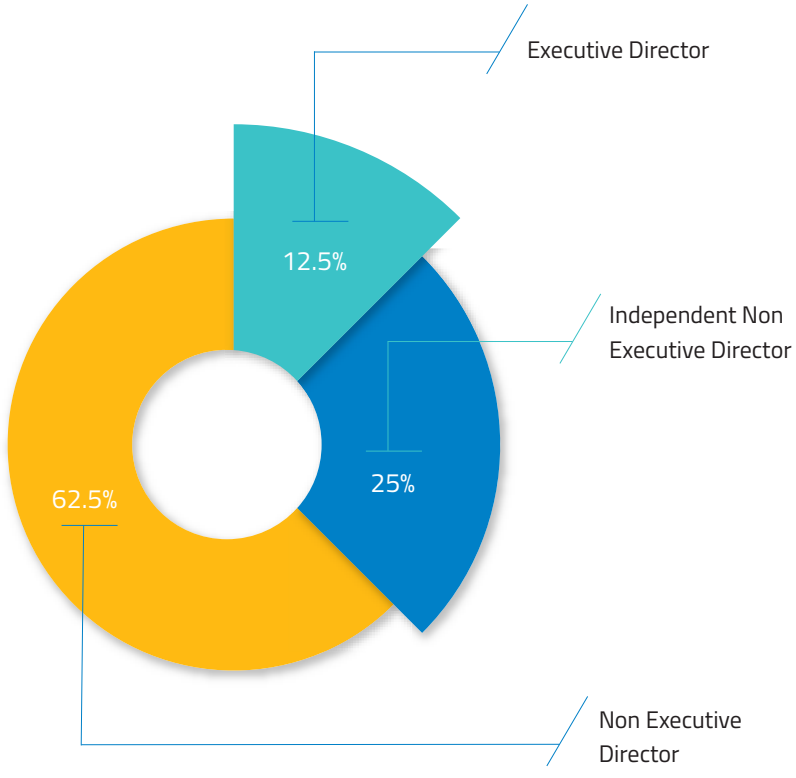
of the Board are independent as of 31 December 2023

100%

Board meeting attendance for the year ended 31 December 2023

50%

Female Representation at the Board level as of 31 December 2023



Our Board of Directors

Richard Patrick Byarugaba
Board Chair

Appointment Date:
May 2017

Richard Byarugaba's deep understanding of financial management and strategic leadership is evidenced by his successful track record in growing assets and improving customer satisfaction. His innovative approach to democratising savings and investments has empowered many individuals to improve their financial well-being. Mr.Byarugaba's proven ability to achieve operational efficiency and drive financial growth makes him an invaluable leader for the Uganda Securities Exchange.

Samuel Fredrick Mwogeza
Non Executive Director representing Issuers

Appointment Date:
September 2019

Samuel Fredrick Mwogeza brings over 20 years of experience in the financial services sector, coupled with extensive leadership in sales, finance, business strategy, and operations across multiple African countries. His ability to lead complex business initiatives and build strong, effective teams has been demonstrated through his career. Mr. Mwogeza's commitment to sustainable business practices and his executive coaching certification make him well-suited to guide the Uganda Securities Exchange towards growth and stability.

Rachel Mindra Katoroogo
Independent Non Executive Director

Appointment Date:
September 2019

Assoc. Prof. Rachel Mindra Katoroogo combines academic excellence with practical consultancy experience in finance and operations. Her leadership in research and project development, along with her expertise in banking, digital finance, and entrepreneurship, enables her to provide strategic insights and innovative solutions. With a PhD in Finance and extensive experience in stakeholder engagement, Assoc. Prof. Mindra is well-equipped to support the Uganda Securities Exchange in achieving its goals through research-driven and sustainable practices.

Leah Nyambura-Kagumba
Independent Non Executive Director

Appointment Date:
September 2021

Leah Nyambura-Kagumba's 16 years of experience in investment banking, particularly as Director of Corporate Finance at Dyer and Blair Investment Bank Ltd, make her an invaluable member of the USE Board. Her extensive work in financial debt and equity transactions, coupled with her regulatory liaison roles, highlight her deep understanding of the East African financial markets. Leah's professional memberships with ICIFA, Kenya, and CISI, along with her Bachelor's degree in Economics and Business Studies and MSc in Finance from Kenyatta University, ensure she brings significant expertise to the Business Conduct Committee and the Business Development Committees.

Renita Jacinta Nabisubi
Independent Non Executive Director

Appointment Date:
August 2022

Renita Jacinta Nabisubi's expertise spans agriculture, digital economy, and MSME program management, with a focus on improving livelihoods for low-income populations. Her strategic thinking and successful management of cross-functional teams in various African countries highlight her capability to drive impactful initiatives. With a Master of Science in Methods for Management of Complex Systems and fluency in multiple languages, Ms Nabisubi's diverse skill set positions her to effectively contribute to the Uganda Securities Exchange's governance and innovation.

Simon Kusiima Mwebaze
Non Executive Director representing Trading Participants

Appointment Date:
May 2017

Simon Mwebaze's role as General Manager of UAP Old Mutual Financial Services Limited, coupled with over 15 years of experience in fund management and financial advisory, positions him as a key contributor to the USE Board. His expertise in investment portfolio construction, risk management, and stakeholder engagement has been instrumental in managing client assets exceeding US$ 150 million. Simon's Chartered Financial Analyst (CFA) designation and his Bachelor's degree in Business Computing provide a strong foundation for his chairmanship of the Board Finance and Human Resource Committee and membership in the Business Development Committee.

Jennifer Kabanyana Mwijukye
Independent Non Executive Director

Appointment Date:
September 2019

Jennifer Mwijukye Kabanyana, founder and CEO of Unifreight Cargo Handling Limited, brings over 20 years of trade and logistics expertise to the USE Board. Recognized twice as Woman Entrepreneur of the Year by the Women Entrepreneurs Association Ltd, she has significantly contributed to business integrity in the transport and logistics industry. Jennifer's service on the Presidential Investors' Roundtable and her leadership roles in various organizations highlight her commitment to economic development. She holds a Master's degree in Transport Economics and Logistics Management from ESAMI and a Bachelor's degree in Business Administration from Makerere University. As chair of the Business Development Committee and a member of the Finance and HR Committee, Jennifer's entrepreneurial acumen and strategic vision are invaluable to the Board.

Paul William Bwiso
Chief Executive Officer

Appointment Date
March 2015

Paul Bwiso, as the Chief Executive of the Uganda Securities Exchange, leverages his extensive experience in asset management, corporate finance, and securities trading to steer The Exchange towards success. His background in accounting and his strategic leadership have been crucial in the full transition to an automated trading system and the successful completion of the demutualization process in 2017. With over 30 years of experience and previous roles such as General Manager at Dyer and Blair Investment Bank Uganda, Paul's expertise in financial planning, business analysis, and strategic planning is instrumental in driving the USE's growth and innovation.

Our Executive Leadership Team

Paul Bwiso
Chief Executive Officer

Jacintah Akino
Manager, Legal and Compliance/ Company Secretary

Bob Musinguzi
Manager, Securities Central Depository

Dennis Ongom
Manager, IT and Information Systems

Peter Kwagala
Manager, Business Development and Trading

HDMI Cable: Disconnected
Connection Guide
SOURCE

Corporate Governance Statement

Jacintah Akino
Company Secretary

Strong Corporate Governance is the foundation for our long-term success. It fosters trust in our stakeholders ensuring confidence in our performance and The Exchange's future.

We consistently adhere to the principles of good governance throughout our operations. In 2023, we ensured full compliance with the Companies Act 2012.

The Board prioritizes open and transparent communication. The following table provides a clear road map for stakeholders to evaluate our application of good corporate governance principles. It also highlights key content within this report.

Board Leadership and Company Purpose

The Role of the Board
The Chair's Introduction to Governance
How the Board Engages with Stakeholders
An Overview of Our Purpose and Values
How the Board Oversees the Company's Strategy

Governance Framework

The Governance framework provides an overview of the Board Committees in place at USE
Page 125

Composition, Succession and Evaluation

The composition of the Board while their biographies and relevant experience is highlighted on page 134 - 135

Board Committees

Further details of each Committee along with their members' attendance during the year are provided in the respective Committee reports from page 136 - 141

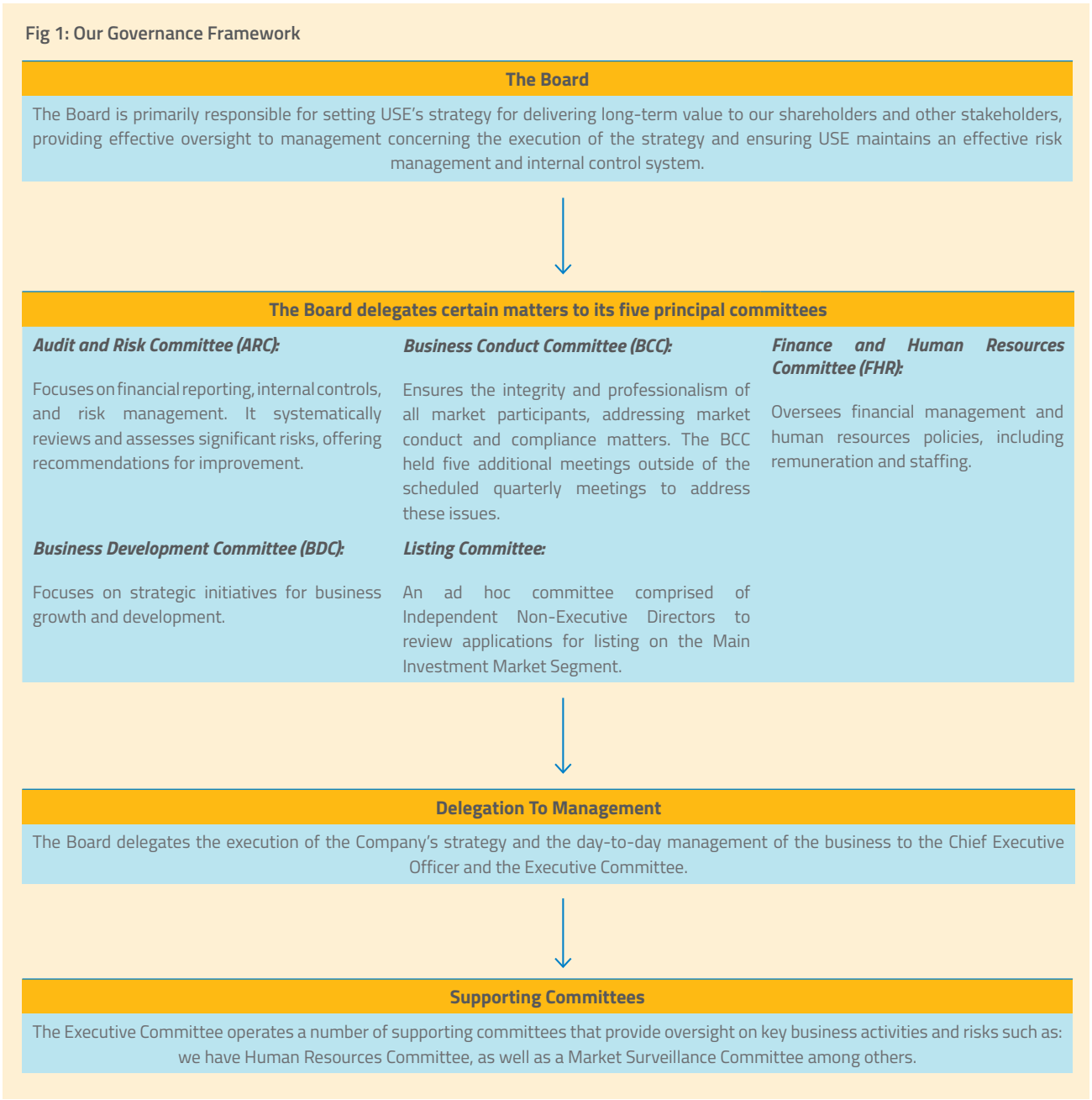
Board Activties and Division of Responsibilities

The division of responsibilities between the Chair and CEO is clearly defined and set out in writing in Our Board Charter, and we fully support the separation of the two roles. Check pages 128-131

Governance Framework

Our governance framework establishes clear accountability and responsibility lines, enabling effective information sharing, fast decision-making, and robust oversight. This supports strategic development and implementation by ensuring accountability, facilitating informed decision-making, maintaining risk oversight, and providing independent insight through Non-Executive Directors. The framework also supports developing and monitoring key performance indicators critical for evaluating progress.

Fig 1: Our Governance Framework



Board Leadership and Company Purpose

The Board of Directors at the Uganda Securities Exchange plays a critical role in guiding the company towards achieving its strategic objectives while ensuring robust governance and compliance.

The Board is dedicated to implementing initiatives that promote best corporate governance practices. Guided by the Board Charter, the Board oversees the company's vision, values, strategy, risk management policy, and objectives.

Effective Board

Our Board benefits from the combined expertise and varied backgrounds of its Directors. This diversity allows for focused and well-rounded decision-making, fueled by independent thinking and healthy debate among members. Mutual trust and respect underpin these interactions, fostering an environment of open communication. Ultimately, the Board strives for choices that ensure USE's long-term sustainability while considering the impact on all stakeholders.

The Chair and Chief executive officer have distinct responsibilities. To facilitate these roles, they maintain regular communication channels outside of Board meetings, guaranteeing a smooth flow of information.

Non-Executive Directors have unimpeded access to senior management, both formally and informally. This encourages a deeper understanding of USE's operations. This active engagement is valued, as it broadens their information sources and allows them to consider the broader implications of Board decisions for all stakeholders.

An external firm evaluates the Board's effectiveness every three years.

Board Independence

The independence of the Board is paramount to maintaining objectivity and ensuring decisions are made in the best interest of the company and its stakeholders.In addition to the composition of executive, non-executive, and independent directors who bring diverse perspectives and expertise, the Board ensures independence in its operations through a structured delegation of authority to its various committees that provide specialized oversight and strategic guidance.

Purpose and Culture

Our vision is to be Uganda's preferred institution for investments and capital sourcing. We strive for radical improvements in our offerings through simplicity, convenience, and quality, aiming for sustainable and profitable growth that ensures superior shareholder returns. The Board is responsible for shaping and monitoring corporate culture, with our Core Values—Efficiency, Teamwork, Innovation, Integrity, and Customer Focus—guiding all operations throughout The Exchange. These values are reinforced in performance management systems, contributing to employee engagement, retention, and productivity. The Board regularly engages with management and reviews employee surveys to monitor and assess culture.

Board Independence and Responsibilities

The Companies Act 2012 Corporate Governance Code highlights the importance of independent judgement and mandates that a certain proportion of the board should consist of non-executive directors who are independent of management.

This ensures that the board's decisions are made impartially and in the best interest of the company and its stakeholders. The Act requires disclosure of any conflicts of interest and mandates that directors abstain from decisions where they have a personal interest.

25% of our Board (including the Chairman) are Independent Non- Executive Directors. The Board has reconfirmed that our Non-Executive Directors remain independent from executive management and free from any business or other relationship which could materially interfere with the exercise of their judgement.

Conflict of Interest

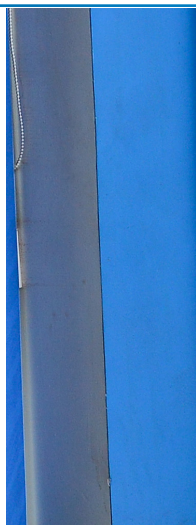
All directors, whether executive or non-executive, are required to declare any potential conflicts of interest at the commencement of each meeting. This practice ensures that decisions are made impartially, protecting the interests of all market participants, staff, and stakeholders.

Shareholder Engagement

The Board and Management maintain a core relationship with its shareholder and ensure to keep them abreast with the business and its overall performance to promote accountability, transparency and confidence in The Exchanges leadership and Board.

In 2023, the AGM was held on 12th October 2023 as a hybrid meeting, largely attended in person by proxy representatives of the USE's shareholder companies. Voting during the meeting is conducted by show of hands for those who are physically present in the meeting. The virtual option also allows for voting by members logged into the meeting.

Board Composition and Division of Responsibilities



The USE Board is structured to include both executive and non-executive directors, each playing a crucial role in the governance and strategic oversight of the company.The Board consists of a diverse group of directors with expertise across various sectors, ensuring a balanced approach to decision-making.

Executive Directors

Executive Directors are part of the company's senior management team and are involved in the day-to-day operations of the company. Their responsibilities include:

Operational Management: Overseeing the daily operations of the company, ensuring that strategic initiatives and directives from the Board are implemented effectively.

Strategic Implementation: Translating the Board's strategic vision into actionable plans and ensuring these plans are executed efficiently.

Reporting: Providing regular updates to the Board on the company's performance, operational challenges, and progress towards strategic goals.

Leadership and Management: Leading the senior management team and fostering a culture of high performance and accountability within the organization.

Non-Executive Directors

Non-Executive Directors (NEDs) provide an independent perspective and are not involved in the daily operations of the company. Their primary responsibilities include:

Independent Oversight: Providing unbiased oversight and constructive challenge to the executive directors, ensuring decisions are made in the best interest of the company and its stakeholders.

Governance and Compliance: Ensuring that the company adheres to high standards of corporate governance, regulatory requirements, and ethical practices.

Strategic Guidance: Offering strategic insights and guidance based on their expertise and experience, helping to shape the company's strategic direction.

Risk Management: Participating in the review and assessment of the company's risk management framework, ensuring that significant risks are identified and mitigated effectively.

Committee Participation: Serving on various Board committees to provide focused oversight on key areas such as audit, risk, business conduct, finance, and human resources.

Company Secretary

- » Secretary to the Board and its Committees
- » Develop Board and Committee agendas and collate and distribute papers
- » Ensure compliance with Board procedures
- » Advise on regulatory compliance and corporate governance
- » Facilitate induction programmes
- » To ensure that The Exchange's business is conducted with the highest standards of integrity, and in alignment with its purpose and culture
- » Responsible for the organisation of the Annual General Meeting
- » Provide support and advice to all Directors

Division of Responsibilities

The Uganda Securities Exchange operates under a well-defined framework that clearly delineates the responsibilities of the Board to ensure effective governance and management oversight. The Board Charter serves as the guiding document, outlining the scope of the Board's duties and the delegation of responsibilities to various committees.

To enhance the effectiveness of its oversight role, the Board has delegated specific responsibilities to its committees, each focusing on critical aspects of the company's operations:

Audit and Risk Committee (ARC): Focuses on financial reporting, internal controls, and risk management. It systematically reviews and assesses significant risks, offering recommendations for improvement.

Business Conduct Committee (BCC): Ensures the integrity and professionalism of all market participants, addressing market conduct and compliance matters. The BCC held five additional meetings outside of the scheduled quarterly meetings to address these issues.

Finance and Human Resources Committee (FHR): Oversees financial management and human resources policies, including remuneration and staffing.

Business Development Committee (BDC): Focuses on strategic initiatives for business growth and development

Listing Committee: An ad hoc committee comprised of Independent Non-Executive Directors to review applications for listing on the Main Investment Market Segment.

The Role of the Board

The Board's role encompasses strategic oversight, governance, risk management, and stakeholder engagement;

Strategic Oversight

The Board is responsible for defining the strategic direction of the company. This includes setting long-term goals, formulating policies, and ensuring that the company's operations align with its mission and values. The Board works closely with senior management to develop and approve strategic plans that drive growth and sustainability.

Stakeholder Engagement

Engaging with stakeholders is a crucial aspect of the Board's role. The Board ensures that the interests of shareholders, employees, customers, regulators, and the community are considered in its decision-making processes. Regular communication with stakeholders helps build trust and confidence in the company's leadership and governance.

Governance

Good governance is at the heart of the Board's role. The Board ensures that the company adheres to high standards of corporate governance, which includes maintaining transparency, accountability, and ethical conduct in all its operations. The Board monitors compliance with legal and regulatory requirements and oversees the implementation of governance policies.

Performance Monitoring

The Board regularly reviews the company's performance against its strategic goals and objectives. This includes monitoring financial performance, operational efficiency, and compliance with governance standards. The Board ensures that management takes corrective actions when necessary to achieve the desired outcomes.

Risk Management

The Board is responsible for establishing a robust risk management framework. This involves identifying potential risks, assessing their impact, and implementing strategies to mitigate them. The Audit and Risk Committee plays a pivotal role in this process, providing oversight and guidance on risk-related matters. The Board ensures that the company's risk management practices are effective and aligned with its strategic objectives.

Succession Planning

The Board is responsible for ensuring continuity in leadership through effective succession planning. This involves identifying and developing internal talent, as well as planning for the recruitment of external candidates when necessary. Succession planning ensures that the company has the leadership capacity to achieve its strategic objectives in the long term.

Board Meetings

In line with maintaining good corporate governance and ensuring that the Board's oversight role is upheld, The Exchange holds quarterly meetings with the Board of the directors. The meetings are scheduled with the aim of reviewing overall performance of The Exchange, monitoring implementation of directives from the Board and regulators as well as the strategic direction of The Exchange.

During the period under review, the Board maintained vigorous engagement with Management through both virtual and in-person engagements.

The Board holds at least four scheduled meetings annually, with a mandate to formulate, review, evaluate and make decisions on key strategic and operational activities of the business.

Director	Attendance	% Attendance
Mr. Richard Patrick Byarugaba	2/2	100%
Mr. Samuel Fredrick Mwogeza	2/2	100%
Ms. Leah Nyambura-Kagumba	2/2	100%
Ms. Jennifer Kabanyana Mwijukye	2/2	100%
Dr. Rachel Katoroogo Mindra	2/2	100%
Mr. Simon Kusiima Mwebaze	2/2	100%
Ms. Renita Jacinta Nabisubi	2/2	100%
Mr. Paul William Bwiso	2/2	100%

Other meetings are conducted as the need arises. Management may also seek decisions of Directors via round-robin for matters of an urgent nature and these are ratified by the Directors at Committee or Board Level (as the case may be) at the next Board meeting. This complimentary approach strengthens the manner in which the Board discharges its oversight over management and company activities in general.

In 2023, the key highlights of the Board's meetings included:

Strategic Oversight: The Board reviewed and endorsed the decisions of various committees, ensuring alignment with The Exchange's strategic objectives. Key areas of focus included risk management, financial performance, and regulatory compliance.

Major Approvals: The Board ratified important decisions, such as the suspension of a broker for misconduct, approval of the Airtel Uganda IPO, and various internal audit recommendations.

Board's Governance Insights 2023

In 2023, the Uganda Securities Exchange Board provided strategic guidance and oversight, focusing on several key areas crucial for The Exchange's growth, stability, and operational efficiency. The Board's governance insights reflect its commitment to aligning with strategic goals and addressing both current and emerging challenges within the securities market.

1. Enhancing Market Growth through Good Governance Strategies

The Board of USE has consistently leveraged governance best practices to ensure market growth and operational efficiency. In the wake of the COVID-19 pandemic, which posed significant challenges globally, the Board remained committed to maintaining a strong risk culture and high compliance standards. These measures were essential for steering management toward positive market growth amidst an evolving economic landscape.

a. Sustainability and Environmental, Social, and Governance (ESG) Principles

Recognizing the growing global emphasis on sustainability and ESG principles, the Board has integrated these elements into the operations and strategic direction of The Exchange. This includes:

- Incorporation of ESG Principles: Embedding sustainability and social responsibility into The Exchange's business models, ensuring these principles guide decision-making and operational practices.
- Corporate Social Responsibility (CSR): Engaging in CSR activities to give back to society, enhance The Exchange's visibility, and attract potential investors. These activities underscore The Exchange's commitment to positive social impact and community engagement.

b. Technological Advancements and Innovation

The Board has prioritized the automation of processes and the adoption of advanced technologies to improve service delivery and enhance the user experience for market participants. Key initiatives include:

- Process Automation: Implementing automated systems to streamline operations and facilitate easier access to The Exchange's platform.
- Innovation in IT: Encouraging the development and adoption of new tools and products that support market growth and ensure compliance.
- Data Protection and Privacy: Establishing robust data protection and privacy policies to safeguard stakeholder information and maintain trust.

2. Risk Management and Compliance

Maintaining a proactive approach to risk management and compliance has been a critical focus area. The Board has emphasized:

- Risk Culture: Fostering a culture of risk awareness and management throughout the organization.
- Compliance Standards: Ensuring adherence to high compliance standards to protect the integrity of the market and promote investor confidence.

3. Shareholder Engagement

Effective communication and engagement with shareholders are central to the Board's strategy. In 2023, the Board and Management maintained a core relationship with shareholders to ensure transparency, accountability, and confidence in The Exchange's leadership.

Annual General Meeting : The AGM was held on 12 October 2023 as a hybrid meeting, with proxy representatives attending in person and additional shareholders participating virtually. This hybrid format facilitated broader participation and ensured that all shareholder voices were heard.

Voting was conducted by a show of hands for those physically present, while virtual participants were able to vote online, enhancing inclusivity and transparency.

The Board's focus on enhancing market growth, risk management, technological innovation, shareholder engagement, and governance practices was instrumental in driving the success and resilience of the Uganda Securities Exchange in 2023. By maintaining a strategic and proactive approach, the Board ensured that The Exchange remained well-positioned to navigate challenges and capitalize on opportunities in the evolving market landscape.

Board Succession, Evaluation and Remuneration

Succession Planning

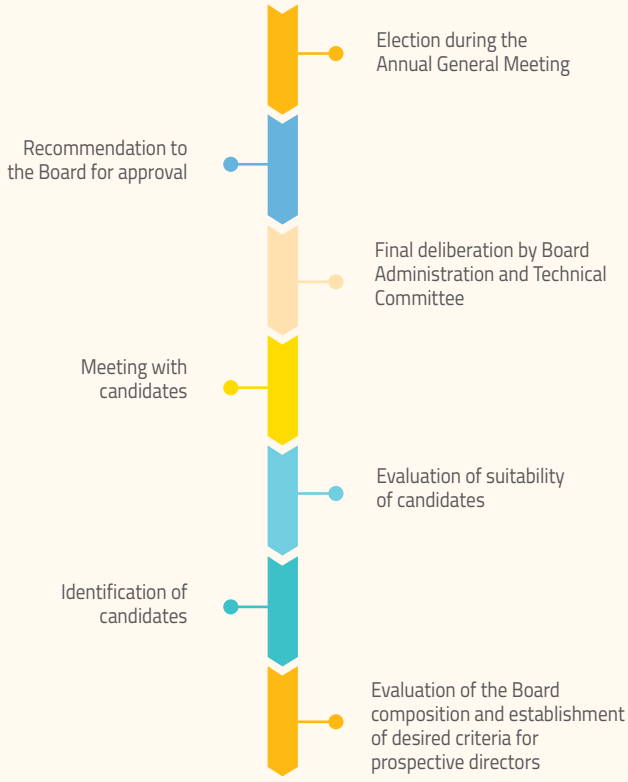
Succession planning at the Uganda Securities Exchange is a critical aspect of our governance framework, designed to ensure the continuity and stability of the Board and senior management. The Board is committed to a structured and systematic approach to succession planning, guided by best practices and regulatory requirements, including the Companies Act 2012 and the UK Corporate Governance Code

Appointment of Directors

The appointment of directors at USE follows the stipulations of the Companies Act 2012, which mandates that directors be appointed through a transparent and rigorous process.

Nomination and Election

Directors are nominated based on their skills, experience, and qualifications. The Nominations Committee evaluates potential candidates and makes recommendations to the Board. The appointment is then approved by shareholders at the Annual General Meeting (AGM).



On Appointment

RECEIVING DIRECTOR"S INDUCTION HANDBOOK

*To ensure that the director has a proper understanding of the operations, business and governance policies of the Company.

ATTENDING BRIEFING/ TRAINING

*To ensure the director is fully aware of the responsibilities as a director under statute and common law, USE listing rules, applicable legal requirement s and other regulatory requirements.

Following Appointment

MEETING WITH CHAIRMAN, DIRECTORS AND A WIDE RANGE OF SENIOR MANAGEMENT FROM ACROSS THE BUSINESS

*To ensure that the director has a proper understanding of the culture of the Board and the operations of the Company.

ATTENDING BRIEFING AND PRESENTATION FROM SENIOR EXECUTIVES AND VISIT TO BUSINESS OPERATIONS

*To ensure the director has a proper understanding of the operations of the Company and its development.

ATTENDING CONTINUOUS PROFESSIONAL PROGRAM

*To ensure that the director keeps abreast of new laws, regulations or developments in business that are relevant to the roles as a director of the company.

Diversity and Inclusion

In line with the Corporate Governance best practices, the Board promotes diversity in its composition, considering gender, ethnicity, and professional background to enhance the Board's effectiveness.

Fit and Proper Criteria: All prospective directors must meet the fit and proper criteria as prescribed by the Capital Markets Authority, ensuring they possess the integrity, competence, and sound judgement required for their roles.

Resignation and Removal of Directors

The resignation and removal of directors are governed by the Companies Act 2012 and highlighted in the Board Charter.

Resignation: A director may resign from the Board by providing written notice to the Chairman. The resignation takes effect upon acceptance by the Board, ensuring a smooth transition and minimal disruption to Board activities.

Removal: Shareholders have the authority to remove a director before the expiration of their term, as per the Companies Act 2012. This can be done through an ordinary resolution at a general meeting, following due process and the right of the director to be heard.

The Board Evaluation

The Board Evaluation is conducted by an external firm every three years with an evaluation report prepared by the firm. Key aspects of the evaluation are the board's overall performance and execution of its mandate, composition and effectiveness of the various committees, and individual director performance . Additionally, the evaluations also assess the performance of the CEO as an Executive Director and the Company Secretary.

The evaluation is conducted by way of questionnaires filled out by each director, addressing themed questions ,afterwhich the responses are compiled and assessed to extract action points or areas of improvement.

In addition, the Company Secretary also handles board evaluations through a peer review approach on an annual basis to ensure continued effectiveness of the Board .

The CEO is also evaluated on an annual basis by the Board Chairman.

Remuneration

The Board remuneration structure was maintained during the period. The structure provides for an allowance to be provided to directors per meeting and is approved by the shareholders at the Annual General Meeting (AGM).

Board Committee Reports

Introduction

Uganda Securities Exchange has preserved five Board committees with defined terms of reference.

The diagram below illustrates the Board committees and their constitution;

The Board

Members during FY 2023

Chairperson
Mr. Richard Patrick Byarugaba

Chief Executive Officer
Mr. Paul William Bwiso

Non-Executive Directors

Mr. Samuel Fredrick Mwogeza
Ms. Leah Nyambura-Kagumba
Ms. Jennifer Kabanyana Mwijukye
Dr. Rachel Katoroogo Mindra
Mr. Simon Kusiima Mwebaze
Ms. Renita Jacinta Nabisubi

The Board delegates certain matters to its three principal committees

Audit and Risk Committee	Business Conduct Committee	Finance and Human Resources Committee	Business Development Committee	Listing Committee
Chairperson Mr. Samuel Frederick Mwogeza	**Chairperson** Dr. Racheal Mindra Katoroogo	**Chairperson** Mr. Simon Kusiima Mwebaze	**Chairperson** Ms. Jennifer Mwijukye Kabanyana	**Chairperson** Dr. Racheal Mindra Katoroogo
Members Ms. Renita Jacinta Nabisubi Dr. Racheal Mindra Katoroogo Mr. Paul William Bwiso	**Members** Mr. Samuel Fredrick Mwogeza Ms. Leah Nyambura Kagumba Mr. Paul William Bwiso	**Members** Ms. Renita Jacinta Nabisubi Mr. Samuel Frederick Mwogeza Mr. Paul William Bwiso	**Members** Ms. Leah Nyambura Kagumba Mr. Simon Kusiima Mwebaze Mr. Paul William Bwiso	**Members** Ms. Jennifer Mwijukye Kabanyana Ms. Renita Jacinta Nabisubi Mr. Paul William Bwiso

Audit and Risk Committee Report

Mr. Samuel Frederick Mwogeza
Committee Chairperson

Members

The committee members were:

Mr. Samuel Frederick Mwogeza
Chairperson

Ms. Renita Jacinta Nabisubi
Member

Dr. Racheal Mindra Katoroogo
Member

Mr. Paul William Bwiso
Member

Attendance

Table 3: Member Meeting Attendance

Director	Attendance	% Attendance
Mr. Samuel Frederick Mwogeza*	3/3	100%
Ms. Renita Jacinta Nabisubi	3/3	100%
Dr. Rachel Mindra Katoroogo	3/3	100%
Mr. Paul William Bwiso	3/3	100%

Overview

The Audit and Risk Committee's mandate in 2023 centered on overseeing the financial reporting process, internal controls, and risk management systems at USE. The Committee's efforts were crucial in identifying and mitigating key risks, especially in the IT domain, procurement processes, and overall governance.

Responsibility

The Audit and Risk Committee is responsible for assessing the integrity and effectiveness of accounting, financial compliance and control systems of The Exchange. The Board relies on this committee to satisfy itself of the accuracy and integrity of financial information including the annual audited and half year unaudited financial accounts.

In the year under review, the Audit and Risk Committee complied with its mandate, as well as its legal and regulatory responsibilities.

Key Activities

Internal Audit: The Committee reviewed the internal audit report presented by BDO and addressed critical issues, including gaps in procurement and supplier management processes, overdue IT audit findings, and insufficient succession planning policies.

IT Risk Management: The Committee raised concerns over unresolved IT-related risks, particularly the absence of regular vulnerability assessments and penetration tests, inadequate data classification policies, and gaps in user account management.

Financial Oversight: The Committee assessed the financial reports and addressed the issues related to non-compliance by certain market players, ensuring that The Exchange's financial and operational standards remained robust.

Way Forward

The Committee urged management to strengthen the risk culture within the organization, particularly at the management level. Immediate attention will be given to resolving the identified IT and procurement issues. Additionally, the Committee plans to enhance its oversight of internal controls and risk management processes to ensure The Exchange's continued stability and compliance.

Business Conduct Committee Report

Dr. Racheal Mindra Katoroogo
Committee Chairperson

Members

The committee members were:

Dr. Racheal Mindra Katoroogo
Chairperson

Mr. Samuel Fredrick Mwogeza
Member

Ms. Leah Nyambura Kagumba
Member

Mr. Paul William Bwiso
Member

Attendance

Table 4: Member Meeting Attendance

Director	Attendance	% Attendance
Dr. Rachel Mindra Katoroogo*	3/3	100%
Mr. Samuel Fredrick Mwogeza	3/3	100%
Ms. Leah Nyambura Kagumba	3/3	100%
Mr. Paul William Bwiso	3/3	100%

Overview:

Throughout 2023, the Business Conduct Committee focused on maintaining the integrity of the Uganda Securities Exchange by ensuring strict adherence to its trading rules and code of ethics. The Committee dealt with significant cases of misconduct and took decisive actions to uphold market standards.

Responsibility

The Business Conduct Committee is mandated to deliberate on issues related to admission of securities on The Exchange, conduct of market participants and compliance with the USE Rules framework.

The Committee provides oversight in the monitoring of compliance with continuing listing obligations by the issuers and makes recommendations to the Board on necessary action for non-compliance including imposing penalties and other sanctions as provided under the USE rules framework.

The Committee also reviews members conduct in the market with a view of recommending disciplinary measures. It is charged with the task of reviewing proposed amendments to rules of the USE on a continuing basis making the necessary recommendations regarding the proposed amendments to the Board for approval.

Key Activities:

The Committee reviewed incidents of abuse of trade limits and breaches of the USE Code of Ethics. In one notable case, the Committee analyzed findings related to false market pricing and other violations by a broker. After careful consideration, the Committee decided to suspend the broker in question, highlighting its commitment to maintaining market integrity.

The Committee recommended additional training for the brokers involved to enhance their understanding of the rules and ethical standards expected by The Exchange.

Way Forward:

The Committee pledges to continue to monitoring broker activities closely and ensure any deviations from the set standards are addressed promptly. Furthermore, ongoing training initiatives for market participants will be emphasized to prevent future breaches.

Finance and Human Resources Committee

Mr. Simon Kusiima Mwebaze
Committee Chairperson

Members

The committee members were:

Mr. Simon Kusiima Mwebaze
Chairperson

Ms. Renita Jacinta Nabisubi
Member

Mr. Samuel Fredrick Mwogeza
Member

Mr. Paul William Bwiso
Member

Attendance

Table 5: Member Meeting Attendance

Director	Attendance	% Attendance
Mr. Simon Kusiima Mwebaze*	3/3	100%
Ms. Renita Jacinta Nabisubi	3/3	100%
Mr. Samuel Frederick Mwogeza	3/3	100%
Mr. Paul William Bwiso	3/3	29%

Overview

The Finance and HR Committee played a vital role in steering the financial performance and human capital management of the USE in 2023. The Committee focused on financial sustainability, operational efficiency, and addressing human resource challenges.

Responsibility

The Finance and Human Resources Committee assists the Board in overseeing the USE's financial activities, including strategic financial planning, risk management, financial performance monitoring, resource management, and treasury matters. It reviews and monitors financial performance and strategic ambitions, ensuring alignment with approved targets and forecasts.

The Committee develops and oversees financial risk management strategies and policies, reviews and approves the annual budget, and considers supplementary budget requests and resource reallocations.

Additionally, it advises on company structure, staffing, remuneration, and human resource strategy, overseeing executive remuneration, performance-based rewards, and employee benefit policies.

Key Activities

Financial Performance: The Committee reviewed the 2022 business report and Q1 2023 financial performance. Despite a reduction in fees and commissions due to the absence of listing fees from MTN, the Committee noted improvements in investment income and operating profits.

HR Challenges: The Committee acknowledged the human capital challenges faced during the year and emphasized the need for robust succession planning and talent retention strategies.

Conflict of Interest: The Committee addressed a conflict of interest related to bonus payments from 2022, ensuring transparency and fairness in the decision-making process..

Way Forward

The Committee will continue to focus on strengthening financial performance through strategic investments and cost management. Additionally, addressing HR challenges, particularly in succession planning and talent management, will be a priority to ensure The Exchange has the necessary human resources to achieve its long-term goals.

Listing Committee Report

Dr. Racheal Mindra Katoroogo
Committee Chairperson

Members

The committee members were:

Dr. Racheal Mindra Katoroogo
Chairperson Committee

Ms. Jennifer Mwijukye Kabanyana
Member

Ms. Renita Jacinta Nabisubi
Member

Mr. Paul William Bwiso
Member

Attendance

Table 6: Member Meeting Attendance

Director	Attendance	% Attendance
Dr. Racheal Mindra Katoroogo	2/2	100%
Ms. Jennifer Mwijukye Kabanyana	2/2	100%
Ms. Renita Jacinta Nabisubi	2/2	100%
Mr. Paul William Bwiso	2/2	100%

Overview

The Listing Committee's primary responsibility in 2023 was to oversee the approval and monitoring of new listings on the Uganda Securities Exchange. The Committee played a crucial role in reviewing and approving key applications, including the high-profile listing of Airtel Uganda.

Responsibility

The Listing Committee was constituted on 31 July 2023 by the board to consider the application for listing of an issuer on the Main Investment Market Segment (MIMS).

Key Activities

Airtel Uganda IPO: The Committee reviewed and recommended the approval of Airtel Uganda Ltd's application to list 40 billion shares through an Initial Public Offering (IPO) on the Main Investment Market Segment. The Committee ensured that the application met all regulatory requirements and that the prospectus was thoroughly reviewed.

Regulatory Compliance: The Committee ensured that the listing process adhered to USE's standards, including prioritizing Ugandan investors and ensuring transparency in the allocation of shares.

Way Forward

The Committee will continue to support and oversee new listings, with a focus on maintaining the integrity and attractiveness of The Exchange. The Committee will also work towards enhancing the listing process, making it more efficient and transparent for future applicants.

Business Development Committee Report

Ms. Jennifer Kabanyana Mwijukye

Members

The committee members were:

Ms. Jennifer Kabanyana Mwijukye
Chairperson

Ms. Leah Nyambura Kagumba
Member

Mr. Simon Kusiima Mwebaze
Member

Mr. Paul William Bwiso
Member

Attendance

Table 7: Member Meeting Attendance

Director	Attendance	% Attendance
Ms. Jennifer Kabanyana Mwijukye	2/2	100%
Ms. Leah Nyambura Kagumba	2/2	100%
Mr. Simon Kusiima Mwebaze	2/2	100%
Mr. Paul William Bwiso	2/2	100%

Overview

The Business Development Committee's primary responsibility in 2023 was to oversee The Exchange's strategic growth initiatives. The Committee played a crucial role in evaluating new market opportunities, fostering innovation, and enhancing the company's competitive positioning.

Responsibility

The Business Development Committee is responsible for overseeing the strategic growth initiatives of the company. This includes evaluating new market opportunities, fostering innovation, and enhancing competitive positioning. The committee provides guidance on business initiatives, and partnerships, ensuring alignment with the company's long-term goals.

Additionally, it monitors the performance of ongoing projects and initiatives, ensuring they meet established benchmarks. The Committee regularly reports its findings and recommendations to the Board of Directors, facilitating informed decision-making.

Key Activities

Strategic Guidance: The Committee provided essential guidance on various business initiatives and partnerships, ensuring that they aligned with USE's long-term goals and objectives.

Performance Monitoring: The Committee closely monitored the performance of ongoing projects and initiatives, ensuring they met established benchmarks and contributed to The Exchange's overall growth strategy.

Reporting and Recommendations: The Committee regularly reported its findings and recommendations to the Board of Directors, facilitating informed decision-making and supporting the Exchange's strategic direction.

Way Forward

The Committee will continue to focus on identifying and evaluating new growth opportunities, ensuring alignment with the USE's strategic goals. It will also work towards enhancing the effectiveness of ongoing initiatives, driving innovation, and maintaining The Exchange's competitive edge in the market.

Audited Financial Statements

The Financial Statements section provides a clear and transparent view of our financial performance in FY2023. It includes the Report of the Directors, detailing key activities and challenges, and the Statement of Director's Responsibilities, emphasizing their role in maintaining financial integrity.

The Independent Auditor's Report offers assurance on the accuracy of the financ ial statements, while the Consolidated Audited Financial Statements present a detailed analysis of USE's financial health including income statements, balance sheets, and cash flow statements, offering insights into the USE's financial stability, profitability, and overall economic position.

Together these components underscore our commitment to transparency and responsible management of financial resources.

In This Section

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Report Of The Directors

FOR THE YEAR ENDED 31 DECEMBER 2023

The Directors present their report together with the audited financial statements of Uganda Securities Exchange Limited ("USE" or "the Company") and its subsidiary, USE Commodities Exchange Limited (collectively referred to as "the Group") for the year ended 31 December 2023.

Principal Activities

Following the enactment of the Capital Markets Authority (Amendment) Act 2016 on 20th May 2016, demutualization became a regulatory requirement to be fulfilled within 2 years from the date of enactment thus requiring USE to comply with the law by 20th May 2018.

In accordaance with the above requirement, Uganda Securities Exchange Limited was incorporated on 18th May 2017 as a public company limited by shares with authorized share capital of Uganda shillings 1 billion (Ushs 1,000,000,000) divided into 100 million shares of a nominal value of Ushs 10 shillings each.

Current issued and paid-up share capital of the Company is Uganda Shillings four hundred and twenty million (Ushs 420,000,000) (see note 19).

Uganda Securities Exchange Limited is a Company limited by shares and incorporated in Uganda under the Companies Act, 2012 Laws of Uganda. The principal activity of the entity is to provide, maintain suitable premises and facilities for conducting all the business of a securities exchange and to regulate trading participants and ensure day to day management of trading, settlement, delivery, and other activities on dealing in securities in accordance with the Rules and procedures of USE.

The Uganda Securities Exchange Limited was licensed to operate as an approved Stock Exchange in June 1997 by the Capital Markets Authority of Uganda under the Capital Markets (Licensing) Regulations 1996 and is regulated by the Capital Markets Authority.

	2023 Ushs '000	2022 Ushs '000
FINANCIAL RESULTS OF THE GROUP		
Profit before tax	2,517,238	900,643
Tax charge	(683,230)	(352,434)
Profit for the year transferred to retained earnings	**1,834,008**	**548,209**

BOARD OF DIRECTORS

The present membership of the Board of Directors is set out on page 1.

COMPANY SECRETARY

Jacintah Akino (appointed on 14th August 2023)
Allison Kwikiriza Serucaca (resigned on 31st March 2023)

AUDITOR

The Group's auditor, Ernst & Young has expressed willingness to continue in office in accordance with Section 167 (2) of the Companies Act, 2012 Laws of Uganda.

Approval of financial statements

The financial statements were approved at a meeting of the Board of Directors held on

7th May 2024.

BY ORDER OF THE BOARD

Chief Executive Officer

7th May 2024

Kampala

Statement Of Director's Responsibilities

FOR THE YEAR ENDED 31 DECEMBER 2023

The Companies Act, 2012 of Uganda requires the directors to prepare financial statements for each financial year that give a true and fair view of the state of affairs of the Company and its subsidiary ("the Group") as at the end of the financial year and of its operating results for that year. It also requires the directors to ensure that the Company and Group keep proper accounting records which disclose with reasonable accuracy, at any time, the financial position of the Company and Group. They are also responsible for safeguarding the assets of the Company and Group.

The directors are ultimately responsible for the internal control. The directors delegate responsibility for internal control to management. Standards and systems of internal control are designed and implemented by management to provide reasonable assurance as to the integrity and reliability of the financial statements and to adequately safeguard, verify and maintain accountability of the Company and Group's assets. Appropriate accounting policies supported by reasonable and prudent judgments and estimates, are applied on a consistent and using the going concern basis. These systems and controls include the proper delegation of responsibilities within a clearly defined framework, effective accounting procedures and adequate segregation of duties.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards (IFRS) and in the manner required by the Companies Act, 2012 of Uganda.

The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the Company and Group and of its operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

The directors have assessed the Company and Group's ability to continue as a going concern, and based on the information disclosed, are of the view that the Company and the Group will remain a going concern for at least twelve months from the date of this statement.

Approval of the financial statements

The financial statements of the Company and Group were approved and authorised for issue by the Board of Directors on

7th/May/ 2024.

Chief Executive Officer

7th/May/ 2024

Director

7th/May/ 2024

Independent Auditor's Report To The Shareholders Of Uganda Securities Exchange Limited

REPORT ON THE AUDIT OF THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

Opinion

We have audited the consolidated and separate financial statements of Uganda Securities Exchange Limited ("the Company") and its subsidiary (together "the Group") set out on pages 7 to 51, which comprise the consolidated and separate statements of financial position as at 31 December 2023, and the consolidated and separate statements of profit or loss and other comprehensive income, consolidated and separate statements of changes in equity and consolidated and statements of cash flows for the year ended 31 December 2023, and notes to the financial statements, including a summary of material accounting policy information.

In our opinion, the consolidated and separate financial statements present fairly, in all material respects, the consolidated and separate financial position of the Group and Company as at 31 December 2023, and its consolidated and separate financial performance and consolidated and separate cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Companies Act of Uganda.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the consolidated and separate financial statements section of our report. We are independent of the Group and Company in accordance with the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (including International Independence Standards) (IESBA Code) together with the ethical requirements that are relevant to our audit of the consolidated and separate financial statements in Uganda, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other information

The directors are responsible for the other information. Other information comprises the information included in the Corporate Information, Report of the Directors and the Statement of Directors' Responsibilities appended to the consolidated and separate financial statements, which we obtained prior to the date of this report, and the other information included in the Annual Report, which is expected to be made available to us after that date. Other information does not include the consolidated or the separate financial statements and our auditor's report thereon.

Our opinion on the consolidated and separate financial statements does not cover the other information and we do not express an audit opinion or any form of assurance conclusion thereon.

In connection with our audit of the consolidated and separate financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed on the other information obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the directors for the financial statements

The directors are responsible for the preparation and fair presentation of the consolidated and separate financial statements in accordance with International Financial Reporting Standards and the requirements of the Companies Act of Uganda, and for such internal control as the directors determine is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate financial statements, the directors are responsible for assessing the Group and Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group and Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group and Company's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.

- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group and Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group and/or the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the consolidated and separate financial statements, including the disclosures, and whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the consolidated and separate financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

REPORT ON OTHER LEGAL REQUIREMENTS

As required by the Companies Act, 2012 of Uganda, we report to you, based on our audit, that:

i. We have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purpose of the audit;

ii. In our opinion, proper books of account have been kept by the Group and Company, so far as appears from our examination of those books; and

iii. The consolidated and separate statements of financial position, consolidated and separate income statements and consolidated and separate statements of comprehensive income are in agreement with the books of account.

The engagement partner on the audit resulting in this independent auditor's report is CPA Geoffrey Byamugisha – P0231.

Ernst & Young

Certified Public Accountants
Kampala, Uganda

15 May 2024

Geoffrey Byamugisha
Partner

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the year ended 31 December 2023

	Note	2023 Ushs '000	2022 Ushs'000
Fees and commissions	5	4,346,849	2,157,823
Other income	6	951,602	649,251
Interest income	7(a)	1,114,097	938,108
Gross income		**6,412,548**	**3,745,182**
Operating expenses	8	(245,760)	(211,853)
Administration expenses	9	(1,530,730)	(1,116,341)
(Increase)/decrease in expected credit losses	11	(80,499)	37,494
Staff costs	10	(1,993,587)	(1,483,920)
Foreign exchange gain		3,313	3,342
Operating profit		**2,565,285**	**973,904**
Finance costs	7(b)	(48,047)	(73,261)
Profit before taxation	12	2,517,238	900,643
Tax charge	13(a)	(683,230)	(352,434)
Profit for the year		**1,834,008**	**548,209**
Other comprehensive income		-	-
Total comprehensive income for the year		**1,834,008**	**548,209**

COMPANY STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the year ended 31 December 2023

	Note	"2023 Ushs '000"	"2022 Uzshs '000"
Fees and commissions	5	4,346,849	2,157,823
Other income	6	951,602	649,251
Interest income	7(a)	1,114,097	938,108
Gross income		**6,412,548**	**3,745,182**
Operating expenses	8	(244,660)	(210,103)
Administration expenses	9	(1,472,018)	(1,065,020)
(Increase)/decrease in expected credit losses	11	(80,499)	37,494
Staff costs	10	(1,993,587)	(1,483,920)
Foreign exchange gain		3,415	3,342
Operating profit		**2,625,199**	**1,026,975**
Finance costs	7(b)	(48,047)	(73,261)
Profit before taxation	12	2,577,152	953,714
Tax charge	13(a)	(683,230)	(352,434)
Profit for the year		**1,893,922**	**601,280**
Other comprehensive income		-	-
Total comprehensive income for the year		**1,893,922**	**601,280**

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

As at 31 December 2023

"ASSETS Non-current Assets"	Note	"2023 Ushs '000"	"2022 Ushs '000"
Intangible assets	14	128,680	167,035
Equipment	15	207,477	282,640
Right of use asset	16(a)	185,160	370,320
Unquoted investment	**18**	**65,176**	**65,176**
Government securities at amortised cost	22	2,519,632	2,519,757
Deferred tax asset	13(c)	212,092	66,647
		3,318,217	**3,471,575**
"Current Assets Cash and bank balances"	23	100,717	169,675
Short term investments	21	6,477,537	4,514,943
Government securities at amortised cost	22	158,953	158,953
Trade and other receivables	20	348,074	458,652
Amounts due from related parties	17(b)	70,790	17,803
		7,156,071	5,320,026
Total Assets		**10,474,288**	**8,791,601**
"EQUITY AND LIABILITIES Equity Share capital"	19(a)	420,000	420,000
Proposed dividend	19(b)	662,873	210,448
Retained earnings	26	8,000,510	6,829,375
Total Equity		**9,083,383**	**7,459,823**
"Non-current liabilities Lease liabilities: non-current portion	**16(b)**	**-**	**198,312**
		-	**198,312**
Current liabilities			
Lease liabilities: current portion	16(b)	246,359	265,889
Trade and other payables1	25	876,058	637,644
Income tax payable	13(d)	134,222	100,766
Deferred income	27	134,266	129,167
		1,390,905	1,133,466
Total Liabilities		**1,390,905**	**1,331,778**
TOTAL EQUITY AND LIABILITIES		**10,474,288**	**8,791,601**

The notes set out on pages 15 to 51 form an integral part of these financial statements.

The financial statements were approved by the Board of Directors on ..... 7th may ..... 2024 and signed on its behalf by:

....

Chief Executive Officer Director

COMPANY STATEMENT OF FINANCIAL POSITION

As at 31 December 2023

ASSETS Non-current Assets	Note	"2023 Ushs '000"	"2022 Ushs '000"
Intangible assets	14	128,680	167,035
Equipment	15	203,937	276,740
Right of use asset	16(a)	185,160	370,320
Unquoted investment	**18**	**65,176**	**65,176**
Government securities at amortised cost	22	2,519,632	2,519,757
Investment in subsidiary	24	90,001	90,001
Deferred tax asset	13(c)	212,092	66,647
		3,404,678	**3,555,676**
Current Assets			
Cash and bank balances	23	88,717	169,675
Short term investments	21	6,477,537	4,514,943
Government securities at amortised cost	22	158,953	158,953
Trade and other receivables	20	348,074	458,652
Amounts due from related parties	17(b)	96,422	17,803
		7,169,703	**5,320,026**
TOTAL ASSETS		**10,574,381**	**8,875,702**
EQUITY AND LIABILITIES			
Equity Share capital	19(a)	420,000	420,000
Proposed dividend	19(b)	662,873	210,448
Retained earnings	26	8,113,495	6,882,446
Total Equity		**9,196,368**	**7,512,894**
Non-current liabilities			
Lease liabilities: non-current portion	16(b)	**-**	**198,312**
		-	**198,312**
Current liabilities			
Amounts due to related parties	17(c)	-	31,030
Lease liabilities: current portion	16(b)	246,359	265,889
Trade and other payables1	25	863,166	637,644
Income tax payable	13(d)	134,222	100,766
Deferred income	27	134,266	129,167
		1,378,013	**1,164,496**
Total Liabilities		**1,378,013**	**1,362,808**
TOTAL EQUITY AND LIABILITIES		**10,574,381**	**8,875,702**

The notes set out on pages 15 to 51 form an integral part of these financial statements.

The financial statements were approved by the Board of Directors on ..... 7th may ..... 2024 and signed on its behalf by:

.....
Chief Executive Officer

.....
Director

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

For the year ended 31 December 2023

	"Share capital Ushs '000"	"Retained earnings Ushs '000"	"Proposed dividend Ushs '000"	Total Ushs '000
Balance at 1 January 2022	**420,000**	**6,491,614**	**281,503**	**7,193,117**
Total comprehensive income for the year"	-	548,209	-	548,209
Dividends paid Proposed dividend -"	-	-	(281,503)	(281,503)
At 31 December 2022	**-**	**(210,448)**	**(210,448)**	**-**
Balance at 1 January 2023	**420,000**	**6,829,375**	**210,448**	**7,459,823**
Total comprehensive income for the year	-	1,834,008	-	1,834,008
Dividends paid	-	-	(210,448)	(210,448)
Proposed dividend	-	(662,873)	(662,873)	-
At 31 December 2023	**420,000**	**8,000,510**	**662,873**	**9,083,383**

COMPANY STATEMENT OF CHANGES IN EQUITY

For the year ended 31 December 2023

	"Share capital Ushs '000"	"Retained earnings Ushs '000"	"Proposed dividend Ushs '000"	Total Ushs '000
Balance at 1 January 2022	**420,000**	**6,491,614**	**281,503**	**7,193,117**
Total comprehensive income for the year"	-	548,209	-	601,280
Dividends paid Proposed dividend -"	-	-	(281,503)	(281,503)
At 31 December 2022	**-**	**(210,448)**	**(210,448)**	**-**
Balance at 1 January 2023	**420,000**	**6,829,375**	**210,448**	**7,512,894**
Total comprehensive income for the year	-	1,834,008	-	1,893,922
Dividends paid	-	-	(210,448)	(210,448)
Proposed dividend	-	(662,873)	(662,873)	-
At 31 December 2023	**420,000**	**8,000,510**	**662,873**	**9,196,368**

CONSOLIDATED STATEMENT OF CASH FLOWS

For the year ended 31 December 2023

	Note	2023 Ushs'000	"2022 Ushs'000"
CASH FLOWS FROM OPERATING ACTIVITIES			
Profit before taxation		2,517,238	900,643
Adjusted for:			
Depreciation	15	134,821	82,702
Amortisation	"14 & 16(a)"	227,595	240,416
Interest on lease liabilities	16(c)	48,047	73,261
Accrued interest income - treasury bond (net of WHT & amortisation)	22	(416,125)	(158,910)
Gain on disposal of fixed assets	6	(1,125)	(1,650)
		2,510,451	**1,136,462**
Changes in working capital			
Decrease/(increase) in trade and other receivables		110,578	(197,346)
(Increase)/decrease in amounts due from related parties		(52,987)	13,633
Increase in trade and other payables		238,415	202,113
Decrease in amounts due to related parties		-	(1,741)
Increase in deferred income		5,099	129,167
Cash generated from operating activities		**2,811,556**	**1,282,288**
Tax paid	13(d)	(795,220)	(313,008)
Interest paid on lease liabilities	16(b)	(48,047)	(73,261)
Net cash generated from operating activities		**1,968,289**	**896,019**
CASH FLOWS FROM INVESTING ACTIVITIES			
Purchase of equipment	15	(59,658)	(171,320)
Purchase of intangible assets	14	(4,080)	(56,747)
Proceeds on sale of equipment	6	1,125	1,650
Investments in fixed deposits	21	(1,962,594)	2,524,711
Interest received on government securities	22	416,250	-
Investments in government securities	22	-	(2,519,800)
Net cash used in investing activities		**(1,608,957)**	**(221,506)**
CASH FLOWS FROM FINANCING ACTIVITIES			
Payments of principal portion of lease liabilities	16(d)	(217,842)	(192,628)
Dividend payments to shareholders	19(b)	(210,448)	(281,503)
Net cash used in financing activities		**(428,290)**	**(474,131)**
Increase/(decrease) in cash and cash equivalents		**(68,958)**	**200,382**
Cash and cash equivalents at beginning of year		**169,675**	**(30,707)**
Cash and cash equivalents at end of year		**100,717**	**169,675**
Represented by:			
Bank and cash balances	**23**	**100,717**	**169,975**

COMPANY STATEMENT OF CASH FLOWS

For the year ended 31 December 2023

CASH FLOWS FROM OPERATING ACTIVITIES	Note	2023 Ushs '000	2022 Ushs '000
Profit before taxation		**2,577,152**	**953,714**
Adjusted for:			
Depreciation	15	132,461	81,522
Amortisation	14 & 16(a)	227,595	240,416
Interest on lease liabilities	16(c)	48,047	73,261
Accrued interest income - treasury bond (net of WHT and amortisation)	22	(416,125)	(158,910)
Gain on disposal of fixed assets	6	(1,125)	(1,650)
		2,568,005	**1,188,353**
Changes in working capital			
Decrease/(increase) in trade and other receivables		110,578	(197,346)
(Increase)/decrease in amounts due from related parties		(78,619)	13,633
Increase in trade and other payables4		225,523	202,113
Decrease in amounts due to related parties		(31,030)	(1,741)
Increase in deferred income		5,099	129,167
Cash generated from operating activities		**2,799,556**	**1,334,179**
Tax paid	13(d)	(795,220)	(313,008)
Interest paid on lease liabilities	16(b)	(48,047)	(73,261)
Net cash generated from operating activities		**1,956,289**	**947,910**
CASH FLOWS FROM INVESTING ACTIVITIES			
Purchase of equipment	**15**	**(59,658)**	**(164,240)**
Purchase of intangible assets	14	(4,080)	(56,747)
Proceeds on sale of equipment	6	1,125	1,650
Investments in fixed deposits	21	(1,962,594)	2,524,711
Interest received on government securities	22	416,250	-
Investments in government securities	22	-	2,519,800
Investments in subsidiary (paid capital)	24	-	(58,971)
Net cash used in investing activities		(1,608,957)	(273,397)
CASH FLOWS FROM FINANCING ACTIVITIES			
Payments of principal portion of lease liabilities	16(d)	(217,842)	(192,628)
Dividend payments to shareholders	19(b)	(210,448)	(281,503)
Net cash used in financing activities		**(428,290)**	**(474,131)**
Increase/(decrease) in cash and cash equivalents		(80,958)	200,382
Cash and cash equivalents at beginning of year		169,675	(30,707)
Cash and cash equivalents at end of year		**88,717**	**169,675**
Represented by:			
Bank and cash balances	23	**88,717**	**169,975**

NOTES TO THE FINANCIAL STATEMENTS
For the year ended 31 December 2023

1. REPORTING ENTITY

Uganda Securities Exchange Limited is a Company limited by shares and incorporated in Uganda under the Companies Act, 2012 Laws of Uganda.

For purposes of Companies Act, 2012 Laws of Uganda, the balance sheet is represented by the statement of financial position in these financial statements, and the income statement is represented by the statement of profit or loss and other comprehensive income.

2. BASIS OF PREPARATION

(a) Basis of accounting

The financial statements of Uganda Securities Exchange Limited have been prepared in accordance with International Financial Reporting Standards (IFRSs) and in the manner required by the Companies Act, 2012 Laws of Uganda.

(b) Basis of measurement

The financial statements have been prepared on the historical cost basis, except where otherwise stated in the accounting policies below.

(c) Functional and presentation currency

The financial statements are presented in Uganda Shillings (Ushs '000), which is the Group's functional and presentation currency.

3. MATERIAL ACCOUNTING POLICIES

a) Standards and interpretations issued and effective during the year

The Group applied for the first-time certain standards and amendments, which are effective for annual periods beginning on or after 1 January 2023 but did not have an impact on the consolidated and separate financial statements of the Group and Company. The Group and Company have not early adopted any other standard, interpretation or amendment that has been issued but is not yet effective.

Effective for annual periods beginning on or after 1 January 2023

- Disclosure of Accounting Policies - Amendments to IAS 1 and IFRS Practice Statement 2
- Definition of Accounting Estimates - Amendments to IAS 8
- Deferred Tax related to Assets and Liabilities arising from a Single Transaction – Amendments to IAS 12
- International Tax Reform – Pillar Two Model Rules - Amendments to IAS 12
- IFRS 17 Insurance Contract

b) Standards issued but not yet effective

The new and amended standards and interpretations that are issued, but not yet effective, up to the date of issuance of the consolidated and separate financial statements are disclosed below. The Group and Company intend to adopt these new and amended standards and interpretations, if applicable, when they become effective.

The standards issued but not yet effective that are not expected to have a material impact on the consolidated and separate financial statements:

- Classification of Liabilities as Current or Non-current and Non-current Liabilities with Covenants - Amendments to IAS 1 (Effective for annual periods on or after 1 January 2024)
- Lease Liability in a Sale and Leaseback – Amendments to IFRS 16 (Effective for annual periods on or after 1 January 2024)
- Disclosures: Supplier Finance Arrangements - Amendments to IAS 7 and IFRS 7 (Effective for annual periods on or after 1 January 2024)
- Sale or Contribution of Assets between an investor and its Associate or Joint Venture-Amendments to IFRS 10 and IAS 28 (Effective date postponed indefinitely pending the outcome of IASB's research project on the equity method of accounting).
- Lack of exchangeability – Amendments to IAS 21 (Effective for annual periods on or after 1 January 2025)

c) Revenue recognition

The core principle of IFRS 15 is that an entity recognizes revenue to depict the transfer of promised goods or services to customers in an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services. Information about the Group's accounting policies relating to contracts with customers is provided in Note 5(b).

d) Property plant and equipment

Equipment is stated at the cost of bringing the assets to their present location and condition less accumulated depreciation and any accumulated impairment losses.

Depreciation

Depreciation is calculated to write off the cost of property, plant and equipment on a straight-line basis using the following annual rates: -

Motor vehicles	25%
Furniture and fittings	12.5%
Office partitions	33.33%
Computer equipment	33.33%

Depreciation methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate. Gains and losses on disposal of equipment is determined by reference to their carrying amount and are taken into account in determining operating profit.

e) Intangible assets

Software

Software acquired by the Group is measured at cost less accumulated amortisation and any accumulated impairment losses. Expenditure on internally developed software is recognised as an asset when the Group is able to demonstrate its intention and ability to complete the development and use the software in a manner that will generate future economic benefits and can reliably measure the costs to complete the development.

The capitalised costs of internally developed software include all costs directly attributable to developing the software and capitalised borrowing costs and are amortised over its useful life.

Internally developed software is stated at capitalised cost less accumulated amortisation and impairment.

Subsequent expenditure on software assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

Software is amortised on a straight-line basis over its estimated useful life, from the date that it is available for use. The estimated useful life of software for the current and comparative periods is five years.

Amortisation methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate.

f) Capital grants

Grants relate to the acquisition of assets that are recognised in profit or loss on a systematic basis over the useful lives of the assets acquired.

g) Joint arrangements

The Group classifies joint arrangements as joint operations if it has joint control over the assets and have rights to the assets and obligations for the liabilities relating to the arrangement. The Group recognizes its share of assets at cost less impairment and amortization in accordance with IAS 38 and recognizes its share of income and expenses on accruals basis.

h) Impairment of tangible and intangible assets

At each end of reporting period, the Group reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). Where it is not possible to estimate the recoverable amount of an individual asset, the Group estimates the recoverable amount of the cash-generating unit to which the asset belongs.

Where a reasonable and consistent basis of allocation can be identified, corporate assets are also allocated to individual cash-generating units, or otherwise they are allocated to the smallest group of cash-generating units for which a reasonable and consistent allocation basis can be identified.

Intangible assets with indefinite useful lives and intangible assets not yet available for use are tested for impairment annually, and whenever there is an indication that the asset may be impaired.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease.

Where an impairment loss subsequently reverses, the carrying amount of the asset (cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

I) Financial instruments

I. Recognition and initial measurement

Trade receivables are initially recognized when they are originated.

All other financial assets and financial liabilities are initially recognized when the Group becomes a party to the contractual provisions of the instrument.

A financial asset (unless it is a trade receivable without a significant financing component) or financial liability is initially measured at fair value plus, for an item not at FVTPL, transaction costs that are directly attributable to its acquisition or issue. A trade receivable without a significant financing component is initially measured at the transaction price.

II. Classification and subsequent measurement

Financial assets

On initial recognition, a financial asset is classified as measured at: amortized cost; FVOCI – debt investment; FVOCI – equity investment; or FVTPL.

Financial assets are not reclassified subsequent to their initial recognition unless the Group changes its business model for managing financial assets, in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

A financial asset is measured at amortized cost if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

A debt investment is measured at FVOCI if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

On initial recognition of an equity investment that is not held for trading, the Group may irrevocably elect to present subsequent changes in the investment's fair value in OCI. This election is made on an investment-by-investment basis.

All financial assets not classified as measured at amortized cost or FVOCI as described above are measured at FVTPL. This includes all derivative financial assets. On initial recognition, the Group may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortized cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Financial assets – Business model assessment

The Group makes an assessment of the objective of the business model in which a financial asset is held at a portfolio level because this best reflects the way the business is managed, and information is provided to management. The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. These include whether management's strategy focuses on earning contractual interest income, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of any related liabilities or expected cash outflows or realizing cash flows through the sale of the assets;
- how the performance of the portfolio is evaluated and reported to the Group's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- how managers of the business are compensated – e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- the frequency, volume and timing of sales of financial assets in prior periods, the reasons for such sales and expectations about future sales activity.

Transfers of financial assets to third parties in transactions that do not qualify for de-recognition are not considered sales for this purpose, consistent with the Group's continuing recognition of the assets.

Financial assets that are held for trading or are managed and whose performance is evaluated on fair value basis are measured at FVTPL.

Financial assets – Assessment whether contractual cash flows are solely payments of principal and interest

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as a profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Group considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making this assessment, the Group considers:

- contingent events that would change the amount or timing of cash flows;
- terms that may adjust the contractual coupon rate, including variable-rate features;
- prepayment and extension features; and
- terms that limit the Group's claim to cash flows from specified assets (e.g. non-recourse features).

A prepayment feature is consistent with the solely payments of principal and interest criterion if the prepayment amount substantially represents unpaid amounts of principal and interest on the principal amount outstanding, which may include reasonable additional compensation for early termination of the contract. Additionally, for a financial asset acquired at a discount or premium to its contractual per amount, a feature that permits or requires prepayment at an amount that substantially represents the contractual par amount plus accrued (but unpaid) contractual interest (which may also include reasonable additional compensation for early termination) is treated as consistent with this criterion if the fair value of the prepayment feature is insignificant at initial recognition.

Financial liabilities – Classification, subsequent measurement and gains and losses

Financial liabilities are classified as measured at amortized cost or FVTPL. A financial liability is classified as at FVTPL if it is classified as held-for-trading, it is a derivative, or it is designated as such on initial recognition. Financial liabilities at FVTPL are measured at fair value and net gains and losses, including any interest expense, are recognized in profit or loss. Other financial liabilities are subsequently measured at amortized cost using the effective interest method. Interest expense and foreign exchange gains and losses are recognized in profit or loss. Any gain or loss on de-recognition is also recognized in profit or loss.

III. De-recognition

Financial assets

The Group derecognizes a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Group neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

The Group enters into transactions whereby it transfers assets recognized in its statement of financial position but retains either all or substantially all of the risks and rewards of the transferred assets. In these cases, the transferred assets are not de-recognized.

Financial liabilities

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled or expire. The Group also derecognizes a financial liability when its terms are modified and the cash flows of the modified liability are substantially different, in which case a new financial liability based on the modified terms is recognized at fair value.

On de-recognition of a financial liability, the difference between the carrying amount extinguished and the consideration paid (including any non-cash assets transferred or liabilities assumed) is recognized in profit or loss.

IV. Offsetting

Financial assets and financial liabilities are offset, and the net amount presented in the statement of financial position when, and only when, the Group currently has a legally enforceable right to set off the amounts and it intends either to settle them on a net basis or to realize the asset and settle the liability simultaneously.

V. Amortized cost measurement

The amortised cost of a financial asset or liability is the amount at which the financial asset or liability is measured at initial recognition, minus principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between the initial amount recognised and the maturity amount minus any reduction for impairment.

VI. Fair value measurement

'Fair value' is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Group has access at that date. The fair value of a liability reflects its non-performance risk.

When available, the Group measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

Fair value' is the price that would be received to sell an asset or paid to transfer a liability in an orderly

If there is no quoted price in an active market, then the Group uses valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would take into account in pricing a transaction.

VII. Fair value measurement

The best evidence of the fair value of a financial instrument at initial recognition is normally the transaction price – i.e., the fair value of the consideration given or received. If the Group determines that the fair value at initial recognition differs from the transaction price and the fair value is evidenced neither by a quoted price in an active market for an identical asset or liability nor based on a valuation technique that uses only data from observable markets, then the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value at initial recognition and the transaction price. Subsequently, that difference is recognised in profit or loss on an appropriate basis over the life of the instrument but no later than when the valuation is wholly supported by observable market data, or the transaction is closed out.

VIII. Identification and measurement of impairment

At each reporting date the Group assesses whether there is objective evidence that financial assets not carried at fair value through profit or loss are impaired. A financial asset or a group of financial assets is impaired when objective evidence demonstrates that a loss event has occurred after the initial recognition of the asset(s) and that the loss event has an impact on the future cash flows of the asset(s) that can be estimated reliably.

Impairment losses on assets measured at amortised cost are calculated as the difference between the carrying amount and the present value of estimated future cash flows discounted at the asset's original effective interest rate. Specific provision is made for all known bad debts. Bad debts are written off when all reasonable steps to recover them have been taken without success.

j) Provisions

Provisions are recognised when the Group has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate of the amount can be made.

k) Leases

i. As a lessee

At commencement or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to the lease component.

The Group recognizes a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term, unless the lease transfers ownership of the underlying asset to the Group by the end of the lease term or the cost of the right-of-use asset reflects that the Group will exercise a purchase option. In that case the right-of-use asset will be depreciated over the useful life of the underlying asset, which is determined on the same basis as those of property and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain re-measurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Group's incremental borrowing rate. Generally, the Group uses its incremental borrowing rate as the discount rate.

The Group determines its incremental borrowing rate by obtaining interest rates from various external financing sources and makes certain adjustments to reflect the terms of the lease and type of the asset leased.

Lease payments included in the measurement of the lease liability comprise the following:

- fixed payments, including in-substance fixed payments;
- variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
- amounts expected to be payable under a residual value guarantee; and
- the exercise price under a purchase option that the Group is reasonably certain to exercise, lease payments in an optional renewal period if the Group is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Group is reasonably certain not to terminate early.

The lease liability is measured at amortized cost using the effective interest method. It is re-measured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Group's estimate of the amount expected to be payable under a residual value guarantee, if the Group changes its assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payment.

When the lease liability is re-measured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

ii. As a lessor

At inception or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of their relative stand-alone selling prices. When the Group acts as a lessor, it determines at lease inception whether the lease is a finance lease or an operating lease.

To classify each lease, the Group makes an overall assessment of whether the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease; if not, then it is an operating lease. As part of this assessment, the Group considers certain indicators such as whether the lease is for the major part of the economic life of the asset.

l) Retirement benefit obligations

National Social Security Fund

The Group makes contributions to the National Social Security Fund (NSSF), which is a statutory retirement benefit scheme established under the NSSF Act. This is a defined contribution scheme into which the Group contributes 10% of the employees' gross cash emoluments. The Group's contribution is charged to profit or loss as it falls due.

m) Cash and cash equivalents

For the purposes of the statement of cash flows, cash and cash equivalents comprise cash on hand, deposits held at call with banks, other short-term highly liquid investments and bank overdrafts.

n) Translation of foreign currencies

Assets and liabilities at the end of the reporting period that are expressed in foreign currencies are translated into Uganda Shillings at the rate of exchange ruling at the reporting date. Foreign currency transactions during the year are translated into Uganda Shillings at the rates ruling at the transaction dates. The resulting differences are dealt with in profit or loss in the year in which they arise.

o) Taxation

Tax expense comprises current and deferred tax. Current tax and deferred tax are recognized in profit or loss except to the extent that it relates to items recognized directly in equity or in other comprehensive income.

Current tax

Current tax is the expected tax payable or receivable on the taxable income for the year using tax rates enacted or substantively enacted at the reporting date, and any adjustment to tax payable in respect of previous years.

Deferred tax

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes.

Deferred tax is not recognised for:

- Temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss;
- Temporary differences arising on the initial recognition of goodwill.

Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, using tax rates enacted or substantively enacted at the reporting date.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to taxes levied by the same tax authority on the same taxable

entity or on different tax entities, but they intend to settle current tax assets and liabilities on a net basis, or their tax assets and liabilities will be realized simultaneously.

p) Dividends

Dividends on ordinary shares are recognised as a liability in the financial statements in the period in which they are declared. In the case of interim dividends, these are considered to be declared when they are paid. The Group and Company evaluate the financial position to determine ability to pay dividends to its shareholders in any particular year.

q) Consolidation

Subsidiaries

Subsidiaries are all entities (including structured entities) over which the Group has control. The Group controls a company when the Group is exposed to, or has rights to, variable returns from its involvement with the company and has the ability to affect those returns through its power over the company. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are deconsolidated from the date that control ceases.

Inter-company transactions, balances and unrealised gains on transactions between group companies are eliminated. Unrealised losses are also eliminated. When necessary, amounts reported by subsidiaries have been adjusted to conform to the Group's accounting policies.

Changes in ownership interests in subsidiaries without change of control

Transactions with non-controlling interests that do not result in loss of control are accounted for as equity transactions – that is, as transactions with owners in their capacity as owners. The difference between fair value of any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary is recorded in equity. Gains or losses on disposals to non-controlling interests are also recorded in equity

Disposal of subsidiaries

When the Group ceases to control, any retained interest in the company is re-measured to its fair value at the date when control is lost, with the change in carrying amount recognised in profit or loss. The fair value is the initial carrying amount for the purposes of subsequently accounting for the retained interest as an associate, joint venture or financial asset. In addition, any amounts previously recognised in other comprehensive income in respect of that company are accounted for as if the Group had directly disposed of the related assets or liabilities. This may mean that amounts previously recognised in other comprehensive income are reclassified to profit or loss.

r) Comparatives

Where necessary, comparative figures have been adjusted to conform to changes in presentation in the current year.

s) Share Capital

Shares are classified as equity when there is no obligation to transfer cash or other assets. Incremental costs directly attributable to the issue of equity instruments are shown in equity as a deduction from the proceeds, net of tax.

4. CRITICAL ACCOUNTING JUDGEMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY

In the process of applying the Group's accounting policies, management has made estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial year.

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

(i) Critical judgments in applying accounting policies

Measurement of ECL allowance for trade receivables:

The Group uses the provisional matrix to measure the ECL of trade receivables from individual customers. Loss rates are calculated using a 'roll rate' method based on the probability of a receivable progressing through successive stages of delinquency to write-off.

Deferred tax:

Management makes assumptions with regards to availability of future taxable profits against which deductible temporary differences and tax losses carried forward can be utilised;

Right of Use Asset:

IFRS 16 states that one has the right to direct how and for what purpose the asset is used throughout its period of use or the relevant decisions about use are pre-determined and one has the right to operate the asset throughout the period of use without having the right to change these operating instructions. The right of use asset involves estimating the lease term and the discount rate.

The lease term is the non-cancellable period and any optional renewal periods if the Group reasonably with certainty exercises it and periods after the termination date if lessee is reasonably certain not to terminate.

(ii) Key sources of estimation uncertainty

Impairment

At the end of each reporting period, the Group reviews the carrying amounts of its tangible and other assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss.

Equipment

Critical estimates are made by the Group in determining depreciation rates and useful lives for equipment at the end of each reporting period.

5. FEES AND COMMISSIONS

a) Revenue Streams

The Group has several revenue streams which stem primarily from fees charged by the exchange to listed entities, brokers and custodians, traded equity instruments such as government treasury bonds and corporate bonds. The Group recognizes revenue at the point the fees are charged. These are detailed below:

b) Performance obligations and revenue recognition policies

Revenue is measured based on the consideration specified in a contract with a customer. The following table provides information about the nature and timing of the satisfaction of performance obligations in contracts with customers, including payment terms, and the related revenue recognition policies.

	Group and Company	
	2023 Ushs '000	**2022 Ushs '000**
Equity listing fees	1,085,000	992,123
Bonds listing fees	6,000	6,768
Application and entrance fees	1,058,000	100,000
Brokerage commission	368,258	91,959
Membership fees	12,500	12,917
Government treasury bonds	1,660,000	860,000
SCD Swift Fees	32,091	31,556
Government treasury bills	125,000	62,500
	4,346,849	**2,157,823**

The Group generates its revenue from seven major forms of income as stated above. These are charged according to USE Rules, Charges and Penalties Rules 2021. The Group recognises 85% of the revenue (brokerage commission) generated from the use of the Automated Trading System (ATS) as disclosed under Note 14.

Type of Product	Nature and timing of satisfaction of performance obligations, including significant payment terms	Revenue recognition under IFRS 15
Equity listing	These are fees charged to clients who list their shares on the exchange. This is charged at the beginning of the year.	Revenue from this service is recognised over time as the services are provided.
Bonds Listing	These are fees charged on the listing of corporate bonds. The fee are charged at the point of listing of the bonds.	Revenue related to transactions is recognised overtime as the services are provided.
Application and entrance fees	These are fees charged to clients to list on the Uganda Securities Exchange. They are a one-time fee that accompany the application to list.	Revenue from this product is recognised at a point in time as and when the clients list on the exchange.
Brokerage	The exchange offers trading services to brokers and custodians. Brokerage fees are charged on a monthly basis based on fixed rates.	Revenue from this product is recognised at a point in time as and when brokers and custodians make trades.
Membership	The exchange charges annual membership fees to members.	Revenue from this service is recognised over time as the services are provided.
Government treasury bonds or bills	These are fees charged on the listing of government treasury bonds or bills on an annual basis. This fee is charged at the point of listing of the bonds or bills.	The Group recognizes this revenue over time as the service is provided.
Access to SCD Platform	These are servicing fees that are charged for access to the SCD platform in order to carry out trades.	The Group recognizes the revenue when the members pay for use of the SCD Platform.

6. Other Home

	Group and Company	
	2023 Ushs '000	2022 Ushs '000
Securities Central Depository (SCD) income	397,217	205,865
APN fees	26,904	-
Registry services	236,914	170,671
Data vending services	104,595	121,502
Penalties	85,000	105,000
Virtual AGM Fees	32,831	21,206
Sponsorship income	19,000	23,357
Gain on disposal of assets	1,125	1,650
Training income	46,930	-
Insurance claims	1,086	-
	951,602	**649,251**

7. INTEREST INCOME AND FINANCE COSTS

a. Interest Income

	Group and Company	
	2023 Ushs '000	2022 Ushs '000
Interest earned on investments	1,112,927	937,183
Interest earned on bank account	1,170	925
	1,114,097	**938,108**

b. Finance costs

	Group and Company	
	2023 Ushs '000	2022 Ushs '000
Interest on lease liability (Note 16(b))	48,047	73,261
	48,047	**73,261**

8. OPERATING EXPENSES

	Group		Company	
	2023 Ushs '000	2022 Ushs '000	2023 Ushs '000	2022 Ushs '000
SCD operational expenses	3,147	3,076	3,147	3,076
SCD operational expenses - Swift fees	27,523	24,128	27,523	24,128

	Group		Company	
	2023 Ushs '000	2022 Ushs '000	2023 Ushs '000	2022 Ushs '000
Motor vehicle and equipment costs	21,450	3,669	21,450	3,669
Withholding tax	46,250	17,661	46,250	17,661
African Securities Exchange Association expenses	7,437	6,786	7,437	6,786
Hardware maintenance and repairs	20,781	5,662	20,781	5,662
Office repairs and maintenance	4,248	-	4,248	-
Group and Company	62,370	56,849	62,370	56,849
Board meetings and Board of Directors expenses	31,500	31,846	30,400	30,096
Board meetings and retreats	9,431	26,774	9,431	26,774
Annual subscription	10,453	5,976	10,453	5,976
Virtual AGM expenses	-	3,200	-	3,200
University challenge - Expenses	-	25,000	-	25,000
Registry expenses	1,170	1,226	1,170	1,226
	245,760	**211,853**	**244,660**	**210,103**

9. ADMINISTRATIVE EXPENSES

	Group		Company	
	2023 Ushs '000	2022 Ushs '000	2023 Ushs '000	2022 Ushs '000
Telephone	17,000	18,401	17,000	18,401
Post	3,937	4,321	3,937	4,321
Internet costs	80,142	58,046	80,142	58,046
Medical insurance	52,204	46,722	52,204	46,722
Group personal accident insurance	21,020	17,429	21,020	17,429
Motor vehicle insurance	11,320	12,148	11,320	12,148
Professional indemnity and fidelity insurance	7,873	7,873	7,873	7,873
Depreciation	134,821	82,702	132,461	81,522
Amortisation of intangible assets	38,355	61,661	38,355	61,661
Advertising and publicity	183,666	103,341	183,666	103,341
Electricity	17,635	16,243	17,635	16,243
Fuel and lubricants	28,256	25,454	28,256	25,454

	Group		Company	
	2023 Ushs '000	2022 Ushs '000	2023 Ushs '000	2022 Ushs '000
Auditor's remuneration	62,277	30,000	53,276	30,000
Internal audit services	34,400	34,400	34,400	34,400
General office expense	20,146	12,114	15,676	8,474
Hire/Lease of laptops	1,620	-	1,620	-
External legal services	33,428	18,597	32,538	18,597
Stationery and photocopying	5,513	5,094	5,513	5,034
Cleaning and fumigation	9,000	9,000	9,000	9,000
Newspapers and magazines	1,178	1,593	1,178	1,593
Security	3,528	3,236	3,528	3,236
Bank charges	10,917	10,847	10,917	10,847
Membership and subscription	19,191	19,590	19,191	19,590
Consultancy fees	182,502	46,665	145,357	11,846
Data center costs	250,443	239,968	250,443	239,968
Depreciation – Right of use asset	185,160	178,755	185,160	178,755
Group and Company	9,416	8,595	9,416	8,530
Directors' and officers' insurance	2,846	2,846	2,846	2,846
Regional meetings and travel	102,881	39,703	98,035	28,146
Printing and publication	55	997	55	997
	1,530,730	**1,116,341**	**1,472,018**	**1,065,020**

10. STAFF COSTS

	Group and Company	
	2023 Ushs '000	2022 Ushs '000
Salaries and wages	1,211,155	1,083,254
Staff annual bonus	454,792	108,659
Staff welfare	123,552	107,488
Staff training	25,346	14,913
NSSF contribution	120,358	115,961
5% Staff Provident Fund	58,384	53,645
	1,993,587	**1,483,920**

The average number of staff during the year was 15 (2022:16).

11. IMPAIRMENT OF FINANCIAL ASSETS

	Group and Company	
	2023 Ushs '000	2022 Ushs '000
Increase/ (decrease) in expected credit loss on trade receivables	75,104	(32,144)
Increase/ (decrease) in expected credit loss on related party balances	5,395	(5,350)
Increase/ (decrease) in expected credit loss on short term investments	-	-
	80,499	**(37,494)**

12. PROFIT BEFORE TAXATION

	Group		Company	
The profit before taxation is arrived at after charging:	2023 Ushs '000	2022 Ushs '000	2023 Ushs '000	2022 Ushs '000
Group and Company	62,277	30,000	53,276	30,000
Staff costs	1,993,587	1,483,920	1,993,587	1,483,920
Depreciation of Equipment and Right of Use Asset	319,981	261,457	317,621	260,277
Amortization of intangible assets	38,355	61,661	38,355	61,661

13. TAXATION

	Group		Company	
	2023 Ushs '000	2022 Ushs '000	2023 Ushs '000	2022 Ushs '000
(a) Taxation charge				
Current Taxation	**(172,677)**	**(2,139)**	**(155,602)**	**13,782**
Deferred tax charge/(credit)	(172,677)	(2,139)	(155,602)	13,782
Prior year under provision of deferred tax charge	10,156	59,956	10,156	59,956
Deferred tax asset not recognised - subsidiary	17,075	15,921	-	-
Net deferred tax movement for the period	(145,446)	73,738	(145,446)	73,738
Total income tax charge	683,230	352,434	683,230	352,434

The corporation tax rate is set at 30% of the profits for the year as adjusted for tax purposes in accordance with the Income Tax Act Cap 340. The tax on the Group profit for the year differs from the theoretical amount that would arise using the basic tax rate as follows:

	Group		Company	
	2023 Ushs '000	2022 Ushs '000	2023 Ushs '000	2022 Ushs '000
(a) Taxation charge				
Current Taxation	**(172,677)**	**(2,139)**	**(155,602)**	**13,782**

	Group		Company	
	2023 Ushs '000	2022 Ushs '000	2023 Ushs '000	2022 Ushs '000
(b) Reconciliation of taxation charge				
Accounting profit before taxation	2,517,238	900,643	2,527,152	953,714
Tax applicable rate of 30% (2022: 30%)	755,171	270,193	773,146	286,114
Tax effect of non-deductible expenses	(99,172)	6,364	(100,072)	6,364
Prior year under provision on deferred tax	10,156	59,956	10,156	59,956
Deferred tax asset not recognised - subsidiary	17,075	15,921	-	-
	683,230	**352,434**	**683,230**	**352,434**

(c) Deferred income tax asset

	Group		Company	
	2023 Ushs '000	2022 Ushs '000	2023 Ushs '000	2022 Ushs '000
01 January	**(66,646)**	**(140,385)**	**10,156**	**59,956**
Prior-year under Provision	**10,156**	**59,956**	**10,156**	**59,956**
Deferred tax charge/(credit)	**(172,677)**	**(2,139)**	**(155,602)**	**13,782**
Deferred tax asset not recognised - subsidiary*	**17,075**	**15,921**	**-**	**-**
Balance at 31 December	**(212,092)**	**(66,647)**	**(212,092)**	**(66,647)**

*Deferred tax asset relating to USE Commodities Exchange Limited ("the Subsidiary") amounting to Ushs 33 million (2022: 16 million) has not been recognised in these financial statements due to uncertainty of its recoverability. Deferred income tax assets are recognised only to the extent that realisation of the related tax benefit is highly probable.

Deferred tax assets as at 31 December 2023 and 31 December 2022 are attributable to the movement in temporary differences between calculations of certain items for accounting and for taxation purposes as detailed below: -

31 December 2023

	Group		
	01 January 2023 Ushs '000	**Movement Ushs '000**	**31 December 2023 Ushs '000**
Accelerated capital allowances	(9,186)	(27,812)	(36,998)
Unrealized foreign exchange losses	3,342	(3,342)	-
Provisions	(214,661)	(454,323)	(668,984)
Tax losses	(54,723)	(56,254)	(110,977)
Deferred tax asset not recognised – subsidiary	53,070	56,916	109,986
Total temporary differences	**(222,158)**	**(484,816)**	**(706,974)**
Deferred tax asset	**(66,647)**	**(145,445)**	**(212,092)**
	Company		
Accelerated capital allowances	(10,838)	(27,154)	(37,990)
Unrealized foreign exchange losses	3,342	(3,342)	-
Provisions	(214,661)	(454,323)	(668,984)
Total temporary differences	**(222,157)**	**(484,819)**	**(706,974)**
Deferred tax asset	**(66,647)**	**(145,446)**	**(212,092)**

31 December 2022

	Group		
	01 January 2022 Ushs '000	**Movement Ushs '000**	**31 December 2022 Ushs '000**
Accelerated capital allowances	(149,780)	140,594	(9,186)
Unrealized foreign exchange losses	-	3,342	3,342
Provisions	(318,170)	103,509	(214,661)
Tax losses	-	(54,723)	(54,723)
Deferred tax asset not recognised - subsidiary	-	53,070	53,070
Total temporary differences	**(467,950)**	**245,792**	**(222,158)**
Deferred tax asset	**(140,385)**	**73,738**	**(66,647)**
	Company		
	01 January 2022 Ushs '000	**Movement Ushs '000**	**31 December 2022 Ushs '000**
Accelerated capital allowances	(149,780)	140,594	(9,186)
Unrealized foreign exchange losses	-	3,342	3,342
Provisions	(318,170)	103,509	(214,661)
Tax losses	-	(54,723)	(54,723)
Deferred tax asset not recognised - subsidiary	-	53,070	53,070
Total temporary differences	**(467,950)**	**245,792**	**(222,158)**
Deferred tax asset	**(140,385)**	**73,738**	**(66,647)**

(d) Tax payable/ (recoverable)

	Group and Company	
	2023 Ushs '000	**2022 Ushs '000**
01 January	100,766	135,078
Tax charge for the year	828,676	278,696
Payment of prior year tax payable	(644,673)	(194,341)
Utilization of WHT	(150,547)	(118,667)
31 December	**134,222**	**100,766**

14. INTANGIBLE ASSETS

Group

	ATS Software	SCD Software	Other software	WIP	AGM MGT System	Easy Portal Platform	SWIFT Platform	Total
	Ushs '000	Ushs '000	Ushs '000	Ushs '000	Ushs '000	Ushs '000	Ushs '000	
Cost								
At 1 January 2022	675,111	529,051	175,077	146,279	-	-	-	1,525,518
Additions	-	-	-	14,186	42,561	-	-	56,747
Transfers from WIP	-	-	-	(72,517)	-	15,548	56,969	-
At 31 December 2022	**675,111**	**529,051**	**175,077**	**87,948**	**42,561**	**15,548**	**56,969**	**1,582,265**
Depreciation								
At 1 January 2022	674,436	529,038	150,095	-	-	-	-	1,353,569
Charge for the year	675	13	24,982	-	11,821	5,182	18,988	61,661

14. INTANGIBLE ASSETS

Group

	ATS Software	SCD Software	Other software	WIP	AGM MGT System	Easy Portal Platform	SWIFT Platform	Total
At 31 December 2022	**675,111**	**529,051**	**175,077**	**-**	**11,821**	**5,182**	**18,988**	**1,415,230**
Net Book Value	**-**	**-**	**-**	**87,948**	**30,740**	**10,366**	**37,981**	**167,035**
Cost								
At 1 January 2023	675,111	529,051	175,077	87,948	42,561	15,548	56,969	1,582,265
Additions	-	-	4,080		-	-	-	4,080
At 31 December 2023	**675,111**	**529,051**	**179,157**	**87,948**	**42,561**	**15,548**	**56,969**	**1,586,345**

14. INTANGIBLE ASSETS

Group

	ATS Software	SCD Software	Other software	WIP	AGM MGT System	Easy Portal Platform	SWIFT Platform	Total
Depreciation								
At 1 January 2023	675,111	529,051	175,077	-	11,821	5,182	18,988	1,415,230
Charge for the year	-	-	4,080		14,185	5,182	18,988	42,435
At 31 December 2023	**675,111**	**529,051**	**179,157**	**-**	**26,006**	**10,364**	**37,976**	**1,457,665**
Net Book Value	**-**	**-**	**-**	**87,948**	**16,555**	**5,184**	**18,993**	**128,680**

JOINT ARRANGEMENT

The Group entered into a joint arrangement with Trading Systems Technology International (a software development Company registered in South Africa) for the development of the Automated Trading System (ATS). The ATS was capitalized under Intangible Assets under ATS software in the financial statements in accordance with IAS 38. Under the agreement, the Group is required to pay Trading Systems Technology International (TSTI) 15% of annual fees generated by the Group through the use of ATS as license, support and maintenance fees. This arrangement qualifies as a joint operation under IFRS 11.

The arrangement is governed by a contract between Uganda Securities Exchange Limited and TSTI indicating the annual fees payable to TSTI from the use of the ATS and the agreement specifies the ratios to be used in the arrangement. The corresponding annual license, support and maintenance fees due to TSTI for the year is Ushs 68 million (2022: 16 million) as shown below. The revenue sharing was effective on 17 July 2016.

Details	2023 Ushs '000	2022 Ushs '000
Brokerage commission (USE) - See Note 5	368,258	91,959
Brokerage commission (TSTI)	68,027	16,238

15. EQUIPMENT

Group

	Motor vehicles	Furniture and fittings	Office partitions	Computer equipment	WIP	Total
	Ushs '000	Ushs '000	Ushs '000	Ushs '000	Ushs '000	Ushs '000
COST						
At 1 January 2022	359,243	352,919	49,462	478,857	-	1,240,481
Additions	-	13,670	-	44,582	113,068	171,320
Disposals	-	(2,700)	-	(42,605)	-	(45,305)
At 31 December 2022	**359,243**	**363,889**	**49,462**	**480,834**	**113,068**	**1,366,496**

15. EQUIPMENT

Group

	Motor vehicles	Furniture and fittings	Office partitions	Computer equipment	WIP	Total
At 1 January 2023	359,243	363,889	49,462	480,834	113,068	1,366,496
Transfer from WIP	-	-	113,068	-	(113,068)	-
Additions	-	53,841	-	5,817	-	59,658
Disposals	-	(25,881)	-	-	-	(25,881)
At 31 December 2023	**359,243**	**391,849**	**162,530**	**486,651**	**-**	**1,400,273**
DEPRECIATION						
At 1 January 2022	225,586	308,603	49,462	462,808	-	1,046,459
Charge for the year	69,734	32,143	-	14,678	-	116,555
Disposal	-	(2,700)	-	(42,605)	-	(45,305)
Over deprecation	-	(33,853)	-	-	-	(33,853)
At 31 December 2022	**295,320**	**304,193**	**49,462**	**434,881**	**-**	**1,083,856**
At 1 January 2023	295,320	304,193	49,462	434,881	-	1,083,856
Charge for the year	63,923	55,306	-	15,592	-	134,821
Disposal	-	(25,881)	-	-	-	(25,881)
At 31 December 2023	**359,243**	**333,618**	**49,462**	**450,473**	**-**	**1,192,796**
NET BOOK VALUE						
At 31 December 2023	**-**	**58,231**	**113,068**	**36,178**	**-**	**207,477**
At 31 December 2022	**63,923**	**59,696**	**-**	**45,953**	**113,068**	**282,640**

Company

	Motor vehicles	Furniture and fittings	Office partitions	Computer equipment	WIP	Total
	Ushs '000	Ushs '000	Ushs '000	Ushs '000	Ushs '000	Ushs '000
COST						
At 1 January 2022	359,243	352,919	49,462	478,857	-	1,240,481
Additions	-	13,670	-	37,502	113,068	164,240
Disposals	-	(2,700)	-	(42,605)	-	(45,305)
At 31 December 2022	**359,243**	**363,889**	**49,462**	**473,754**	**113,068**	**1,359,416**
At 1 January 2023	359,243	363,889	49,462	473,754	113,068	1,359,416
Transfer from WIP	-	-	113,068	-	(113,068)	-

Additions	-	53,841	-	5,817	-	59,658
Disposals	-	(25,881)	-	-	-	(25,881)
At 31 December 2023	**359,243**	**391,849**	**162,530**	**479,571**	**-**	**1,393,193**
DEPRECIATION						
At 1 January 2022	225,586	308,603	49,462	462,808	-	1,046,459
Charge for the year	69,734	32,143	-	13,498	-	115,375
Disposal	-	(2,700)	-	(42,605)	-	(45,305)
Over deprecation	-	(33,853)	-	-	-	(33,853)
At 31 December 2022	**295,320**	**304,193**	**49,462**	**433,701**	**-**	**1,082,676**
At 1 January 2023	295,320	304,193	49,462	433,701	-	1,082,676
Charge for the year	63,923	55,306	-	13,232	-	132,461
Disposal	-	(25,881)	-	-	-	(25,881)
At 31 December 2023	**359,243**	**333,618**	**49,462**	**446,933**	**-**	**1,189,256**
NET BOOK VALUE						
At 31 December 2023	**-**	**58,231**	**113,068**	**32,638**	**-**	**203,937**
At 31 December 2022	**63,923**	**59,696**	**-**	**40,053**	**113,068**	**276,740**

16. LEASES

The Group leases a building apartment where its offices are located. The lease runs for a period of 5 years, with an option to renew the lease after that date. Lease payments are renegotiated every five years to reflect market rentals.

The building apartment lease was entered into in 2014. Information about the lease for which the Group is a lessee is presented below;

a) Right of use asset

Group and Company

	2023 Ushs '000	2022 Ushs '000
Cost		
As at 1 January	1,110,960	1,123,768
Reclass of security deposit to trade and other receivables	-	(12,808)
As at 31 December	**1,110,960**	**1,110,960**

a) Right of use asset

Amortisation		
As at 1 January	740,640	561,885
Charge for the year	185,160	185,159
Elimination of depreciation charge on security deposit	-	(6,404)
As at 31 December	**925,800**	**740,640**
Net Book Value		
As at 31 December	**185,160**	**370,320**

b) Lease liability

Group and Company

	2023 Ushs '000	2022 Ushs '000
As at 1 January	464,201	656,829
Payments made during the year	(265,889)	(265,889)
Interest for the year	48,047	73,261
As at 31 December	**246,359**	**464,201**
Maturity analysis		
Current	246,359	265,889
Non-current	-	198,312
	246,359	**464,201**

c) Amounts recognised in the statement of comprehensive income

Group and Company

	"2023 Ushs '000"	2022 Ushs '000
Leases under IFRS 16		
Interest on lease liabilities	48,047	73,261
Depreciation	185,160	178,755

d) Amounts recognised in the statement of cash flows

Group and Company

	2023 Ushs '000	**2022 Ushs '000**
Interest expense payment	48,047	73,261
Principal payment	217,842	192,628
Total cash outflow for leases	**265,889**	**265,889**

17. RELATED PARTY BALANCES AND TRANSACTIONS

(a) Related parties include:

Shareholders	Other related parties
1. African Alliance (Uganda) Limited	1. Securities Industry Training Institute
2. Baroda Capital Markets (U) Limited	2. USE Commodities Exchange Limited
3. Crane Financial Services Limited	
4. Crested Stocks and Securities Limited	
5. Equity Stock Brokers (Uganda) Ltd	
6. Dyer and Blair (Uganda) Ltd	
7. UAP Old Mutual Financial Services Limited	

The Company is limited by shares. The Company has authorised share capital of Ushs 1 billion comprising of 100,000,000 shares of Ushs 10 each. 6 million shares were issued to each of the above shareholders implying that 42 million shares were issued out of the 100 million shares. Of the total issued share capital, only 60,000,000 is paid up and the balance is included under note 16 (b) as amounts due from related parties.

The shareholders stated above are also brokers through which the public is able to buy shares from the listed entities.

(b) Amounts due from related parties

	Group		Company	
	2023	2022	2023	2022
Shareholders	**Ushs '000**	**Ushs '000**	**Ushs '000**	**Ushs '000**
African Alliance (Uganda) Limited	880	880	880	880
Baroda Capital Markets (U) Limited	-	25	-	25
Dyer and Blair (Uganda) Ltd	2,086	1,526	2,086	1,526
Equity Stock Brokers (Uganda) Limited	103	356	103	356
Crested Stocks and Securities Ltd	3,526	3,136	3,526	3,136
UAP Old Mutual Financial Services Limited	59,358	1,648	59,358	1,648
USE Commodities Exchange Limited	-	-	25,632	-
Less: Provision for impairment of losses	(7,431)	(2,036)	(7,431)	(2,036)
	58,522	**5,535**	**84,154**	**5,535**

Other related parties				
Securities Industry Training Institute (SITI)	12,268	12,268	12,268	12,268
	70,790	17,803	96,422	17,803

	Group and Company	
	2023	2022
Movement in Expected Credit Losses	**Ushs '000**	**Ushs '000**
At start of the year	**2,036**	**7,386**
Charge to profit and loss account	5,395	(5,350)
At end of the year	7,431	2,036

Outstanding balances at the year-end are unsecured, interest free and have no fixed repayment date. There have been no guarantees provided or received for any related party receivables or payables. For the year ended 31 December 2023, the Group has not recorded any impairment of receivables relating to amounts owed by related parties (2022: Nil).

This assessment is undertaken each financial year through examining the financial position of the related party and the market in which the related party operates. The above receivables relate to the unpaid share capital and brokerage fees not settled at year end.

(c) Amounts due to related parties

	Group		Company	
	2023	2022	2023	2022
	Ushs'000	Ushs'000	Ushs'000	Ushs'000
USE Commodities Exchange Limited	-	-	-	31,030
	-	**-**	**-**	**31,030**

(d) Related party transactions comprise

	Group and Company	
	2023	2022
	Ushs '000	Ushs '000
Brokerage commission	68,027	16,238
	68,027	**16,238**

Brokerage commission is paid to Uganda Securities Exchange Limited by brokers. This is computed basing on the total trade considerations for the year.

(e) Key management compensation

	Group and Company	
	2023	2022
	Ushs '000	Ushs '000
Salaries and benefits	431,483	442,760
	431,483	**442,760**

(d) Related party transactions comprise

	Group and Company	
	2023	**2022**
	Ushs '000	**Ushs '000**

(f) Director's emoluments

	Group and Company	
	2023	**2022**
	Ushs '000	**Ushs '000**
Board allowances	31,500	30,096
	31,500	**30,096**

18. UNQUOTED INVESTMENTS

	Group and Company	
	2023	**2022**
	Ushs '000	**Ushs '000**
CDSC Kenya	65,176	65,176
As 31 December	**65,176**	**65,176**

The unquoted investment relates to an equity investment in the CDSC Kenya classified as available for sale. This investment is measured at fair value through profit or loss. As at 31 December 2023, the fair value of this investment was assessed at Ushs 65,176,000 (2022: Ushs 65,176,000).

In 2014, USE bought 25,000 ordinary shares at a total cost of Ushs 65,176,000. Within the same year, the CDSC issued bonus shares (75 shares for every 100 shares owned) bringing the total number of shares to 43,750. The bonus shares are carrying zero cost.

19. SHARE CAPITAL

Following the enactment of the Capital Markets Authority (Amendment) Act 2016 on 20th May 2016, demutualization became a regulatory requirement to be fulfilled within 2 years from that date and hence USE was required to comply with the law by 20th May 2018."

In accordance with the above requirement, Uganda Securities Exchange (USE) Limited was incorporated on 18th May 2017 as a public Company limited by shares with authorized share capital of Uganda shillings 1 billion (Ushs 1,000,000,000) of 100 million shares of a nominal value of Ushs 10 shillings each.

Issued share capital is Uganda Shillings four hundred twenty million (Ushs 420,000,000) of 42 million shares. Each shareholder has 6,000,000 shares at a nominal value of Ushs 10 shillings each and each shareholder at incorporation currently holds 14.29% of the Company. All shared capital is paid up. The initial shareholders are African Alliance (Uganda) Limited, Baroda Capital Markets (U) Limited, Dyer and Blair (Uganda) Ltd, Equity Stock Brokers (Uganda) Limited, Crested Stocks and Securities Ltd, UAP Old Mutual Financial Services Limited and USE Commodities Exchange Limited. There is no ultimate controlling party. Each trading participant is required to reduce their shareholding to not more than 10% within 3 years of incorporating the demutualized exchange. All trading participants will not hold more than 40% collectively after 3 years from incorporation.

	Group and Company	
	2023 Ushs '000	**2022 Ushs '000**
(a) Authorised and not Issued:		
At 01 January		
58,000,000 Ordinary shares of Ushs 10 each	580,000	
At 31 December	580,000	

Authorised and Issued:

	Group and Company	
	2023 Ushs '000	**2022 Ushs '000**
Issued and fully paid		
At 01 January		
42,000,000 Ordinary shares of Ushs 10 each	420,000	420,000
At 31 December	**420,000**	**420,000**

The total authorised and fully paid-up number of ordinary shares is 42,000,000 with a par value of Ushs 10 per share. Each ordinary share is entitled to one vote per share at annual and other general meetings of the Company. Holders of ordinary shares are entitled to dividends when declared.

	Group and Company	
	2023 Ushs '000	**2022 Ushs '000**
(b) Distribution proposed		
At 01 January	**210,448**	**281,503**
Dividends proposed	662,873	210,448
Dividends paid	(210,448)	(281,503)
At 31 December	**662,873**	**210,448**

20. TRADE AND OTHER RECEIVABLES

	Group and Company	
	2023 Ushs '000	**2022 Ushs '000**
Trade receivables	**353,797**	**453,592**
Less: provision for impairment of losses	(162,651)	(87,547)
Net trade receivables	**191,146**	**366,045**
Other receivables		
Guarantee fund	1,568	1,568
Net other receivables	1,568	1,568
Prepayments	155,360	91,039
Total trade and other receivables	**348,074**	**458,652**

During the year, the receivables were impaired in accordance to IFRS 9. The carrying amount of the trade and other receivables approximate their fair value.

	Group and Company	
Movement in Expected Credit Losses	**2023 Ushs '000**	**2022 Ushs '000**
At start of the year	87,547	119,691
(Credit)/charge to profit and loss account	75,104	(32,144)
At end of the year	**162,651**	**87,547**

21. SHORT TERM INVESTMENTS

	Group and Company	
	2023 Ushs '000	**2022 Ushs '000**
Fixed deposit in I&M Bank	3,362,174	3,062,786
Fixed deposit in I&M Bank – Accrued interest	329,195	254,757
UAP Money Market Fund	181,232	34,684
UAP Money Market Fund – Accrued interest	24,698	66,548
UAP Umbrella Trust Fund	2,400,278	764,604
UAP Umbrella Trust Fund – Accrued interest	199,070	350,674
Less: Provision for impairment of losses	(19,110)	(19,110)
	6,477,537	**4,514,943**

The deposit held in I&M bank is fixed for a period of 1 year maturing on 14/04/2024 at an interest rate of 13.5 per annum.

The deposits held in UAP are not fixed for any particular period. A daily interest is earned on these deposits at a floating interest rate.

21. SHORT TERM INVESTMENTS (CONTINUED)

	Group and Company	
Movement in Expected Credit Losses	2023 Ushs '000	2022 Ushs '000
At start of the year	19,110	19,110
Charge to profit and loss account	19,110	19,110
At end of the year	**19,110**	**19,110**

22. GOVERNMENT SECURITIES AT AMORTISED COST

	Group and Company	
	2023 Ushs '000	2022 Ushs '000
Treasury bond	2,519,632	2,519,757
Accrued interest	158,953	158,953
	2,678,585	**2,678,710**

As at 1st January	2,678,710	-
Purchases	-	2,519,800
Accrued interest	462,500	176,614
Amortisation (premium portion)	(125)	(43)
Withholding tax	(46,250)	(17,661)
Interest received	(416,250)	-
As at 31 December	**2,678,585**	**2,678,710**

	Group and Company	
Maturity analysis	2023 Ushs '000	2022 Ushs '000
Current portion	158,953	158,953
Non-current portion	2,519,632	2,519,757
	2,678,585	**2,678,710**

The bond was purchased on 14 August 2022 at a coupon rate of 18.5% and maturity date of 14 August 2042.
The treasury bond was purchased through the Central Bank of Uganda at a premium of Ushs 19,800,000. Interest on the bond is paid semi-annually.

23. CASH AND BANK BALANCES

	Group		Company	
	2023 Ushs '000	2022 Ushs '000	2023 Ushs '000	2022 Ushs '000
Cash balance	100,717	169,675	88,717	169,675
Expected credit losses		-	-	-
	100,717	**169,675**	**88,717**	**169,675**

23. CASH AND BANK BALANCES

	Group		Company	
	2023 Ushs '000	2022 Ushs '000	2023 Ushs '000	2022 Ushs '000
Movement in expected credit losses				
At start of the year	-	-	-	-
Credit /(Charge) to profit and loss account	-	-	-	-
At end of the year	-	-	-	-

24. INVESTMENT IN SUBSIDIARY

	2023 Ushs '000	2022 Ushs '000
Investment in subsidiary	90,001	90,001
	90,001	**90,001**

On 27 October 2020, Uganda Securities Exchange Uganda Limited and Mr. Paul Bwiso resolved to establish a new entity in the names of USE Commodities Exchange Limited ("the Subsidiary"), with shareholding of 99.999% and 0.001% respectively.

The Company was incorporated on 27 October 2020 with authorized share capital of Ushs 100,000,000 divided into 100,000 ordinary shares of Ushs 1,000 each. The nominal amount of shares so allotted is Ushs 90,001,000 (90,001 ordinary shares at Ushs 1,000 per share).

The investment in subsidiary is recognised at cost considering the amount of shares allotted. As of 31 December 2023, the subsidiary had not yet commenced its principal activity.

25. TRADE AND OTHER PAYABLES*

	Group		Company	
	2023 Ushs '000	2022 Ushs '000	2023 Ushs '000	2022 Ushs '000
Trade payables	382,540	474,500	372,648	474,500
Other payables	3,000	-	-	-
Bonuses payable	454,792	105,968	454,792	105,968
PAYE payable	34,718	33,161	34,718	33,161
WHT payable	1,008	189	1,008	189
NSSF liability	-	14,296	-	14,296
Staff Provident Fund 10%	-	9,530	-	9,530
At 31 December	**876,058**	**637,644**	**863,166**	**637,644**

The carrying amounts of the above trade and other payables approximate their fair values.

*In the prior year, the deferred income was presented as part of trade and other payables. This has been reclassified and presented separately in note 27.

26. RETAINED EARNINGS

	2023 Ushs '000	2022 Ushs '000	2023 Ushs '000	2022 Ushs '000
At 1 January	6,829,375	6,491,614	6,882,446	6491614
Total comprehensive income for the year	1,834,008	548,209	1,893,922	601280
Proposed Dividends	(662,873)	(210,448)	(662,873)	(210,448)
At 31 December	**8,000,510**	**6,829,375**	**8,113,495**	**6,882,446**

27. DEFERRED INCOME

	Group and Company	
	2023 Ushs '000	2022 Ushs '000
Deferred income	**134,266**	**129,167**
	134,266	**129,167**

28. FINANCIAL RISK MANAGEMENT

The below are the categories of financial instruments held by the Group:

	Group and Company	
Financial assets at amortised cost	2023 Ushs '000	2022 Ushs '000
Trade receivables	353,797	353,797
Other receivables	1,568	1,568
Cash and bank balances	100,717	100,717
Due from related parties	65,953	7,571
Other due from related parties	12,268	12,268
Government securities at amortised cost	2,678,585	2,678,710
Short term investments	6,496,647	4,534,053
	9,709,535	**7,857,537**
Financial liabilities at amortised cost		
Trade payables	385,540	474,500
Lease liabilities	246,359	464,201
	631,899	**938,701**

(b) Liquidity risk

Liquidity risk is the risk that the Group will not be able to meet its financial obligations as they fall due. Liquidity risk arises because of the possibility that the entity could be required to pay its liabilities earlier than expected or at a time when the Group does not have liquid assets that can be used to settle the liability.

The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

The table below indicates the contractual timing of cash flows arising from financial liabilities at the end of the year.

The Group's principal business activity is to provide, maintain and regulate suitable premises and facilities for conducting all the business of the securities exchange. The Group's principal financial liabilities comprised of trade and other payables, and lease liabilities. The Group's financial assets include trade and other receivables, amounts due from related parties, government securities, short term investments and cash and bank balances. All the Group's financial assets are classified as debt instruments at amortised cost while the financial liabilities are classified as financial liabilities at amortised cost.

The main risks arising from the Group's financial instruments are liquidity risk, market risk and credit risk. Market risk comprises interest rate risk, foreign exchange risk and price risk. The Group does not have significant exposure to price risk since no price sensitive financial instruments are held.

The Group's risk management policies are established to identify and analyse the risks faced by the Group, to set appropriate risk limits and controls, and to monitor risk adherence to limits. Risk management policies are reviewed and agreed upon at Group level in order to manage the financial risks as summarised below:

(a) Credit risk

Credit risk refers to the risk that a counterparty will default on its contractual obligations resulting in financial loss to the Group. Potential concentrations of credit risk consist principally of amounts due from related parties, trade and other receivables, bank balances and fixed deposit balances. The Group deposits cash only with regulated banks. The significant risk is with trade and other receivables. Trade receivables comprise a large and widespread customer base and the Group performs on going credit evaluations based on the internally developed credit ratings of its customers.

Credit rating is an estimate of the ability of a person or organization to fulfil their financial commitments, based on previous dealings. The amounts presented in the statement of financial position are net of expected credit loss, estimated by the Group's management based on prior experience, the current economic environment and forward-looking information. The carrying amount of financial assets represents the maximum credit exposure.

The amount that best represents the Group maximum exposure to credit risk at 31 December 2023 without taking account of the value of any collateral obtained is made up as follows:

	12-month or lifetime ECL	Gross carrying amount	Expected credit losses	Net carrying amount
		Ushs '000	Ushs '000	Ushs '000
Trade receivables	Lifetime ECL	353,797	(162,651)	191,146
Other receivables	Lifetime ECL	1,568	-	1,568
Cash and bank balances	Lifetime ECL	100,717	-	100,717
Due from related parties	Lifetime ECL	65,953	(7,431)	58,522
Other due from related parties	Lifetime ECL	12,268	-	12,268
Government securities at amortised cost	Lifetime ECL	2,678,585	-	2,678,585
Short term investments	Lifetime ECL	6,496,647	(19,110)	6,477,537
Total		**9,709,535**	**(189,192)**	**9,520,343**

The amount that best represents the Group maximum exposure to credit risk at 31 December 2022 without taking account of the value of any collateral obtained is made up as follows:

	12-month or lifetime ECL	Gross carrying amount	Expected credit losses	Net carrying amount
		Ushs '000	Ushs '000	Ushs '000
Trade receivables	Lifetime ECL	453,592	(87,547)	366,045
Other receivables	Lifetime ECL	1,568	-	1,568
Cash and bank balances	Lifetime ECL	169,675	-	169,675
Due from related parties	Lifetime ECL	7,571	(2,036)	5,535
Other due from related parties	Lifetime ECL	12,268		12,268
Government securities at amortised cost	Lifetime ECL	2,678,710		2,678,710
Short term investments	Lifetime ECL	4,534,053	(19,110)	4,514,943
Total		**7,857,437**	**(108,693)**	**7,748,744**

(a) Credit risk (Continued)

The Group considers a financial asset in default when contractual payments are 90 days past due. However, in certain cases, the Group may also consider a financial asset to be in default when internal or external information indicates that the Group is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Group.

A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

The ageing analysis for the trade receivables was as follows:

	Group	
	2023	2022
	Ushs '000	Ushs '000
1-31 Days	145,212	131,212
32-61 Days	(34,813)	110,878
62-92 Days	17,271	69,136
93-122 Days	33,165	109,606
123-153 Days	71,608	5,197
154-184 Days	15,966	3,789
More than 184 days	105,388	23,774
	353,797	**453,592**

	Group		
	< 1 year	> 1 year	Total
At 31 December 2023	Ushs '000	Ushs '000	Ushs '000
Trade payables	385,540	-	385,540
Lease liabilities	246,359	-	246,359
	631,899	-	631,899

At 31 December 2022			
Trade payables	474,500	-	474,500
Lease liabilities	265,889	198,312	464,201
	740,389		**198,312**

(c) Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates, will affect the Group's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return."

(c) Market risk (Continued)

Currency risk

The Group is exposed to currency risk on sales, purchases and bank balances that are denominated in foreign currencies. The dominant trading currency is the functional currency, Ugandan shillings (Shs) as most customers are invoiced in this currency. Other trading currencies include US Dollars (USD). The currencies to which the Group was exposed to are summarised in the table below. All amounts are in Ugandan shillings (Ushs) rounded in thousands.

	Group		
	USD	**Others (Ushs)**	**TOTAL**
At 31 December 2023		**Ushs '000**	**Ushs '000**
Trade receivables	-	353,797	353,797
Other receivables	-	1,568	1,568
Cash and bank balances	3,121	97,596	100,717
Due from related parties	-	65,953	65,953
Other due from related parties	-	12,268	12,268
Government securities at amortised cost	-	2,678,585	2,678,585
Short term investments	-	6,496,647	6,496,647
	3,121	**9,706,414**	**9,709,535**
Trade payables	19,997	365,543	385,540
Lease liabilities	-	-	-
	19,997	**365,543**	**631,899**
Net exposure	**(16,876)**		

At 31 December 2022				
Trade receivables		-	453,592	366,045
Other receivables	-		1,568	1,568
Cash and bank balances		7,073	162,602	169,675
Due from related parties		-	7,571	5,536
Other due from related parties		-	12,268	12,268
Government securities at amortised cost		-	2,678,710	2,678,710
Short term investments		-	4,534,053	4,514,943
		7,073	**7,850,364**	**7,748,745**
Trade payables		147,685	326,815	474,500
Lease liabilities		-	464,201	464,201
		147,685	791,016	938,701
Net exposure		**(140,612)**		

	Group	
	Change in USD rate	**Effect on profit before tax Ushs '000**
31 December 2023		
USD	10%	(1,688)
31 December 2022		
USD	10%	(14,061)

(c) Market risk (Continued)

Interest rate risk

The table below summarises the exposure to interest rate risk. Included are the Group's financial assets and liabilities categorized by the earlier of contractual reprising or maturity dates.

	Group				
	USD	**Others (Ushs)**	**Non- interest bearing**	**"Fixed interest rate bearing"**	**Total**
At 31 December 2023		**Ushs '000**	**Ushs '000**	**Ushs '000**	**Ushs '000**
Financial assets	-				
Trade receivables	-	-	353,797	-	353,797
Other receivables	-	-	1,568	-	1,568
Cash and bank balances	-	-	100,717	-	100,717
Due from related parties	-	-	65,953	-	65,953
Other due from related parties	-	-	12,268	-	12,268
Government securities at amortised cost	-	-	-	2,678,585	2,678,585
Short term investments	2,805,278	-	-	3,691,369	6,496,647
	2,805,278	**-**	**534,303**	**6,369,954**	**9,709,535**

Financial liabilities					
Trade payables	-	-	385,540		385,540
Lease liabilities	-	-	246,359		246,359
			631,899		**631,899**

Interest sensitivity gap -

At 31 December 2022	< 1 year Ushs '000	> 1 year Ushs '000	Non- interest bearing Ushs '000	Fixed interest rate bearing Ushs '000	Total Ushs '000
Financial assets					
Trade receivables	-	-	453,592	-	453,592
Other receivables	-	-	1,568	-	1,568
Cash and bank balances	-	-	169,675	-	169,675
Due from related parties	-	-	7,571	-	7,571
Other due from related parties	-	-	12,268	-	12,268
Government securities at amortised cost	-	-	-	2,678,710	2,678,710
Short term investments	1,216,510	-	-	3,317,543	4,534,053
	1,216,510	**-**	**644,674**	**5,996,253**	**7,857,437**
Financial liabilities					
Trade payables					474,500
Lease liabilities	-		-		464,210
	-	**-**	**938,701**		938,701

Interest sensitivity gap	**1,216,510**

(c) Market risk (Continued)

Interest rate risk

Interest risk sensitivity analysis:		"Change in interest rates"	"Effect on profit before tax" Ushs '000	Effect on equity Ushs '000
Year ended 31 December	**2023**	**5%**	**140,264**	**98,185**
Year ended 31 December	2022		60,826	42,578

(d) Capital risk management

The Group's objectives when managing capital are to safeguard the Group's ability to continue as a going concern in order to provide returns for shareholders and to maintain an optimal capital structure to reduce the cost of capital. In order to maintain or adjust the capital structure, the Group may limit the amount of dividends paid to shareholders, issue new shares, or sell assets to reduce debt."

The Group monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings less cash and cash equivalents. Total capital is calculated as equity plus net debt.

The gearing ratios at 31 December 2023 and 2022 were as follows:

	Group	
	2023	**2022**
	Ushs '000	**Ushs '000**
Total borrowing	-	-
Less: cash and bank balances	(100,717)	(169,675)
Net debt	**(100,717)**	**(169,675)**
Total equity	**9,083,383**	**7,459,823**
Total capital	**8,982,666**	**7,290,148**
Gearing ratio	**-1.1%**	**-2.3%**

29. FAIR VALUE MEASUREMENT

The fair values of financial assets and financial liabilities that are traded in active markets are based on quoted market prices or dealer price quotations. For all other financial instruments, the Group determines fair values using other valuation techniques."

Valuation models

The Group measures fair values using the following fair value hierarchy, which reflects the significance of the inputs used in making the measurements."

Level 1: inputs that are quoted market prices (unadjusted) in active markets for identical instruments e.g., quoted equity securities. These items are exchange traded positions.

Level 2: inputs other than quoted prices included within Level 1 that are observable either directly (i.e., as prices) or indirectly (i.e. derived from prices). This category includes instruments valued using; quoted market prices in active markets for similar instruments; quoted prices for identical or similar instruments in markets that are considered less than active; or other valuation techniques in which all significant inputs are directly or indirectly observable from market data.

Valuation models (Continued)

Level 3: inputs that are unobservable. This category includes all instruments for which the valuation technique includes inputs not based on observable data and the unobservable inputs have a significant effect on the instrument's valuation. This category includes instruments that are valued based on quoted prices for similar instruments for which significant unobservable adjustments or assumptions are required to reflect differences between the instruments."

Valuation techniques include net present value and discounted cash flow models, comparison with similar instruments for which market observable prices exist. Assumptions and inputs used in valuation techniques include risk-free and benchmark interest rates, credit spreads and other premia used in estimating discount rates, bond and equity prices, foreign currency exchange rates, equity and equity index prices and expected price volatilities and correlations. The objective of valuation techniques is to arrive at a fair value measurement that reflects the price that would be received to sell the asset or paid to transfer the liability in an orderly transaction between market participants at the measurement date. As at 31 December 2023, the Group had a financial instrument (unquoted investments) measured at fair value through profit or loss.

The following table sets out the fair values of financial instruments both measured and not measured at fair value and analyses them by the level in the fair value hierarchy into which each fair value measurement is categorised.

31 December 2023

	Group				
	Level 1	**Level 2**	**Level 3**	**Total Fair Value**	**Carrying amount**
	Ushs '000	**Ushs '000**	**Ushs '000**	**Ushs '000**	**Ushs '000**
Assets					
Trade and other receivables	-	-	-	-	355,365
Amounts due from related parties	-	-	-	-	78,221
Short term investments	-	-	-	-	6,496,647
Unquoted investments	-	-	65,176	65,176	65,176
Total	**-**	**-**	**65,176**	**65,176**	**6,995,409**
Liabilities					
Trade and other payables	**-**	**-**	**-**	**-**	385,540
Lease liability	**-**	**-**	**-**	**-**	246,359
Total	-	**-**	**-**	**-**	**631,899**

Valuation models (Continued)

31 December 2023

	Group				
	Level 1	Level 2	Level 3	Total Fair Value	Carrying amount
	Ushs '000	Ushs '000	Ushs '000	Ushs '000	Ushs '000
Assets					
Trade and other receivables	-	-	-	-	455,160
Amounts due from related parties	-	-	-	-	19,839
Short term investments	-	-	-	-	4,534,053
Unquoted investments	-	-	65,176	65,176	65,176
Total	**-**	**-**	**65,176**	**65,176**	**5,074,228**
Liabilities					
Trade and other payables					474,500
Lease liability	-	-	-	-	464,201
Total	**-**	**-**	**-**	**-**	**938,701**

31. ULTIMATE CONTROLLING PARTY

The Group is limited by shares and does not have any immediate or ultimate controlling party.

32. CONTINGENT LIABILITIES

The Group had no contingent liabilities in 2023 (2022: Nil).

33. COUNTRY OF INCORPORATION

Uganda Securities Exchange Limited is incorporated in Uganda under the Companies Act, 2012 Laws of Uganda as a Company limited by shares and domiciled in Uganda.

34. EVENTS AFTER THE REPORTING PERIOD

At the date of finalisation of the annual financial statements, there were no material events that occurred subsequent to the statement of financial position date that require adjustment in the financial statements.

Supplementary Information

In This Section

155	Notice of the Annual General Meeting
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158	Shareholders' Report
158	Company Information

NOTICE OF THE 7TH ANNUAL GENERAL MEETING

NOTICE IS HEREBY GIVEN that the 7th Annual General Meeting of **UGANDA SECURITIES EXCHANGE LIMITED** ("the Company") for the year ended 31st December 2023 will be held at the **Kampala Serena Hotel - Turaco Room on Wednesday 14th August 2024 at 10:00AM** to conduct the following business:

PRELIMINARIES:

1. To table the proxies and to note the presence of quorum.

2. To read the notice convening the meeting and to confirm any other business for which notice has been received by the Secretary at least 48 hours before the meeting.

3. To receive Communication from the Chairman.

4. To confirm the minutes of the 6th Annual General Meeting for the year ended 31st December 2022.

ORDINARY RESOLUTIONS

5. To consider and if deemed fit, approve the audited financial statements for the year ended 31st December 2023 together with the reports of the Chairman, the Directors, and the External Auditors.

6. To receive and adopt the Directors' recommendation for the declaration of a proposed dividend of UGX 662,873,000 for the year ended 31st December 2023.

7. **Rotation,Re-electionofdirectors**

To consider and if deemed fit, approve the re-election of Directors in accordance with the provisions of the Company's Articles of Association under Articles 110 & 111, as follows.

i. Dr. Rachel Mindra Katoroogo who was appointed to the Board in September 2019 retires by rotation and being eligible, offers herself for re-election.

ii. To note that Mr. Simon Kusiima Mwebaze who was appointed to the Board in May 2017 as a representative of trading participants hereby retires from the Board, following his resignation from Old Mutual Investment Group on 30th June 2024 and does not offer himself for re-election.

8. To consider and if deemed fit, approve the proposal to amend the directors' remuneration for the year ended 31st December 2023.

9. Toconsiderandifdeemedfit,approvethere-appointmentoftheExternalAuditors,Ernst&Young,for the year ending 31st December 2024 and authorize the Directors to fix their remuneration.

Dated 23rd July 2024
By Order of the Board

Jacintah Akino
COMPANY SECRETARY

NOTICE OF THE 7TH ANNUAL GENERAL MEETING

Notes:
Shareholders are urged to note the following information.

1. Audited financial statements: The audited financial statements, annual report and minutes for the previous meeting will be circulated to shareholders via email ahead of the meeting.

2. Proxies: A shareholder who is unable to attend the AGM may appoint a proxy to attend the meeting on

his or her behalf.

a. A copy of the proxy for mac companies this notice.

b. Duly completed proxy forms must be emailed to the company secretary at address jakino@use.or.ug to be received at least 48 hours before the meeting.

3. Shareholders who wish to attend the meeting virtually shall confirm with the company secretary via email: jakino@use.or.ug. Scheduling of the AGM: Under Article 95 of the Articles of Association of the company, an annual general meeting may be held by audio or audio-visual means.

4. In order to access the meeting, shareholders or their proxies should login through the Microsoft Teams meeting platform via the link and/ or the login details below:

https://teams.microsoft.com/l/meetup- join/19%3ameeting_
NzZlNmQwMWYtOTM5ZS00ZmQ4LTkzYmQtMzcxNzJjNGM2Zjlm%40thread.v2/0?context= %7b%22Tid%22%3a%22bfe03b7e-38e0-40fc-b8c1-150b0c0af98e%22%2c%22Oid%22%3a%225783375d- d73c-42ac-b981-bd1359a766cd%22%7d

Meeting ID: 325 746 449 025
Passcode: 5PMeHC

Proxy Form

For the Attention of

The Company Secretary

Uganda Securities Exchange Limited

4th Floor Block A Nakawa Business Park

P.O Box 23552 Kampala

Email: jakino@use.or.ug

I/We the under signed, being a member in the above company hereby appoint _____ of address _____ as my/our proxy to attend and vote on my behalf at the7th Annual General meeting of the Company to beheld at the **Kampala Serena Hotel at 10:00am** or to any adjournments thereof.

Signed: _____

Name: _____

Date: _____

Notes:

1. This proxy should be delivered to the Company Secretary at the registered offices of the Company ofnot later than 48 hours before the time appointed for the meeting, and in default, the instrument of proxy shall be treated as invalid. Please note that delivery by electronic mail copy will be deemed delivery of the Proxy Form. The original hard copy shall however be required to be submitted by theappointed proxy at the meeting or soon thereafter.

2. In case of a corporation, the proxy must be signed by an authorized official of the member company.

3. The completion and lodging of this form does not preclude the ordinary representative of the member from attending the AGM instead of the proxy.

Shareholders' Report

Uganda Securities Exchange Shareholders as at June 30th 2024

1. African Alliance (U) Limited
2. Baroda Capital Markets (U) Limited
3. Dyer and Blair (U) Limited
4. Equity Stock Brokers (U) Limited
5. Crested Stocks and Securities Limited
6. Crane Financial Services (U) Limited
7. UAP Old Mutual Financial Services Ltd

Company Information

BOARD OF DIRECTORS	Mr. Richard Patrick Byarugaba Mr. Samuel Fredrick Mwogeza Ms. Leah Nyambura-Kagumba Ms. Jennifer Kabanyana Mwijukye Dr. Rachel Katoroogo Mindra Mr. Simon Kusiima Mwebaze Ms. Renita Jacinta Nabisubi Mr. Paul William Bwiso (Chief Executive Officer)	
COMPANY SECRETARY	Jacintah Akino (appointed on 14th August 2023) Allison Kwikiriza Serucaca (resigned on 31st March 2023) UAP Nakawa Business Park Plot 3-5, New Port Bell Road Block A, 4th Floor P. O. Box 23552 Kampala, Uganda	
REGISTERED OFFICE	UAP Nakawa Business Park Plot 3-5, New Port Bell Road Block A, 4th Floor P. O. Box 23552 Kampala, Uganda	
AUDITOR	Ernst & Young Certified Public Accountants Ernst & Young House Plot 18, Clement Hill Road Shimoni Office Village P. O. Box 7215	
BANKERS	Citibank Uganda Limited Corporate Banking Division Plot 4 Ternan Avenue P. O. Box 7505 Kampala, Uganda	Centenary Bank Mapeera House Plot 44-46 Kampala Road & Plot 2 Burton Street P. O. Box 1892Kampala, Uganda